

Banking Frequently Asked Questions

Banking FAQ Knowledge Base

Total FAQs: 989

FAQ ID: 1

Section: Basic Accounts

Question: What is a Savings Account?

Answer: A savings account lets you keep your money safe in a bank while earning a small interest, usually around 2–4% per year.

FAQ ID: 2

Section: Basic Accounts

Question: What is a Current Account?

Answer: A current account is mainly for businesses. It allows unlimited daily transactions but doesn't pay interest on the balance.

FAQ ID: 3

Section: Basic Accounts

Question: What is a Fixed Deposit?

Answer: A fixed deposit lets you lock in a sum of money for a set period to earn a higher interest rate than a regular savings account.

FAQ ID: 4

Section: Basic Accounts

Question: What does KYC stand for?

Answer: KYC stands for Know Your Customer. It's how banks verify who you are using documents like Aadhaar or PAN card.

FAQ ID: 5

Section: Basic Accounts

Question: What is a cheque?

Answer: A cheque is a written instruction to your bank to pay a specific amount to someone else from your account.

FAQ ID: 6

Section: Basic Accounts

Question: What happens when a cheque bounces?

Answer: When a cheque bounces, the bank refuses to pay it — usually because there's not enough money in the account. It can lead to a penalty or even legal action.

FAQ ID: 7

Section: Basic Accounts

Question: What is a Demand Draft?

Answer: A demand draft is a prepaid payment made through the bank, so it can't bounce. It's great for paying college fees or government offices.

FAQ ID: 8

Section: Basic Accounts

Question: What is an overdraft?

Answer: An overdraft lets you withdraw more money than you have in your account, up to a limit set by the bank. You pay interest on what you use.

FAQ ID: 9

Section: Basic Accounts

Question: What is a joint account?

Answer: A joint account is shared between two or more people. All account holders can access and manage the funds together.

FAQ ID: 10

Section: Basic Accounts

Question: What is a nominee in a bank account?

Answer: A nominee is someone you choose to receive your account funds if you pass away. They don't legally own the money, but they receive it on behalf of your family.

FAQ ID: 11

Section: Basic Accounts

Question: What is a Recurring Deposit?

Answer: A recurring deposit lets you save a fixed amount every month for a chosen period. At the end, you get back all your money plus interest.

FAQ ID: 12

Section: Basic Accounts

Question: What is a zero balance account?

Answer: A zero balance account doesn't require you to keep any minimum amount. You can open it with no money and use it freely.

FAQ ID: 13

Section: Basic Accounts

Question: Can a minor open a bank account?

Answer: Yes, a minor below 18 can open a bank account, but it's operated by a parent or guardian until they turn 18.

FAQ ID: 14

Section: Basic Accounts

Question: What is a senior citizen savings account?

Answer: It's a special savings account for people above 60 years. It offers higher interest rates and sometimes priority service at branches.

FAQ ID: 15

Section: Basic Accounts

Question: What is an NRI account?

Answer: An NRI account is for Indians living abroad. There are three types — NRE, NRO, and FCNR — depending on the currency and whether funds need to be repatriated.

FAQ ID: 16

Section: Basic Accounts

Question: What is an account number?

Answer: Your account number is a unique code your bank gives your account. It's used to identify you during any transaction.

FAQ ID: 17

Section: Basic Accounts

Question: What is a bank passbook?

Answer: A passbook is a small booklet your bank gives you. It records all your deposits, withdrawals, and the current balance in your account.

FAQ ID: 18

Section: Basic Accounts

Question: What is a cheque book?

Answer: A cheque book is a set of blank cheques given by your bank. You fill and sign them to make payments to others.

FAQ ID: 19

Section: Basic Accounts

Question: How much interest does a savings account earn?

Answer: Most Indian banks offer 2–4% per year on savings accounts. Some small finance banks offer up to 7%.

FAQ ID: 20

Section: Basic Accounts

Question: What is a dormant account?

Answer: If you don't make any transaction in your account for 2 years, it becomes dormant and gets locked for security reasons.

FAQ ID: 21

Section: Basic Accounts

Question: What is a BSBD account?

Answer: BSBD stands for Basic Savings Bank Deposit account. It's a zero-balance account made for low-income individuals with basic banking features.

FAQ ID: 22

Section: Basic Accounts

Question: How do I reactivate a dormant account?

Answer: Visit your bank branch with your KYC documents and submit a written request. Once verified, your account will be reactivated.

FAQ ID: 23

Section: Basic Accounts

Question: What is a sweep-in account?

Answer: A sweep-in account automatically moves extra money above a threshold into a fixed deposit to earn higher interest, and brings it back when needed.

FAQ ID: 24

Section: Basic Accounts

Question: What is a bank locker?

Answer: A bank locker is a small safe inside the bank where you can store valuables like gold, jewellery, or important documents for a yearly fee.

FAQ ID: 25

Section: Basic Accounts

Question: What documents are needed to open a bank account?

Answer: You need an identity proof like Aadhaar or PAN card, address proof, passport-size photos, and a filled application form.

FAQ ID: 26

Section: Basic Accounts

Question: What is TDS on Fixed Deposit?

Answer: If your FD interest is more than ₹40,000 a year, the bank deducts 10% TDS. For senior citizens, the limit is ₹50,000.

FAQ ID: 27

Section: Basic Accounts

Question: What is Form 15G?

Answer: Form 15G is a self-declaration form for people below 60. Submitting it tells the bank not to deduct TDS if your total income is below the taxable limit.

FAQ ID: 28

Section: Basic Accounts

Question: What is Form 15H?

Answer: Form 15H is for senior citizens. It asks the bank not to deduct TDS if their total tax payable is nil.

FAQ ID: 29

Section: Basic Accounts

Question: What is a salary account?

Answer: A salary account is a zero-balance savings account where your employer credits your salary each month. It often comes with extra perks like free insurance.

FAQ ID: 30

Section: Basic Accounts

Question: What is a tax-saving FD?

Answer: A tax-saving FD has a 5-year lock-in and qualifies for deduction under Section 80C of the Income Tax Act, up to ₹1.5 lakh per year.

FAQ ID: 31

Section: Basic Accounts

Question: Can I withdraw an FD before maturity?

Answer: Yes, but you'll usually pay a penalty of around 0.5–1% less interest than the original rate.

FAQ ID: 32

Section: Basic Accounts

Question: What is interest payout in FD?

Answer: FD interest can be paid monthly, quarterly, half-yearly, or at maturity. Cumulative payout at maturity earns the most because of compounding.

FAQ ID: 33

Section: Basic Accounts

Question: What is DICGC insurance?

Answer: DICGC insures your deposits up to ₹5 lakh per bank. So if the bank fails, you're guaranteed to get back up to ₹5 lakh.

FAQ ID: 34

Section: Basic Accounts

Question: What is a PPF account?

Answer: PPF is Public Provident Fund. It's a 15-year government savings scheme with tax-free interest of around 7.1% per year.

FAQ ID: 35

Section: Basic Accounts

Question: What is a Sukanya Samriddhi account?

Answer: It's a government savings scheme for girl children below 10 years. It offers around 8.2% interest and full tax exemption.

FAQ ID: 36

Section: Basic Accounts

Question: What is the Atal Pension Yojana?

Answer: Atal Pension Yojana is a pension scheme for unorganized sector workers. You contribute until 60 and get a fixed monthly pension of ₹1,000 to ₹5,000.

FAQ ID: 37

Section: Basic Accounts

Question: What is PMJDY?

Answer: Pradhan Mantri Jan Dhan Yojana is a scheme to give every Indian a bank account. It offers a zero-balance account with a RuPay debit card and accident insurance.

FAQ ID: 38

Section: Basic Accounts

Question: What is a RuPay card?

Answer: RuPay is India's own card payment network, like Visa or Mastercard but made by NPCI. It works at ATMs, POS machines, and for online payments.

FAQ ID: 39

Section: Basic Accounts

Question: What is the minimum balance in a savings account?

Answer: It varies by bank. Government banks like SBI may require ₹0 to ₹3,000 while private banks may ask for ₹5,000 to ₹25,000 depending on the city.

FAQ ID: 40

Section: Basic Accounts

Question: What happens if I don't maintain minimum balance?

Answer: The bank charges a non-maintenance fee, typically ₹100 to ₹500, if your account falls below the required minimum balance.

FAQ ID: 41

Section: Basic Accounts

Question: What is an escrow account?

Answer: An escrow account is a neutral account where money is held safely until both parties in a deal (like property purchase) meet their obligations.

FAQ ID: 42

Section: Basic Accounts

Question: What is a co-operative bank?

Answer: A co-operative bank is owned and run by its members. It mainly provides banking services to rural communities and small businesses.

FAQ ID: 43

Section: Basic Accounts

Question: What is a payments bank?

Answer: A payments bank can accept deposits up to ₹2 lakh and offer digital payments but cannot give loans. Examples include Airtel Payments Bank and India Post Payments Bank.

FAQ ID: 44

Section: Basic Accounts

Question: What is a small finance bank?

Answer: A small finance bank serves people who don't have easy access to regular banking, like small farmers and micro businesses. Example: AU Small Finance Bank.

FAQ ID: 45

Section: Basic Accounts

Question: What is the NRE account used for?

Answer: NRE account is used by NRIs to park their foreign earnings in India in Indian rupees. The interest is tax-free in India and the money can be sent back abroad freely.

FAQ ID: 46

Section: Basic Accounts

Question: What is an NRO account?

Answer: NRO is for managing income earned in India by an NRI, like rent or dividends. Interest is taxable and repatriation has limits.

FAQ ID: 47

Section: Basic Accounts

Question: What is a FCNR account?

Answer: FCNR lets NRIs deposit money in foreign currency (USD, GBP, EUR, etc.) without any exchange rate risk. Interest is tax-free and the deposit is fully repatriable.

FAQ ID: 48

Section: Basic Accounts

Question: What is account nomination and why is it important?

Answer: Nomination lets the bank release funds to your chosen person after your death, avoiding delays or legal complications for your family.

FAQ ID: 49

Section: Basic Accounts

Question: What is an inoperative account?

Answer: An account with no transactions for 2 years is called inoperative. You need to submit fresh KYC at the branch to make it active again.

FAQ ID: 50

Section: Basic Accounts

Question: How can I close a bank account?

Answer: Visit your branch, submit a closure request form, return your debit card and unused cheques, and get any remaining balance transferred or in cash.

FAQ ID: 51

Section: Basic Accounts

Question: *What is a bank guarantee?*

Answer: A bank guarantee is a promise by the bank to pay a specific amount to someone if the bank's customer fails to meet their contractual commitment.

FAQ ID: 52

Section: Basic Accounts

Question: *What is a letter of credit?*

Answer: A letter of credit is issued by a bank guaranteeing a seller will get paid as long as they meet the delivery conditions. It's widely used in international trade.

FAQ ID: 53

Section: Basic Accounts

Question: *What is a trust account?*

Answer: A trust account holds money managed by one person (trustee) for the benefit of another (beneficiary) under a legal agreement.

FAQ ID: 54

Section: Basic Accounts

Question: *What is an account statement?*

Answer: An account statement is an official record of all your transactions — deposits, withdrawals, charges, and interest — for a specific period.

FAQ ID: 55

Section: Basic Accounts

Question: *Can I open a bank account online?*

Answer: Yes. Most banks let you open an account online by filling a form, uploading KYC documents, and completing a video KYC call.

FAQ ID: 56

Section: Basic Accounts

Question: *What is video KYC?*

Answer: Video KYC lets you complete identity verification through a live video call with a bank official from your home, without visiting the branch.

FAQ ID: 57

Section: Basic Accounts

Question: *What is a current account for businesses?*

Answer: A current account gives businesses unlimited daily transactions, overdraft facilities, and cheque books. It doesn't pay interest but provides all the tools a business needs.

FAQ ID: 58

Section: Basic Accounts

Question: What is an average monthly balance?

Answer: Average monthly balance is the average of your daily closing balances in a month. Banks require you to maintain this to avoid penalty charges.

FAQ ID: 59

Section: Basic Accounts

Question: What is a banker's cheque?

Answer: A banker's cheque is issued by the bank itself on your behalf using bank funds. It's safer than a personal cheque because it won't bounce.

FAQ ID: 60

Section: Basic Accounts

Question: What is a multipurpose financial inclusion card?

Answer: It's a single card issued by banks under financial inclusion programs that combines savings, insurance, and credit access for rural customers.

FAQ ID: 61

Section: Basic Accounts

Question: What is an NBFC?

Answer: NBFC stands for Non-Banking Financial Company. It offers loans and investments like a bank but doesn't have a banking licence. Examples: Bajaj Finance, HDFC Ltd.

FAQ ID: 62

Section: Basic Accounts

Question: Can I have multiple bank accounts?

Answer: Yes, you can have accounts in as many banks as you want. But each account has its own maintenance requirements and charges.

FAQ ID: 63

Section: Basic Accounts

Question: What is a bulk deposit?

Answer: A bulk deposit is a single deposit of ₹2 crore or more. Banks often offer special negotiated interest rates for these.

FAQ ID: 64

Section: Basic Accounts

Question: What is auto-renewal of FD?

Answer: If you don't give any instruction when your FD matures, the bank automatically renews it for the same duration at the current interest rate.

FAQ ID: 65

Section: Basic Accounts

Question: What is a partial withdrawal from FD?

Answer: Some banks allow you to break only a part of your FD while the rest continues earning interest at the original rate.

FAQ ID: 66

Section: Basic Accounts

Question: What is the PMMY loan?

Answer: Pradhan Mantri MUDRA Yojana provides small business loans up to ₹10 lakh through banks and MFIs without collateral for non-farm businesses.

FAQ ID: 67

Section: Basic Accounts

Question: What is a regional rural bank?

Answer: Regional rural banks (RRBs) are government-owned banks that serve rural areas, giving loans to farmers, artisans, and laborers. They are co-owned by the central and state government and a sponsor bank.

FAQ ID: 68

Section: Basic Accounts

Question: What is a self-help group bank linkage?

Answer: Banks provide loans directly to self-help groups (SHGs) of rural women, who then lend to members. This helps people without collateral access credit.

FAQ ID: 69

Section: Basic Accounts

Question: What is account re-activation?

Answer: To reactivate a dormant or inoperative account, visit the branch with KYC documents, fill a reactivation form, and do a transaction to restore normal access.

FAQ ID: 70

Section: Basic Accounts

Question: What is the difference between savings and current account?

Answer: A savings account earns interest and limits daily transactions. A current account offers unlimited transactions without interest, and is meant for businesses.

FAQ ID: 71

Section: Basic Accounts

Question: What is a MICR code?

Answer: MICR stands for Magnetic Ink Character Recognition. It's a code at the bottom of your cheque used by machines to process and clear it quickly.

FAQ ID: 72

Section: Basic Accounts

Question: What is an IFSC code?

Answer: IFSC is Indian Financial System Code. It's an 11-character code that identifies your specific bank branch for electronic fund transfers like NEFT, RTGS, and IMPS.

FAQ ID: 73

Section: Basic Accounts

Question: How do I find my IFSC code?

Answer: You can find your IFSC code on the first page of your cheque book, your passbook, the bank's website, or on a cheque leaf.

FAQ ID: 74

Section: Basic Accounts

Question: What is a mini statement?

Answer: A mini statement shows your last 5–10 transactions. You can get it at an ATM, through SMS banking, or by giving a missed call to your bank.

FAQ ID: 75

Section: Basic Accounts

Question: What is a cheque truncation system?

Answer: CTS replaces physical cheque movement with digital images during clearing, making the process faster and reducing errors.

FAQ ID: 76

Section: Basic Accounts

Question: What is the Positive Pay System?

Answer: Positive Pay requires you to share the cheque details with the bank before presenting it. This helps the bank catch fake or altered cheques.

FAQ ID: 77

Section: Basic Accounts

Question: What is a currency chest?

Answer: A currency chest is a storage facility at certain bank branches that holds RBI's stock of notes and coins for distribution to nearby branches.

FAQ ID: 78

Section: Basic Accounts

Question: What is a nidhi company?

Answer: A nidhi company is a type of NBFC that takes deposits from and lends only to its own members, encouraging savings within a small community.

FAQ ID: 79

Section: Basic Accounts

Question: What is the difference between NRE and FCNR?

Answer: NRE accounts hold foreign earnings in Indian rupees. FCNR accounts hold foreign earnings in the original foreign currency, protecting against exchange rate changes.

FAQ ID: 80

Section: Basic Accounts

Question: What is an account aggregator?

Answer: An account aggregator is an RBI-licensed service that lets you securely share your financial data across banks and apps with your consent.

FAQ ID: 81

Section: Basic Accounts

Question: What is a SHG?

Answer: SHG stands for Self-Help Group. It's a small group of people, usually women, who save together and take turns getting small loans from a pooled fund.

FAQ ID: 82

Section: Basic Accounts

Question: What is the NACH system?

Answer: NACH is National Automated Clearing House. It automates bulk payments like salaries, EMIs, SIPs, and utility bills between banks.

FAQ ID: 83

Section: Basic Accounts

Question: What is a flexi deposit account?

Answer: A flexi deposit combines a savings account with an FD. Extra money above a limit goes into an FD automatically to earn more interest.

FAQ ID: 84

Section: Basic Accounts

Question: What is an account opening bonus?

Answer: Some banks offer cashback, welcome gifts, or reward points when you open a new account or upgrade to a premium account.

FAQ ID: 85

Section: Basic Accounts

Question: What is the difference between nominee and legal heir?

Answer: A nominee receives the account balance after your death for safekeeping, but the legal heirs under your will or succession law are the actual owners.

FAQ ID: 86

Section: Basic Accounts

Question: What is a succession certificate?

Answer: A succession certificate is issued by a court to allow legal heirs to claim funds from a deceased person's bank account when there's no will.

FAQ ID: 87

Section: Basic Accounts

Question: What is a passbook update?

Answer: Passbook update means visiting your bank branch or using a passbook printing kiosk to record all your latest transactions in your passbook.

FAQ ID: 88

Section: Basic Accounts

Question: What is TDS deduction from savings account interest?

Answer: Banks deduct TDS if total interest on savings account exceeds ₹10,000 per year for regular customers. You can avoid it by submitting Form 15G or 15H.

FAQ ID: 89

Section: Basic Accounts

Question: *What is a joint account mode of operation?*

Answer: For a joint account you can choose: Either or Survivor (any one can operate), Former or Survivor (primary holder operates), or Jointly (both signatures required).

FAQ ID: 90

Section: Basic Accounts

Question: *How do I update my mobile number in a bank account?*

Answer: Visit your branch with your old and new mobile number and a valid ID proof, fill a request form, and your number will be updated usually within one working day.

FAQ ID: 91

Section: Basic Accounts

Question: *How do I change my address in a bank account?*

Answer: Submit a request at your branch along with a fresh address proof like an Aadhaar, utility bill, or rent agreement. Some banks allow this online too.

FAQ ID: 92

Section: Basic Accounts

Question: *What is a SCSS account?*

Answer: SCSS is Senior Citizen Savings Scheme. It's a government-backed investment for people above 60, offering higher interest rates with a 5-year tenure.

FAQ ID: 93

Section: Basic Accounts

Question: *What is a bank's role in the economy?*

Answer: Banks collect savings from people and lend them to businesses and individuals. This keeps money flowing through the economy and supports growth.

FAQ ID: 94

Section: Basic Accounts

Question: *What is the Insolvency and Bankruptcy Code's impact on banks?*

Answer: The IBC lets banks take faster legal action against large defaulters by initiating resolution or liquidation of the borrower's assets through the NCLT.

FAQ ID: 95

Section: Basic Accounts

Question: *What is a stale cheque?*

Answer: A cheque becomes stale if it is not presented to the bank within 3 months from the date written on it. The bank will not honour a stale cheque.

FAQ ID: 96

Section: Basic Accounts

Question: What is an ante-dated cheque?

Answer: An ante-dated cheque has a date earlier than the date it was written. It's valid as long as it's presented within 3 months of the written date.

FAQ ID: 97

Section: Basic Accounts

Question: What is a post-dated cheque?

Answer: A post-dated cheque carries a future date. The bank will not process it until that date arrives.

FAQ ID: 98

Section: Basic Accounts

Question: What is a bearer cheque?

Answer: A bearer cheque can be encashed by anyone who presents it at the bank counter — no name is required. This makes it risky if lost.

FAQ ID: 99

Section: Basic Accounts

Question: What is an order cheque?

Answer: An order cheque pays only to the person whose name is written on it. The bank verifies identity before making payment.

FAQ ID: 100

Section: Basic Accounts

Question: What is a crossed cheque?

Answer: A crossed cheque has two parallel lines on it meaning it can only be deposited into a bank account and not encashed directly at the counter.

FAQ ID: 101

Section: Basic Accounts

Question: What is account closure procedure?

Answer: Submit a written request, return your debit card and unused cheques, and make sure all pending transactions are cleared. The bank will close the account and pay out the balance.

FAQ ID: 102

Section: Basic Accounts

Question: What is a savings bank interest calculation?

Answer: Banks calculate interest on your daily closing balance and credit it to your account quarterly, usually in March, June, September, and December.

FAQ ID: 103

Section: Basic Accounts

Question: What is the maximum FD tenure?

Answer: Fixed deposits can be opened for a minimum of 7 days and a maximum of 10 years, depending on the bank's product offerings.

FAQ ID: 104

Section: Basic Accounts

Question: What is a gold savings scheme at a bank?

Answer: Some banks offer gold savings schemes where you can make regular payments and redeem them as gold at the end of the scheme period.

FAQ ID: 105

Section: Basic Accounts

Question: What is an individual account?

Answer: An individual account is a standard bank account held in the name of a single person who is the sole owner and operator.

FAQ ID: 106

Section: Basic Accounts

Question: Can a housewife open a bank account?

Answer: Yes, any Indian citizen regardless of employment status can open a savings account with valid KYC documents.

FAQ ID: 107

Section: Basic Accounts

Question: What is the PMJJBY scheme?

Answer: Pradhan Mantri Jeevan Jyoti Bima Yojana is a government life insurance scheme linked to bank accounts. It offers ₹2 lakh life cover for a yearly premium of ₹436.

FAQ ID: 108

Section: Basic Accounts

Question: What is PMSBY?

Answer: Pradhan Mantri Suraksha Bima Yojana offers ₹2 lakh accidental death cover for a yearly premium of just ₹20, linked to your savings account.

FAQ ID: 109

Section: Basic Accounts

Question: What is an account holder?

Answer: An account holder is the person or entity in whose name a bank account is officially registered and who has the authority to operate it.

FAQ ID: 110

Section: Basic Accounts

Question: What is a corporate banking account?

Answer: A corporate banking account is designed for large businesses and offers services like cash management, trade finance, payroll, and foreign currency accounts.

FAQ ID: 111

Section: Basic Accounts

Question: What is a flexi recurring deposit?

Answer: A flexi RD allows you to vary your monthly deposit amount, unlike a regular RD where the amount is fixed. It gives more flexibility to irregular earners.

FAQ ID: 112

Section: Basic Accounts

Question: What is a multi-currency account?

Answer: A multi-currency account holds balances in multiple foreign currencies. It's mainly used by frequent international travellers and businesses dealing in multiple countries.

FAQ ID: 113

Section: Digital Banking

Question: What is a debit card?

Answer: A debit card is linked to your bank account. When you use it to shop or withdraw cash, the money is taken directly from your account.

FAQ ID: 114

Section: Digital Banking

Question: What is a credit card?

Answer: A credit card lets you borrow money from the bank to make purchases. You pay it back later, and if you miss the deadline, you're charged interest.

FAQ ID: 115

Section: Digital Banking

Question: What is a PIN?

Answer: PIN stands for Personal Identification Number. It's your 4–6 digit secret code used to authorise card transactions at ATMs and shops.

FAQ ID: 116

Section: Digital Banking

Question: What is an ATM?

Answer: An ATM is Automated Teller Machine. It lets you withdraw cash, check your balance, and do basic banking without visiting a branch.

FAQ ID: 117

Section: Digital Banking

Question: What is mobile banking?

Answer: Mobile banking is using your bank's app on your smartphone to transfer money, pay bills, check your balance, and manage your account.

FAQ ID: 118

Section: Digital Banking

Question: What is net banking?

Answer: Net banking lets you log in to your bank's website to do all your banking — transfers, bill payments, fixed deposits — from any browser.

FAQ ID: 119

Section: Digital Banking

Question: What is OTP?

Answer: OTP is One-Time Password. It's a temporary code sent to your phone or email to confirm that it's really you doing a transaction.

FAQ ID: 120

Section: Digital Banking

Question: What is NEFT?

Answer: NEFT is National Electronic Funds Transfer. It lets you send money to any bank account in India. Transfers happen in batches every 30 minutes, 24x7.

FAQ ID: 121

Section: Digital Banking

Question: What is RTGS?

Answer: RTGS is Real-Time Gross Settlement. It's for transferring large amounts (above ₹2 lakh) instantly. It works 24x7 and is settled in real time.

FAQ ID: 122

Section: Digital Banking

Question: What is IMPS?

Answer: IMPS is Immediate Payment Service. It lets you send money to any bank account instantly, any time, even on holidays. There's no minimum amount.

FAQ ID: 123

Section: Digital Banking

Question: What is UPI?

Answer: UPI is Unified Payments Interface. It lets you send money instantly using just a mobile number, UPI ID, or QR code — no account number needed.

FAQ ID: 124

Section: Digital Banking

Question: What is a virtual card?

Answer: A virtual card is a digital card number you can use for online shopping without using your real card, keeping your actual card details safe.

FAQ ID: 125

Section: Digital Banking

Question: What is two-factor authentication?

Answer: Two-factor authentication means you need two things to log in — usually your password plus an OTP sent to your phone. It makes your account much harder to hack.

FAQ ID: 126

Section: Digital Banking

Question: What is a daily transaction limit?

Answer: Banks set a maximum amount you can transfer or withdraw in a day for security. You can usually change this in your banking app or at the branch.

FAQ ID: 127

Section: Digital Banking

Question: What is internet banking fraud?

Answer: Internet banking fraud is when someone illegally accesses your account online to steal money. It often happens through phishing or fake bank websites.

FAQ ID: 128

Section: Digital Banking

Question: What is QR code payment?

Answer: You scan a merchant's QR code using your UPI app and the payment goes through instantly. No cash, no card, no hassle.

FAQ ID: 129

Section: Digital Banking

Question: What is a digital wallet?

Answer: A digital wallet like Paytm or Amazon Pay stores your money digitally. You can use it to pay at stores, apps, and websites without a bank card.

FAQ ID: 130

Section: Digital Banking

Question: What is the BHIM app?

Answer: BHIM is a UPI payment app developed by NPCI. You can use it to send and receive money instantly using just a UPI ID or mobile number.

FAQ ID: 131

Section: Digital Banking

Question: What is contactless payment?

Answer: You tap your card or phone on a payment machine to pay. In India, no PIN is needed for amounts up to ₹5,000.

FAQ ID: 132

Section: Digital Banking

Question: What is a QR code?

Answer: A QR code is a square barcode that stores payment information. Merchants display them so customers can scan and pay using any UPI app.

FAQ ID: 133

Section: Digital Banking

Question: What is UPI ID?

Answer: A UPI ID is your payment address, like name@bank. You share it with others so they can send you money without knowing your account number.

FAQ ID: 134

Section: Digital Banking

Question: What is Google Pay?

Answer: Google Pay is a UPI-based payment app by Google. You can use it to send money, pay bills, and recharge phones directly from your bank account.

FAQ ID: 135

Section: Digital Banking

Question: What is PhonePe?

Answer: PhonePe is a popular UPI app in India where you can make payments, split bills, pay utilities, invest in mutual funds, and buy insurance.

FAQ ID: 136

Section: Digital Banking

Question: What is Paytm?

Answer: Paytm is a fintech app offering a digital wallet, UPI payments, bill payments, investing, and even a payments bank account.

FAQ ID: 137

Section: Digital Banking

Question: What is net banking login?

Answer: You log in to net banking using your customer ID or username and a password. A second verification using OTP is usually needed.

FAQ ID: 138

Section: Digital Banking

Question: What is IMPS transfer limit?

Answer: Most banks allow IMPS transfers of up to ₹5 lakh per transaction. Some banks allow up to ₹2–5 lakh per day depending on your account type.

FAQ ID: 139

Section: Digital Banking

Question: How long does NEFT take?

Answer: NEFT settles in the next half-hour batch after you initiate the transfer. It runs 24x7, so your money usually arrives within 30 minutes.

FAQ ID: 140

Section: Digital Banking

Question: *What is RTGS minimum amount?*

Answer: The minimum amount for RTGS is ₹2 lakh. There is no maximum limit. It's ideal for large payments like property deals.

FAQ ID: 141

Section: Digital Banking

Question: *What is a UPI limit per day?*

Answer: RBI allows up to ₹1 lakh per transaction for standard UPI. For specific uses like capital markets or medical emergencies, the limit is ₹5 lakh.

FAQ ID: 142

Section: Digital Banking

Question: *What is UPI AutoPay?*

Answer: UPI AutoPay lets you set up automatic recurring payments — like subscriptions or SIPs — so money is debited without you approving each time.

FAQ ID: 143

Section: Digital Banking

Question: *What is tokenization of cards?*

Answer: Tokenization replaces your actual card number with a unique code (token) during online payments, so your real card details are never exposed.

FAQ ID: 144

Section: Digital Banking

Question: *What is a payment gateway?*

Answer: A payment gateway is the technology that connects online shops to banks, securely processing your card or UPI payment when you checkout.

FAQ ID: 145

Section: Digital Banking

Question: *What is Aadhaar-enabled Payment System?*

Answer: AePS lets you withdraw cash or check balance at a banking agent using just your Aadhaar number and fingerprint — no card or phone needed.

FAQ ID: 146

Section: Digital Banking

Question: *What is a banking correspondent?*

Answer: A banking correspondent is an agent, often a shopkeeper, who provides basic banking services in areas without a bank branch using a handheld device.

FAQ ID: 147

Section: Digital Banking

Question: What is a prepaid card?

Answer: A prepaid card is loaded with a set amount of money beforehand. You can use it like a debit card until the balance runs out.

FAQ ID: 148

Section: Digital Banking

Question: What is CVV on a card?

Answer: CVV is a 3-digit security code on the back of your card. It's used for online transactions to confirm you physically have the card.

FAQ ID: 149

Section: Digital Banking

Question: What is phishing?

Answer: Phishing is when fraudsters send fake emails or messages that look like they're from your bank, trying to trick you into giving your password or OTP.

FAQ ID: 150

Section: Digital Banking

Question: What is vishing?

Answer: Vishing is phone fraud. Someone calls pretending to be a bank official and tries to get you to share your account details or OTP.

FAQ ID: 151

Section: Digital Banking

Question: What is smishing?

Answer: Smishing is SMS fraud. You get a message with a suspicious link claiming to be from your bank. Clicking it can steal your info or install malware.

FAQ ID: 152

Section: Digital Banking

Question: What is card skimming?

Answer: Card skimming is when fraudsters attach a hidden device to an ATM to copy your card data, which they then use to make fake cards.

FAQ ID: 153

Section: Digital Banking

Question: What is a chargeback?

Answer: If you dispute a card transaction — say you didn't get what you paid for — your bank can reverse the payment through a chargeback process.

FAQ ID: 154

Section: Digital Banking

Question: What is e-KYC?

Answer: e-KYC is electronic KYC using your Aadhaar number. It verifies your identity digitally in seconds without any physical paperwork.

FAQ ID: 155

Section: Digital Banking

Question: What is DigiLocker?

Answer: DigiLocker is a government app where you can store digital copies of your Aadhaar, PAN, and other documents. Banks accept these for KYC.

FAQ ID: 156

Section: Digital Banking

Question: What is USSD banking?

Answer: USSD banking lets you access banking services like balance check and fund transfer by dialling *99# on any mobile phone, even without internet.

FAQ ID: 157

Section: Digital Banking

Question: What is the BBPS?

Answer: BBPS is Bharat Bill Payment System. It's a single platform to pay all kinds of bills — electricity, water, gas, loan EMIs — through any bank or app.

FAQ ID: 158

Section: Digital Banking

Question: What is FASTag?

Answer: FASTag is an RFID sticker on your car's windscreen. When you pass a toll booth, the fee is automatically deducted from your linked account.

FAQ ID: 159

Section: Digital Banking

Question: *What is a missed call banking service?*

Answer: Many banks let you check your balance or get a mini statement by just giving a missed call from your registered mobile number — no internet needed.

FAQ ID: 160

Section: Digital Banking

Question: *What is IVR banking?*

Answer: IVR lets you do basic banking by calling your bank's helpline and pressing numbered keys on your phone to check balance, report lost cards, etc.

FAQ ID: 161

Section: Digital Banking

Question: *What is open banking?*

Answer: Open banking lets you share your financial data with trusted third-party apps (with your permission) to get better financial tools and services.

FAQ ID: 162

Section: Digital Banking

Question: *What is a banking chatbot?*

Answer: A banking chatbot is an AI assistant on your bank's app or website that answers questions, helps with transactions, and resolves issues instantly.

FAQ ID: 163

Section: Digital Banking

Question: *What is the free ATM withdrawal limit?*

Answer: RBI allows 5 free ATM transactions at your own bank and 3 free transactions at other banks in metro cities per month. After that, ₹21 is charged per transaction.

FAQ ID: 164

Section: Digital Banking

Question: *What is a failed ATM transaction?*

Answer: If money is deducted from your account but you don't get cash from the ATM, the bank must reverse the amount within 5 business days.

FAQ ID: 165

Section: Digital Banking

Question: *What is the NPCI?*

Answer: NPCI is National Payments Corporation of India. It runs all major Indian payment systems like UPI, RuPay, IMPS, FASTag, and NACH.

FAQ ID: 166

Section: Digital Banking

Question: What is a debit card daily limit?

Answer: Banks usually allow ₹40,000–₹1 lakh per day on debit cards. You can change this in your banking app within the maximum limit.

FAQ ID: 167

Section: Digital Banking

Question: What is UPI Lite?

Answer: UPI Lite is for small payments up to ₹500. It uses on-device balance and works without internet. Great for quick, low-value transactions.

FAQ ID: 168

Section: Digital Banking

Question: What is a credit card statement?

Answer: It's a monthly summary of all your credit card transactions, the total amount due, minimum payment due, and the payment due date.

FAQ ID: 169

Section: Digital Banking

Question: What is a credit card billing cycle?

Answer: A billing cycle is the monthly period (usually 30 days) during which all credit card transactions are recorded and billed.

FAQ ID: 170

Section: Digital Banking

Question: What is a credit card grace period?

Answer: The grace period is the time between your billing date and payment due date — usually 15–25 days. Pay the full amount in this period to avoid interest.

FAQ ID: 171

Section: Digital Banking

Question: What is a credit card minimum payment?

Answer: The minimum payment is the smallest amount (usually 5% of the balance) you must pay each month to keep your credit card account in good standing.

FAQ ID: 172

Section: Digital Banking

Question: What is credit card interest?

Answer: If you don't pay your full credit card bill, interest is charged on the outstanding amount — usually 24% to 42% per year, which is very high.

FAQ ID: 173

Section: Digital Banking

Question: What is a credit card cash advance?

Answer: A cash advance lets you withdraw cash using your credit card. It usually has a high fee and interest starts from day one, with no grace period.

FAQ ID: 174

Section: Digital Banking

Question: What is a debit card international usage?

Answer: Debit cards can be used abroad if the bank activates international access. A small conversion fee applies on each foreign currency transaction.

FAQ ID: 175

Section: Digital Banking

Question: What is a credit card reward program?

Answer: Credit card rewards give you points or cashback on every purchase. Accumulated points can be redeemed for travel, shopping, or bill payments.

FAQ ID: 176

Section: Digital Banking

Question: What is a credit card annual fee?

Answer: An annual fee is a yearly charge for using a credit card. Some cards are lifetime-free; premium cards may charge ■500 to ■10,000 per year.

FAQ ID: 177

Section: Digital Banking

Question: What is a card block request?

Answer: If your card is lost or stolen, you can block it instantly by calling the bank's helpline, using the mobile app, or sending an SMS.

FAQ ID: 178

Section: Digital Banking

Question: *What is a digital loan?*

Answer: A digital loan is sanctioned and disbursed entirely online in minutes, using data from your bank account, credit score, and digital income proof.

FAQ ID: 179

Section: Digital Banking

Question: *What is UPI 123PAY?*

Answer: UPI 123PAY allows feature phone users without internet to make UPI payments via IVR call or missed call, extending digital banking to rural India.

FAQ ID: 180

Section: Digital Banking

Question: *What is SIM swap fraud?*

Answer: SIM swap fraud is when a criminal gets a duplicate SIM in your name, takes over your mobile number, and intercepts your OTPs to access your bank account.

FAQ ID: 181

Section: Digital Banking

Question: *What is a bank's cyber security team?*

Answer: A bank's cyber security team monitors transactions around the clock, blocks suspicious activity, and responds to fraud to protect customer accounts.

FAQ ID: 182

Section: Digital Banking

Question: *What is AePS withdrawal?*

Answer: With AePS, you can withdraw cash from a business correspondent's micro ATM using only your Aadhaar number and fingerprint — no card or PIN required.

FAQ ID: 183

Section: Digital Banking

Question: *What is the National Financial Switch?*

Answer: NFS is the ATM network run by NPCI that connects all ATMs in India, letting you withdraw cash from any bank's ATM using any bank's card.

FAQ ID: 184

Section: Digital Banking

Question: *What is a debit card EMI?*

Answer: Some banks allow you to convert large debit card purchases into EMIs. The amount is deducted monthly from your account with a small interest charge.

FAQ ID: 185

Section: Digital Banking

Question: What is a recurring payment?

Answer: A recurring payment is an automatic debit that happens every month for things like loan EMIs, insurance premiums, or streaming subscriptions.

FAQ ID: 186

Section: Digital Banking

Question: What is NACH debit?

Answer: NACH debit is an automatic payment pulled from your account by a lender or service provider after you authorize it once via a mandate.

FAQ ID: 187

Section: Digital Banking

Question: What is a NACH return charge?

Answer: If a NACH debit fails because your account had insufficient funds, the bank charges you a return fee — usually ₹100 to ₹500.

FAQ ID: 188

Section: Digital Banking

Question: What is Net Banking 2FA?

Answer: Net banking uses two-factor authentication: your password (first factor) and an OTP sent to your registered mobile (second factor), to keep your account safe.

FAQ ID: 189

Section: Digital Banking

Question: What is a payment app PIN?

Answer: A payment app PIN is a 4–6 digit code you set in UPI apps like Google Pay or PhonePe to authorize each money transfer from your phone.

FAQ ID: 190

Section: Digital Banking

Question: What is a banking app update?

Answer: Banks regularly update their apps to fix security issues, add new features, and comply with RBI guidelines. Always keep your banking app updated.

FAQ ID: 191

Section: Digital Banking

Question: What is biometric login in banking?

Answer: Biometric login lets you access your banking app using your fingerprint or face instead of a password, making it faster and more secure.

FAQ ID: 192

Section: Digital Banking

Question: What is the e-Rupee?

Answer: The e-Rupee is India's Central Bank Digital Currency launched by RBI. It's a digital form of cash, equal in value to physical rupee notes.

FAQ ID: 193

Section: Digital Banking

Question: What is CBDC?

Answer: CBDC is Central Bank Digital Currency. In India, RBI's Digital Rupee is a CBDC that works like cash but in digital form, without needing a bank account.

FAQ ID: 194

Section: Digital Banking

Question: What is an IBAN?

Answer: IBAN is International Bank Account Number. It's a standard format for bank account numbers used in international transfers, especially in Europe and the Middle East.

FAQ ID: 195

Section: Digital Banking

Question: What is a SWIFT code?

Answer: SWIFT code is a unique code identifying your bank's international address. It's needed when sending or receiving money across countries.

FAQ ID: 196

Section: Digital Banking

Question: What is cross-border payment?

Answer: Cross-border payment is sending money from one country to another. It involves currency conversion and is processed through SWIFT or correspondent banks.

FAQ ID: 197

Section: Digital Banking

Question: *What is a wire transfer?*

Answer: A wire transfer is an electronic transfer of funds between banks, often used for international payments. It's secure but may take 1–5 business days.

FAQ ID: 198

Section: Digital Banking

Question: *What is a remittance?*

Answer: Remittance is money sent by someone working abroad back to their family in their home country. In India, remittances from NRIs are a major source of income.

FAQ ID: 199

Section: Digital Banking

Question: *What is the RBI Retail Direct platform?*

Answer: RBI Retail Direct is a platform where you can directly buy government bonds, treasury bills, and sovereign gold bonds online without a broker.

FAQ ID: 200

Section: Digital Banking

Question: *What is Sovereign Gold Bond?*

Answer: Sovereign Gold Bonds are RBI-issued bonds that give you returns linked to gold prices plus 2.5% annual interest. No storage risk and capital gains are tax-free on maturity.

FAQ ID: 201

Section: Digital Banking

Question: *What is a Demat account?*

Answer: A Demat account holds your shares and securities in electronic form, like a bank account holds money. It's needed for trading in the stock market.

FAQ ID: 202

Section: Digital Banking

Question: *What is an online fixed deposit?*

Answer: You can open an FD through net banking or your mobile app without visiting a branch. The rate is the same as at the branch.

FAQ ID: 203

Section: Digital Banking

Question: *What is 3D Secure for credit cards?*

Answer: 3D Secure is an extra authentication step — usually an OTP — required for online credit card transactions to prevent unauthorised use.

FAQ ID: 204

Section: Digital Banking

Question: What is card-not-present fraud?

Answer: Card-not-present fraud happens when someone uses your card details (number, CVV, expiry) for online purchases without having your physical card.

FAQ ID: 205

Section: Digital Banking

Question: What is a mobile POS terminal?

Answer: A mobile POS is a card-swiping device connected to a smartphone. Small merchants use it to accept debit/credit card payments on the go.

FAQ ID: 206

Section: Digital Banking

Question: What is a QR code merchant?

Answer: A merchant who displays a QR code on their counter for customers to scan and pay using any UPI app, without needing a card machine.

FAQ ID: 207

Section: Digital Banking

Question: What is cardless cash withdrawal?

Answer: You can withdraw cash at certain ATMs using just your mobile banking app and a one-time code — no card needed.

FAQ ID: 208

Section: Digital Banking

Question: What is a UPI transaction ID?

Answer: Every UPI payment generates a unique transaction ID (UTR number). Use it to track your payment or raise a dispute if something goes wrong.

FAQ ID: 209

Section: Digital Banking

Question: What is a NEFT UTR number?

Answer: A UTR (Unique Transaction Reference) number is generated for every NEFT and RTGS transfer. It's used to track or dispute a transaction.

FAQ ID: 210

Section: Digital Banking

Question: What is a digital savings account?

Answer: A digital savings account is opened and operated entirely online. It works like a regular savings account but with no physical branch visits required.

FAQ ID: 211

Section: Digital Banking

Question: What is real-time balance update?

Answer: After any transaction, your account balance is updated instantly in your mobile app or net banking, so you always know exactly how much you have.

FAQ ID: 212

Section: Digital Banking

Question: What is an SMS transaction alert?

Answer: Banks send you an SMS every time a transaction happens on your account — credit, debit, ATM withdrawal — so you can immediately detect fraud.

FAQ ID: 213

Section: Digital Banking

Question: What is a bank's 24x7 helpline?

Answer: Most banks have a toll-free 24-hour helpline where you can block cards, report fraud, get balance info, or raise complaints anytime.

FAQ ID: 214

Section: Digital Banking

Question: What is a payment failure and auto-refund?

Answer: If an online payment fails but money is deducted, the bank must auto-refund within 5 business days. If not done, they owe you compensation.

FAQ ID: 215

Section: Digital Banking

Question: What is BBPS bill payment?

Answer: Through BBPS, you can pay any recurring bill — electricity, broadband, water, insurance, school fees — through any bank app or payment platform.

FAQ ID: 216

Section: Digital Banking

Question: *What is a bank token?*

Answer: A bank token (hardware or software) generates a one-time code for added security when logging into net banking or authorizing large transactions.

FAQ ID: 217

Section: Digital Banking

Question: *What is a push notification in banking?*

Answer: Push notifications are alerts from your bank app for every transaction, low balance, new offers, or due payments — keeping you instantly informed.

FAQ ID: 218

Section: Digital Banking

Question: *What is a one-time password for banking?*

Answer: An OTP is a temporary 4–6 digit code sent to your phone to confirm a transaction or login attempt. It expires in 60–300 seconds and can't be reused.

FAQ ID: 219

Section: Loans & Interest

Question: *What is a loan?*

Answer: A loan is money you borrow from a bank and agree to pay back over time with interest.

FAQ ID: 220

Section: Loans & Interest

Question: *What is a home loan?*

Answer: A home loan is money borrowed from a bank to buy or build a house. You repay it in monthly instalments over 10–30 years.

FAQ ID: 221

Section: Loans & Interest

Question: *What is a personal loan?*

Answer: A personal loan is an unsecured loan you can use for any purpose — medical bills, travel, wedding, or home repair. No collateral is needed.

FAQ ID: 222

Section: Loans & Interest

Question: *What is a car loan?*

Answer: A car loan is taken to buy a vehicle. The car itself acts as security. You repay it in EMIs, usually over 3–7 years.

FAQ ID: 223

Section: Loans & Interest

Question: What is a gold loan?

Answer: A gold loan is where you pledge your gold jewellery or coins at the bank and get cash in return. It's quick and doesn't need a credit score.

FAQ ID: 224

Section: Loans & Interest

Question: What is an education loan?

Answer: An education loan helps students fund their higher education in India or abroad. Repayment usually begins 6–12 months after getting a job.

FAQ ID: 225

Section: Loans & Interest

Question: What is a business loan?

Answer: A business loan provides working capital or funds for business expansion. It can be secured or unsecured depending on the lender.

FAQ ID: 226

Section: Loans & Interest

Question: What is a crop loan?

Answer: A crop loan (Kisan Credit Card) is a short-term loan for farmers to buy seeds, fertilizers, and equipment for their agricultural activities.

FAQ ID: 227

Section: Loans & Interest

Question: What is collateral?

Answer: Collateral is an asset you offer the bank as security for a loan — like your house, car, or gold. If you don't repay, the bank can take it.

FAQ ID: 228

Section: Loans & Interest

Question: What is an EMI?

Answer: EMI stands for Equated Monthly Instalment. It's the fixed amount you pay every month to repay your loan, combining principal and interest.

FAQ ID: 229

Section: Loans & Interest

Question: *What is a credit score?*

Answer: A credit score is a number between 300 and 900 that shows how reliable you are as a borrower. A score above 750 is considered good.

FAQ ID: 230

Section: Loans & Interest

Question: *What is CIBIL score?*

Answer: CIBIL score is a credit score by TransUnion CIBIL, the most commonly used credit bureau in India. Lenders check it before approving loans.

FAQ ID: 231

Section: Loans & Interest

Question: *How can I improve my credit score?*

Answer: Pay your EMIs and credit card bills on time, avoid applying for too many loans at once, and keep your credit utilisation below 30%.

FAQ ID: 232

Section: Loans & Interest

Question: *What is a default on a loan?*

Answer: Defaulting means failing to repay a loan as agreed. It damages your credit score and the bank can take legal action or seize your collateral.

FAQ ID: 233

Section: Loans & Interest

Question: *What is a repo rate?*

Answer: Repo rate is the rate at which RBI lends money to banks. When RBI raises it, banks also raise their lending rates, making loans costlier.

FAQ ID: 234

Section: Loans & Interest

Question: *What is reverse repo rate?*

Answer: Reverse repo rate is the rate at which RBI borrows money from banks. It's used to control excess liquidity in the banking system.

FAQ ID: 235

Section: Loans & Interest

Question: *What is the base rate?*

Answer: The base rate is the minimum rate banks can lend at. It was replaced by MCLR in 2016 to make loan interest rates more transparent.

FAQ ID: 236

Section: Loans & Interest

Question: What is MCLR?

Answer: MCLR is Marginal Cost of Funds based Lending Rate — the minimum interest rate below which a bank cannot lend. It adjusts monthly.

FAQ ID: 237

Section: Loans & Interest

Question: What is simple interest?

Answer: Simple interest is calculated only on the original amount. For example, 10% simple interest on ₹10,000 gives ₹1,000 per year.

FAQ ID: 238

Section: Loans & Interest

Question: What is compound interest?

Answer: Compound interest is calculated on the original amount plus previously earned interest. Your money grows faster with compounding.

FAQ ID: 239

Section: Loans & Interest

Question: What is a loan tenure?

Answer: Loan tenure is the total time you have to repay the loan. Longer tenures mean smaller EMIs but more total interest paid.

FAQ ID: 240

Section: Loans & Interest

Question: What is a loan sanction letter?

Answer: A loan sanction letter is an official document from the bank confirming your loan is approved, with details of the amount, interest rate, and repayment terms.

FAQ ID: 241

Section: Loans & Interest

Question: What is a loan disbursement?

Answer: Loan disbursement is when the bank actually transfers the approved loan money to your account or directly to the seller (in case of home or car loans).

FAQ ID: 242

Section: Loans & Interest

Question: What is a loan statement?

Answer: A loan statement shows your outstanding principal, interest paid, EMIs paid so far, and the remaining schedule of payments.

FAQ ID: 243

Section: Loans & Interest

Question: What is loan foreclosure?

Answer: Foreclosure means paying off your entire remaining loan balance before the tenure ends. Most banks allow this with minimal or no penalty for floating rate loans.

FAQ ID: 244

Section: Loans & Interest

Question: What is a prepayment penalty?

Answer: Some banks charge a fee if you repay your loan early. RBI has banned foreclosure charges on floating rate home and personal loans for individual borrowers.

FAQ ID: 245

Section: Loans & Interest

Question: What is a secured loan?

Answer: A secured loan requires collateral. If you don't repay, the lender takes your pledged asset. Examples: home loan, car loan, gold loan.

FAQ ID: 246

Section: Loans & Interest

Question: What is an unsecured loan?

Answer: An unsecured loan doesn't need collateral. It's based on your credit score and income. Examples: personal loan, credit card loan.

FAQ ID: 247

Section: Loans & Interest

Question: What is a top-up loan?

Answer: A top-up loan is an additional loan on top of your existing home loan. It's useful for renovation or emergencies and comes at a similar low interest rate.

FAQ ID: 248

Section: Loans & Interest

Question: *What is a loan against property?*

Answer: You mortgage your residential or commercial property to the bank and get a large loan. The property is returned to you once the loan is repaid.

FAQ ID: 249

Section: Loans & Interest

Question: *What is a loan against FD?*

Answer: You can borrow up to 90% of your FD value by pledging it as collateral. The interest rate is usually 1–2% above the FD rate.

FAQ ID: 250

Section: Loans & Interest

Question: *What is a moratorium period?*

Answer: A moratorium is a temporary pause on loan repayment allowed by the bank. During this time, EMIs are paused but interest keeps accumulating.

FAQ ID: 251

Section: Loans & Interest

Question: *What is an amortisation schedule?*

Answer: An amortisation schedule is a table showing how each EMI is split between principal and interest, and the outstanding balance after each payment.

FAQ ID: 252

Section: Loans & Interest

Question: *What is the impact of credit score on loan?*

Answer: A higher credit score helps you get a loan approved faster, at a lower interest rate, and with better repayment terms. A low score may result in rejection.

FAQ ID: 253

Section: Loans & Interest

Question: *What is a loan EMI calculator?*

Answer: An EMI calculator is an online tool where you enter loan amount, interest rate, and tenure to instantly calculate your monthly payment.

FAQ ID: 254

Section: Loans & Interest

Question: *What is floating rate of interest?*

Answer: A floating rate changes with market conditions (like MCLR or repo rate). Your EMI or tenure can change when interest rates go up or down.

FAQ ID: 255

Section: Loans & Interest

Question: What is a fixed rate of interest?

Answer: A fixed interest rate stays the same throughout the loan tenure, making your EMI predictable and unaffected by market fluctuations.

FAQ ID: 256

Section: Loans & Interest

Question: What is a loan restructuring?

Answer: Loan restructuring is when the bank changes the terms of your loan — like extending tenure or reducing interest rate — to help you if you're struggling to repay.

FAQ ID: 257

Section: Loans & Interest

Question: What is a Kisan Credit Card?

Answer: Kisan Credit Card is a scheme giving farmers easy access to affordable short-term credit for cultivation, post-harvest needs, and maintenance of farm assets.

FAQ ID: 258

Section: Loans & Interest

Question: What is a MUDRA loan?

Answer: MUDRA loans under Pradhan Mantri MUDRA Yojana give loans up to ₹10 lakh to small businesses without collateral. Categories: Shishu, Kishor, and Tarun.

FAQ ID: 259

Section: Loans & Interest

Question: What is a microfinance loan?

Answer: Microfinance loans are tiny loans given to low-income individuals or groups (especially women in rural areas) who can't access regular bank credit.

FAQ ID: 260

Section: Loans & Interest

Question: What is a Subvention scheme on home loan?

Answer: Under a subvention scheme, the builder pays the home loan interest during construction. The buyer starts paying EMI only after possession.

FAQ ID: 261

Section: Loans & Interest

Question: What is a home loan balance transfer?

Answer: Transferring your home loan to another bank offering a lower interest rate is called a balance transfer. It can save you a significant amount over the loan tenure.

FAQ ID: 262

Section: Loans & Interest

Question: What is loan processing fee?

Answer: A processing fee is a one-time charge by the bank for evaluating and approving your loan application. It's usually 0.5–2% of the loan amount.

FAQ ID: 263

Section: Loans & Interest

Question: What is a guarantor?

Answer: A guarantor is a person who promises to repay the loan if the primary borrower fails to do so. Banks sometimes require a guarantor for unsecured or large loans.

FAQ ID: 264

Section: Loans & Interest

Question: What is credit utilisation ratio?

Answer: It's the percentage of your credit card or loan limit that you're currently using. Keeping it below 30% helps maintain a healthy credit score.

FAQ ID: 265

Section: Loans & Interest

Question: What is a loan default notice?

Answer: If you miss several EMIs, the bank sends a legal notice warning you to clear dues. Ignoring it can lead to recovery action or asset seizure.

FAQ ID: 266

Section: Loans & Interest

Question: What is an NPA?

Answer: NPA is Non-Performing Asset. If a loan's interest or principal hasn't been paid for 90 days, it becomes an NPA and the bank has to make a provision for it.

FAQ ID: 267

Section: Loans & Interest

Question: *What is SARFAESI Act?*

Answer: The SARFAESI Act allows banks to take over and sell a defaulter's secured assets without going to court, to recover outstanding loan amounts.

FAQ ID: 268

Section: Loans & Interest

Question: *What is a debt consolidation loan?*

Answer: A debt consolidation loan combines multiple loans or debts into one single loan with a lower interest rate, making repayment simpler.

FAQ ID: 269

Section: Loans & Interest

Question: *What is a loan against mutual funds?*

Answer: You can pledge your mutual fund units as collateral and get an overdraft or loan against them. You don't need to sell your investments.

FAQ ID: 270

Section: Loans & Interest

Question: *What is a working capital loan?*

Answer: A working capital loan helps businesses cover day-to-day operating costs like salaries, inventory, and utility bills when cash flow is low.

FAQ ID: 271

Section: Loans & Interest

Question: *What is a term loan?*

Answer: A term loan is a lump sum borrowed for a fixed period, repaid in regular instalments. Used for business expansion, equipment purchase, or personal needs.

FAQ ID: 272

Section: Loans & Interest

Question: *What is a cash credit facility?*

Answer: Cash credit is a short-term credit facility where a business can withdraw money up to a sanctioned limit as needed, paying interest only on what's used.

FAQ ID: 273

Section: Loans & Interest

Question: *What is a bill discounting?*

Answer: Bill discounting is when a bank pays you the value of a trade invoice before its due date (minus a discount fee), improving your business cash flow.

FAQ ID: 274

Section: Loans & Interest

Question: What is hypothecation?

Answer: Hypothecation is pledging a movable asset (like a car or stocks) as security for a loan without transferring ownership to the lender.

FAQ ID: 275

Section: Loans & Interest

Question: What is a pledge vs mortgage?

Answer: A pledge is for movable assets (gold, shares) given to the lender. A mortgage is for immovable property (land, house) where ownership stays with you.

FAQ ID: 276

Section: Loans & Interest

Question: What is a lien on account?

Answer: A lien is a hold placed by the bank on your account or asset to secure repayment of a loan. You can't freely use the linked funds until the lien is lifted.

FAQ ID: 277

Section: Loans & Interest

Question: What is a balloon payment?

Answer: A balloon payment is a large lump sum paid at the end of a loan tenure after smaller regular payments. Common in some vehicle and business loans.

FAQ ID: 278

Section: Loans & Interest

Question: What is a step-up EMI?

Answer: A step-up EMI plan starts with lower EMIs that gradually increase over time — helpful for young professionals whose income is expected to grow.

FAQ ID: 279

Section: Loans & Interest

Question: What is a step-down EMI?

Answer: Step-down EMIs start higher and decrease over time — suitable for borrowers who expect income to reduce in future years.

FAQ ID: 280

Section: Loans & Interest

Question: What is a home loan tax benefit?

Answer: Home loan borrowers can claim deduction of up to ■2 lakh per year on interest under Section 24(b) and ■1.5 lakh on principal under Section 80C.

FAQ ID: 281

Section: Loans & Interest

Question: What is education loan interest deduction?

Answer: Interest paid on education loans is fully deductible under Section 80E of the Income Tax Act for up to 8 years after the loan repayment starts.

FAQ ID: 282

Section: Loans & Interest

Question: What is a co-applicant in a home loan?

Answer: Adding a co-applicant like a spouse increases combined income, improving eligibility and sometimes getting a better interest rate. Both share repayment responsibility.

FAQ ID: 283

Section: Loans & Interest

Question: What is LTV ratio in home loans?

Answer: LTV is Loan-to-Value ratio — the percentage of the property value the bank will fund. RBI mandates that banks lend no more than 75–90% of property value.

FAQ ID: 284

Section: Loans & Interest

Question: What is a bridge loan?

Answer: A bridge loan is a short-term loan to bridge a funding gap — for example, when you're selling one house and buying another at the same time.

FAQ ID: 285

Section: Loans & Interest

Question: What is a loan EMI bounce?

Answer: An EMI bounce happens when your bank account doesn't have enough funds to pay the EMI on the due date. The bank charges a bounce fee and it affects your credit score.

FAQ ID: 286

Section: Loans & Interest

Question: *What is a personal loan eligibility?*

Answer: Personal loan eligibility depends on your income, employment type, credit score, age, and existing EMI obligations. Most banks require a minimum salary of ₹15,000–₹25,000.

FAQ ID: 287

Section: Loans & Interest

Question: *What is a loan against shares?*

Answer: You can pledge your stock market holdings as collateral and get an overdraft facility from the bank. The limit is usually 50–70% of share market value.

FAQ ID: 288

Section: Loans & Interest

Question: *What is an emergency loan?*

Answer: An emergency loan or instant personal loan is a quick, short-tenure loan disbursed in hours or minutes through a mobile app, meant for urgent cash needs.

FAQ ID: 289

Section: Loans & Interest

Question: *What is a revolving credit facility?*

Answer: A revolving credit facility lets you borrow, repay, and borrow again up to a set limit — like a credit card or overdraft account. You only pay interest on what you use.

FAQ ID: 290

Section: Loans & Interest

Question: *What is a substandard asset?*

Answer: A substandard asset is a loan that has remained an NPA for less than or equal to 12 months. Banks need to set aside provisions for these.

FAQ ID: 291

Section: Loans & Interest

Question: *What is a doubtful asset?*

Answer: A doubtful asset is a loan that has been NPA for more than 12 months. Recovery becomes uncertain and banks have to provision heavily.

FAQ ID: 292

Section: Loans & Interest

Question: *What is a loss asset?*

Answer: A loss asset is a loan where the bank has accepted that recovery is almost impossible. The entire loan amount must be written off or provisioned.

FAQ ID: 293

Section: Loans & Interest

Question: What is a written-off loan?

Answer: When a bank gives up on recovering a loan, it removes it from its books as a loss. But the bank can still legally pursue the borrower for repayment.

FAQ ID: 294

Section: Loans & Interest

Question: What is a credit bureau?

Answer: A credit bureau collects credit history from banks and issues credit scores. In India, the four main credit bureaus are CIBIL, Experian, Equifax, and CRIF High Mark.

FAQ ID: 295

Section: Loans & Interest

Question: What is a credit report?

Answer: A credit report is a detailed record of all your past and current loans, credit cards, repayment history, and outstanding amounts, compiled by a credit bureau.

FAQ ID: 296

Section: Loans & Interest

Question: What is a hard enquiry on credit?

Answer: A hard enquiry happens when a bank pulls your credit report to evaluate a loan or credit card application. Too many in a short period can lower your credit score.

FAQ ID: 297

Section: Loans & Interest

Question: What is a soft enquiry on credit?

Answer: A soft enquiry is when you or a company checks your credit score for informational purposes. It doesn't affect your credit score.

FAQ ID: 298

Section: Loans & Interest

Question: What is an auto loan?

Answer: An auto loan or vehicle loan is taken to purchase a two-wheeler or four-wheeler. The vehicle itself is hypothecated to the bank until the loan is fully repaid.

FAQ ID: 299

Section: Loans & Interest

Question: What is a tractor loan?

Answer: A tractor loan is a specialized agricultural vehicle loan given to farmers at concessional interest rates, often subsidized by the government.

FAQ ID: 300

Section: Loans & Interest

Question: What is a housing finance company?

Answer: A housing finance company (HFC) like LIC Housing Finance or HDFC Ltd specializes in home loans. They are regulated by NHB (National Housing Bank).

FAQ ID: 301

Section: Loans & Interest

Question: What is a microfinance institution?

Answer: An MFI provides small loans to low-income borrowers, especially women in rural areas, without requiring collateral. They operate through joint liability groups.

FAQ ID: 302

Section: Loans & Interest

Question: What is a joint liability group?

Answer: A joint liability group is 4–10 individuals who borrow collectively and are jointly responsible for repaying the loan. If one defaults, others are liable.

FAQ ID: 303

Section: Loans & Interest

Question: What is the subvention scheme for home loans?

Answer: In a subvention scheme, the developer pays the loan interest during construction. The buyer's full EMI starts only when the property is handed over.

FAQ ID: 304

Section: Loans & Interest

Question: What is a secured overdraft?

Answer: A secured overdraft gives you a credit line by pledging FD, property, or shares as collateral. Interest is charged only on the amount withdrawn.

FAQ ID: 305

Section: Loans & Interest

Question: *What is an unsecured overdraft?*

Answer: An unsecured overdraft gives you a credit line based on your income and credit score, without pledging any asset. It usually has a higher interest rate.

FAQ ID: 306

Section: Loans & Interest

Question: *What is a loan NOC?*

Answer: An NOC (No Objection Certificate) is issued by the bank after you repay your loan fully. It confirms the debt is cleared and releases any lien on your asset.

FAQ ID: 307

Section: Loans & Interest

Question: *What is a loan hypothecation removal?*

Answer: After repaying a vehicle or asset loan, you apply to remove the hypothecation from the RC (Registration Certificate). The bank issues NOC to complete this process.

FAQ ID: 308

Section: Loans & Interest

Question: *What is an EMI holiday?*

Answer: An EMI holiday is a break from paying instalments, allowed by some banks at the beginning of a loan. Interest continues to accumulate during this period.

FAQ ID: 309

Section: Loans & Interest

Question: *What is a study abroad education loan?*

Answer: Banks give education loans for studying abroad at higher amounts (up to ₹1.5 crore) with collateral. The RBI and government offer some interest subsidy schemes.

FAQ ID: 310

Section: Loans & Interest

Question: *What is PM SVANidhi scheme?*

Answer: PM SVANidhi provides collateral-free working capital loans to street vendors: ₹10,000 initially, scaling up to ₹50,000 upon timely repayment.

FAQ ID: 311

Section: Loans & Interest

Question: *What is a home equity loan?*

Answer: A home equity loan lets you borrow against the equity (market value minus outstanding loan) in your property for a one-time lump sum.

FAQ ID: 312

Section: Loans & Interest

Question: What is peer-to-peer lending?

Answer: P2P lending is an online platform where individuals lend money directly to other individuals or businesses, bypassing banks. Regulated by RBI in India.

FAQ ID: 313

Section: Loans & Interest

Question: What is digital lending?

Answer: Digital lending is applying for and receiving a loan entirely online through a bank or fintech app, often getting approval and disbursal within minutes.

FAQ ID: 314

Section: Loans & Interest

Question: What is credit risk?

Answer: Credit risk is the risk that a borrower will not repay their loan as promised. Banks assess this using credit scores, income proof, and collateral.

FAQ ID: 315

Section: Loans & Interest

Question: What is an interest rate reset?

Answer: For floating rate loans, the interest rate resets periodically (monthly or annually) based on the benchmark like MCLR or repo rate at that time.

FAQ ID: 316

Section: Loans & Interest

Question: What is a standing instruction for EMI?

Answer: A standing instruction authorizes your bank to automatically debit the EMI amount from your account every month on the due date, so you never miss a payment.

FAQ ID: 317

Section: Loans & Interest

Question: What is a loan restructuring under RBI guidelines?

Answer: RBI sometimes allows banks to restructure loans during national crises (like COVID-19) by extending tenure, reducing rates, or converting unpaid interest to a new loan.

FAQ ID: 318

Section: Operations & Security

Question: What is a bank statement?

Answer: A bank statement is a monthly record of all transactions in your account — deposits, withdrawals, fees, and interest — for a specific time period.

FAQ ID: 319

Section: Operations & Security

Question: What is ledger balance?

Answer: Ledger balance is the total amount in your account at the start of the day, including any recent transactions that have been processed and settled.

FAQ ID: 320

Section: Operations & Security

Question: What is available balance?

Answer: Available balance is the money you can actually spend right now. It may be lower than the ledger balance if some transactions are still pending.

FAQ ID: 321

Section: Operations & Security

Question: What is a bank teller?

Answer: A bank teller is the staff member at the bank counter who handles cash deposits, withdrawals, and other basic customer requests.

FAQ ID: 322

Section: Operations & Security

Question: What is a branch manager?

Answer: The branch manager is in charge of the entire branch — managing staff, approving certain loans, ensuring good customer service, and meeting business targets.

FAQ ID: 323

Section: Operations & Security

Question: What is KYC verification?

Answer: KYC verification is how the bank confirms your identity and address using documents like Aadhaar, PAN card, or passport to prevent fraud.

FAQ ID: 324

Section: Operations & Security

Question: *What is account freezing?*

Answer: Account freezing is a temporary block on your account — no withdrawals or transfers — usually due to fraud suspicion, court orders, or KYC non-compliance.

FAQ ID: 325

Section: Operations & Security

Question: *What is a stop payment request?*

Answer: A stop payment is an instruction to the bank to not honour a cheque you already issued. It must be placed before the cheque is presented for clearing.

FAQ ID: 326

Section: Operations & Security

Question: *What is a cash deposit machine?*

Answer: A CDM is a self-service machine at the bank where you can deposit cash into your account without needing a teller, even outside banking hours.

FAQ ID: 327

Section: Operations & Security

Question: *What is AML?*

Answer: AML stands for Anti-Money Laundering. It's a set of rules and checks that banks follow to prevent criminals from disguising dirty money as legitimate funds.

FAQ ID: 328

Section: Operations & Security

Question: *What is a bank audit?*

Answer: A bank audit is a detailed check of the bank's financial records by external auditors or RBI to ensure compliance and accuracy.

FAQ ID: 329

Section: Operations & Security

Question: *What is bank reconciliation?*

Answer: Bank reconciliation is when a business compares its own records with the bank statement to make sure every transaction matches and there are no errors.

FAQ ID: 330

Section: Operations & Security

Question: *What is a suspicious transaction report?*

Answer: If a bank spots an unusual or potentially illegal transaction, it files a Suspicious Transaction Report (STR) with the Financial Intelligence Unit (FIU-IND).

FAQ ID: 331

Section: Operations & Security

Question: What is a cash transaction report?

Answer: Banks must report all cash transactions above ₹10 lakh in a month or single transactions above ₹50,000 to the FIU-IND to prevent money laundering.

FAQ ID: 332

Section: Operations & Security

Question: What is a locker access procedure?

Answer: To access your bank locker, you visit the branch, sign the locker access register, and use your key along with the bank's master key to open it.

FAQ ID: 333

Section: Operations & Security

Question: What is the role of RBI?

Answer: RBI is India's central bank. It controls the money supply, regulates banks, manages the currency, and maintains financial stability in the country.

FAQ ID: 334

Section: Operations & Security

Question: What is a bank holiday?

Answer: A bank holiday is a day when bank branches are closed — due to a national or local festival. But digital banking and ATMs usually work normally.

FAQ ID: 335

Section: Operations & Security

Question: What is a clearing house?

Answer: A clearing house is a facility where banks settle transactions among themselves. In India, NPCI and RBI operate clearing systems for cheques and digital payments.

FAQ ID: 336

Section: Operations & Security

Question: What is cash reserve ratio (CRR)?

Answer: CRR is the percentage of a bank's deposits that must be kept with RBI as cash reserve. It controls how much money banks can lend out.

FAQ ID: 337

Section: Operations & Security

Question: What is statutory liquidity ratio (SLR)?

Answer: SLR is the minimum percentage of deposits banks must hold in liquid assets like government bonds, gold, or approved securities.

FAQ ID: 338

Section: Operations & Security

Question: What is the difference between CRR and SLR?

Answer: CRR is kept as cash with RBI; SLR is kept as liquid assets like bonds by the bank itself. Both are tools to control credit availability in the economy.

FAQ ID: 339

Section: Operations & Security

Question: What is a bank's capital adequacy ratio?

Answer: Capital Adequacy Ratio (CAR) ensures banks hold enough capital to cover risks. RBI requires Indian banks to maintain a minimum CAR of 9%.

FAQ ID: 340

Section: Operations & Security

Question: What is BASEL norms?

Answer: Basel norms are international banking regulations (Basel I, II, III) that set minimum capital requirements, risk management standards, and disclosure rules for banks.

FAQ ID: 341

Section: Operations & Security

Question: What is financial fraud in banking?

Answer: Financial fraud includes activities like identity theft, cheque fraud, phishing, loan fraud, and insider theft aimed at stealing money from banks or customers.

FAQ ID: 342

Section: Operations & Security

Question: What is the Ombudsman for banking?

Answer: The RBI Integrated Ombudsman handles customer complaints against banks and financial institutions. You can file a complaint online if the bank doesn't resolve your issue in 30 days.

FAQ ID: 343

Section: Operations & Security

Question: How do I file a banking complaint?

Answer: First complain to the bank. If it's not resolved within 30 days, file a complaint at the RBI Integrated Ombudsman portal (cms.rbi.org.in) for free.

FAQ ID: 344

Section: Operations & Security

Question: What is FEMA?

Answer: FEMA is the Foreign Exchange Management Act. It governs all foreign exchange transactions in India, including NRI accounts, imports, exports, and foreign investments.

FAQ ID: 345

Section: Operations & Security

Question: What is PMLA?

Answer: PMLA is the Prevention of Money Laundering Act. It requires banks to monitor and report suspicious transactions and carry out due diligence on high-risk customers.

FAQ ID: 346

Section: Operations & Security

Question: What is a bank's know-your-customer policy?

Answer: A KYC policy ensures that banks verify who their customers are using identity and address proofs, both at account opening and periodically thereafter.

FAQ ID: 347

Section: Operations & Security

Question: What is CERSAI?

Answer: CERSAI is a central registry where banks record mortgage details on properties. It prevents fraudsters from getting loans from multiple banks using the same property.

FAQ ID: 348

Section: Operations & Security

Question: What is internal audit in a bank?

Answer: Internal audit is an in-house review of a bank's processes, financial records, and compliance to identify risk areas and ensure correct procedures are followed.

FAQ ID: 349

Section: Operations & Security

Question: What is a bank's risk management?

Answer: Risk management in banking involves identifying, measuring, and controlling risks — credit risk, market risk, operational risk, and liquidity risk — to protect the bank.

FAQ ID: 350

Section: Operations & Security

Question: What is a systemic risk?

Answer: Systemic risk is the risk that the failure of one large bank can trigger a chain reaction, causing other banks and the entire financial system to collapse.

FAQ ID: 351

Section: Operations & Security

Question: What is a run on the bank?

Answer: A bank run happens when a large number of customers withdraw their money simultaneously out of panic, fearing the bank may fail.

FAQ ID: 352

Section: Operations & Security

Question: What is moral hazard in banking?

Answer: Moral hazard is when banks take on excessive risk knowing they'll be bailed out by the government. Deposit insurance can sometimes contribute to this.

FAQ ID: 353

Section: Operations & Security

Question: What is a debit freeze on account?

Answer: A debit freeze stops all outgoing transactions from your account while allowing incoming credits. It's applied during fraud investigation or court orders.

FAQ ID: 354

Section: Operations & Security

Question: What is signature verification in banking?

Answer: Banks verify your signature on cheques and forms against the sample stored at account opening. A mismatch can lead to the transaction being rejected.

FAQ ID: 355

Section: Operations & Security

Question: What is a current liability in banking?

Answer: A current liability includes short-term obligations the bank must pay within one year — like short-term deposits, interbank borrowings, and accounts payable.

FAQ ID: 356

Section: Operations & Security

Question: What is a non-performing loan?

Answer: A non-performing loan is a loan where the borrower hasn't made interest or principal payments for at least 90 days. It's a problem asset for the bank.

FAQ ID: 357

Section: Operations & Security

Question: What is provisioning for NPAs?

Answer: Provisioning means banks set aside a portion of their profit as a buffer to cover potential losses from NPAs, based on how bad (substandard, doubtful, loss) the asset is.

FAQ ID: 358

Section: Operations & Security

Question: What is a Fiat currency?

Answer: Fiat currency is money issued by the government that is not backed by gold or any physical commodity. Its value is based on trust in the government.

FAQ ID: 359

Section: Operations & Security

Question: What is a banking licence?

Answer: A banking licence is issued by RBI to an entity allowing it to legally carry out banking activities like accepting deposits and providing loans.

FAQ ID: 360

Section: Operations & Security

Question: What is a scheduled bank?

Answer: A scheduled bank is a bank listed in the Second Schedule of the RBI Act, 1934. It must follow RBI's regulations, maintain CRR, and is eligible for RBI credit.

FAQ ID: 361

Section: Operations & Security

Question: What is a non-scheduled bank?

Answer: Non-scheduled banks are not listed in RBI's schedule. They operate under state laws and are typically small co-operative banks serving local communities.

FAQ ID: 362

Section: Operations & Security

Question: *What is a foreign bank in India?*

Answer: A foreign bank is a bank incorporated outside India but operating through branches in India. Examples: Citibank, Standard Chartered, HSBC, Deutsche Bank.

FAQ ID: 363

Section: Operations & Security

Question: *What is a public sector bank?*

Answer: A public sector bank is majority-owned by the government. Examples include SBI, Punjab National Bank, Bank of Baroda. The government controls more than 50% stake.

FAQ ID: 364

Section: Operations & Security

Question: *What is a private sector bank?*

Answer: A private sector bank is majority-owned by private shareholders. Examples include HDFC Bank, ICICI Bank, Axis Bank, Kotak Mahindra Bank.

FAQ ID: 365

Section: Operations & Security

Question: *What is the RBI's monetary policy committee?*

Answer: The MPC is a six-member committee that meets every two months to decide on the repo rate and manage inflation by adjusting monetary policy.

FAQ ID: 366

Section: Operations & Security

Question: *What is the inflation target of RBI?*

Answer: RBI targets a 4% retail inflation rate (CPI) with a tolerance band of +/- 2%, i.e., between 2% and 6%, as mandated by the government.

FAQ ID: 367

Section: Operations & Security

Question: *What is consumer price index?*

Answer: CPI measures how much a basket of common goods and services (food, clothing, housing, transport) costs compared to a base year. It's used to track retail inflation.

FAQ ID: 368

Section: Operations & Security

Question: *What is wholesale price index?*

Answer: WPI tracks the average price change of goods at the wholesale level. It covers manufacturing and mining but not services, and was the main inflation benchmark before CPI.

FAQ ID: 369

Section: Operations & Security

Question: What is financial inclusion?

Answer: Financial inclusion means giving all people — especially the poor and rural — access to affordable financial services like bank accounts, loans, insurance, and payments.

FAQ ID: 370

Section: Operations & Security

Question: What is the RBI's open market operations?

Answer: OMO is when RBI buys or sells government securities in the open market to inject or absorb liquidity and manage interest rates in the banking system.

FAQ ID: 371

Section: Operations & Security

Question: What is sterilization in banking?

Answer: Sterilization is when RBI conducts OMOs to neutralize the effect of forex inflows or outflows on domestic money supply and inflation.

FAQ ID: 372

Section: Operations & Security

Question: What is a master circular from RBI?

Answer: RBI issues master circulars consolidating all guidelines on specific topics (like loans, KYC, interest rates) for banks to follow. They are updated annually.

FAQ ID: 373

Section: Operations & Security

Question: What is a bank's priority sector lending?

Answer: RBI mandates banks to lend at least 40% of their loans to priority sectors like agriculture, micro enterprises, and weaker sections of society.

FAQ ID: 374

Section: Operations & Security

Question: What is the SARFAESI Act?

Answer: SARFAESI Act empowers banks to recover NPAs by directly taking possession of and selling secured assets without a court order, speeding up recovery.

FAQ ID: 375

Section: Operations & Security

Question: What is the DRT?

Answer: Debt Recovery Tribunal (DRT) handles cases where banks want to recover loans above ₹20 lakh through a faster legal process than regular civil courts.

FAQ ID: 376

Section: Operations & Security

Question: What is a consent letter in banking?

Answer: A consent letter is a written permission from the customer authorizing the bank to share their data, access their account, or take specific actions.

FAQ ID: 377

Section: Operations & Security

Question: What is an encumbrance certificate?

Answer: An encumbrance certificate confirms that a property is free from any loan or legal charges. Banks check this before approving a property loan.

FAQ ID: 378

Section: Operations & Security

Question: What is title search in home loan?

Answer: Title search is a legal check done before sanctioning a home loan to confirm the property's ownership history and ensure there are no disputes or claims on it.

FAQ ID: 379

Section: Operations & Security

Question: What is a property valuation for loan?

Answer: Banks hire an approved valuator to estimate the current market value of a property before deciding how much loan (usually 75–80% of value) to sanction.

FAQ ID: 380

Section: Operations & Security

Question: What is an annual report of a bank?

Answer: An annual report is a yearly document published by a bank showing its financial performance, profit/loss, NPA levels, capital adequacy, and future plans.

FAQ ID: 381

Section: Operations & Security

Question: *What is a bank's balance sheet?*

Answer: A bank's balance sheet lists all its assets (loans, investments) and liabilities (deposits, borrowings) to show its financial health at a point in time.

FAQ ID: 382

Section: Operations & Security

Question: *What is a core banking system?*

Answer: Core Banking Solution (CBS) is the central software that connects all bank branches, enabling real-time transactions and account access from any location.

FAQ ID: 383

Section: Operations & Security

Question: *What is SWIFT messaging?*

Answer: SWIFT messages are secure standardized messages used by banks worldwide to send payment instructions and financial information across borders.

FAQ ID: 384

Section: Operations & Security

Question: *What is a central KYC registry (CKYC)?*

Answer: CKYC is a central repository managed by CERSAI where a customer's KYC information is stored once and can be used by any regulated entity without re-verification.

FAQ ID: 385

Section: Operations & Security

Question: *What is a bank regulator?*

Answer: In India, RBI regulates commercial banks, RBI and SEBI regulate co-operative banks, and IRDAI regulates insurance arms of banks.

FAQ ID: 386

Section: Operations & Security

Question: *What is PCA framework?*

Answer: Prompt Corrective Action (PCA) is an RBI framework that restricts weak banks (with high NPAs or low capital) from certain risky activities until they recover.

FAQ ID: 387

Section: Operations & Security

Question: *What is a bank merger?*

Answer: A bank merger is when two or more banks combine into one, usually to improve scale, reduce costs, and manage NPAs. Example: 10 public sector banks merged into 4 in 2020.

FAQ ID: 388

Section: Operations & Security

Question: What is a bank resolution?

Answer: Bank resolution refers to the process of dealing with a failing bank — through sale, merger, or restructuring — to prevent financial system collapse and protect depositors.

FAQ ID: 389

Section: Operations & Security

Question: What is SEBI's role in banking?

Answer: SEBI regulates the capital market aspects of banking, including bank-issued bonds, shares, and investment banking activities in the securities market.

FAQ ID: 390

Section: Operations & Security

Question: What is a financial year in banking?

Answer: In India, the financial year runs from April 1 to March 31. Banks publish their annual results and calculate interest, TDS, and depreciation for this period.

FAQ ID: 391

Section: Operations & Security

Question: What is a cashier's order?

Answer: A cashier's order is issued by a bank against its own funds on behalf of a customer. It's like a DD — guaranteed payment and cannot bounce.

FAQ ID: 392

Section: Operations & Security

Question: What is a safe deposit locker agreement?

Answer: Before renting a locker, you sign an agreement with the bank stating the terms of use, fee, liability, and access rules.

FAQ ID: 393

Section: Operations & Security

Question: What is the RBI Lokpal?

Answer: RBI Ombudsman (formerly RBI Lokpal) is a free dispute resolution authority for customers who have unresolved complaints against banks or NBFCs.

FAQ ID: 394

Section: Operations & Security

Question: What is an alert transaction?

Answer: An alert transaction is any transaction that triggers a fraud monitoring alert — like a large unusual transfer, login from a new device, or late-night withdrawal.

FAQ ID: 395

Section: Operations & Security

Question: What is two-person integrity in banking?

Answer: Two-person integrity means critical bank operations require authorisation from two separate officials, preventing any single person from committing fraud alone.

FAQ ID: 396

Section: Operations & Security

Question: What is a correspondent bank?

Answer: A correspondent bank provides services on behalf of another bank in a different country, enabling cross-border payments and foreign currency transactions.

FAQ ID: 397

Section: Operations & Security

Question: What is an interbank settlement?

Answer: Interbank settlement is when banks transfer funds among themselves to settle transactions made by their customers. Done through RBI's systems like RTGS and NEFT.

FAQ ID: 398

Section: Operations & Security

Question: What is a payment system?

Answer: A payment system is the infrastructure (hardware, software, networks, rules) used to transfer money between individuals and institutions — like NEFT, UPI, SWIFT.

FAQ ID: 399

Section: Operations & Security

Question: What is a banking licence cancellation?

Answer: RBI can cancel a bank's licence if it fails to meet capital requirements, engages in fraud, or is unable to repay depositors, effectively shutting down operations.

FAQ ID: 400

Section: Operations & Security

Question: *What is a ring-fencing of bank assets?*

Answer: Ring-fencing protects a bank's core retail deposits and operations from risks taken by its investment banking arm, ensuring retail customers aren't harmed.

FAQ ID: 401

Section: Operations & Security

Question: *What is a bank's profitability ratio?*

Answer: Key ratios include Net Interest Margin (NIM), Return on Assets (ROA), and Return on Equity (ROE), used to judge how efficiently a bank is generating profit.

FAQ ID: 402

Section: Operations & Security

Question: *What is net interest margin?*

Answer: NIM is the difference between interest income earned on loans and interest paid on deposits, expressed as a percentage of earning assets. It shows a bank's core profitability.

FAQ ID: 403

Section: Operations & Security

Question: *What is return on assets for banks?*

Answer: ROA measures how much profit a bank earns per rupee of assets. A higher ROA means the bank is more efficient in using its assets to generate profit.

FAQ ID: 404

Section: Operations & Security

Question: *What is the difference between retail and wholesale banking?*

Answer: Retail banking serves individual customers with savings accounts, personal loans, and credit cards. Wholesale banking serves large corporations with complex financial products.

FAQ ID: 405

Section: Operations & Security

Question: *What is treasury operations in a bank?*

Answer: Treasury manages a bank's investments, liquidity, forex operations, and compliance with CRR/SLR requirements to maximize returns on the bank's own funds.

FAQ ID: 406

Section: Operations & Security

Question: *What is asset quality review in banks?*

Answer: An AQR is conducted by RBI to assess the true quality of a bank's loan portfolio, identify hidden NPAs, and ensure correct provisioning.

FAQ ID: 407

Section: Operations & Security

Question: What is a digital branch?

Answer: A digital branch is a virtual banking outlet that offers all services — account opening, loans, FDs, complaints — through video, chat, and digital forms without physical premises.

FAQ ID: 408

Section: Operations & Security

Question: What is a white-label ATM?

Answer: A white-label ATM is operated by a non-bank entity (like Tata Communications or Muthoot Finance) licensed by RBI. All bank cards can be used at these ATMs.

FAQ ID: 409

Section: Operations & Security

Question: What is a bank's customer service charter?

Answer: It's a public commitment by the bank listing the service standards, turnaround times, and customer rights it promises to uphold.

FAQ ID: 410

Section: Operations & Security

Question: What is a financial crime?

Answer: Financial crime includes fraud, money laundering, tax evasion, identity theft, and cybercrime that results in financial loss to banks or customers.

FAQ ID: 411

Section: Operations & Security

Question: What is a forged signature?

Answer: A forged signature on a cheque or bank form is a criminal offence. Banks can refuse to process the transaction and report it to the police.

FAQ ID: 412

Section: Operations & Security

Question: What is an indemnity bond in banking?

Answer: An indemnity bond is a legal undertaking by the customer to protect the bank from any future claim or loss — required when issuing duplicate statements or cheque books.

FAQ ID: 413

Section: Operations & Security

Question: What is a bank's stress test?

Answer: A stress test simulates extreme economic conditions (like a financial crash) to see if a bank has enough capital to survive without failing.

FAQ ID: 414

Section: Operations & Security

Question: What is a credit concentration risk?

Answer: Credit concentration risk arises when a bank lends too much to one sector, borrower, or region. If that sector fails, the bank faces huge losses.

FAQ ID: 415

Section: Operations & Security

Question: What is liquidity coverage ratio?

Answer: LCR requires banks to hold enough high-quality liquid assets to cover 30 days of cash outflow under a stressed scenario, ensuring they can survive a short-term crisis.

FAQ ID: 416

Section: Operations & Security

Question: What is a bank's contingency plan?

Answer: A contingency plan outlines how a bank will continue operations and protect customers in case of a cyberattack, natural disaster, or financial crisis.

FAQ ID: 417

Section: General Finance

Question: What is inflation?

Answer: Inflation is when prices of everyday goods and services rise over time, reducing how much you can buy with the same amount of money.

FAQ ID: 418

Section: General Finance

Question: What is deflation?

Answer: Deflation is when prices fall over time. While it sounds good, it often signals weak demand and can slow down economic growth.

FAQ ID: 419

Section: General Finance

Question: *What is GDP?*

Answer: GDP is Gross Domestic Product — the total value of all goods and services produced in a country in one year. It measures the size of the economy.

FAQ ID: 420

Section: General Finance

Question: *What is a central bank?*

Answer: A central bank like RBI manages a country's currency, controls money supply, regulates banks, and sets interest rate policy to keep the economy stable.

FAQ ID: 421

Section: General Finance

Question: *What is liquidity?*

Answer: Liquidity is how quickly and easily an asset can be converted to cash without losing much value. Cash is the most liquid asset.

FAQ ID: 422

Section: General Finance

Question: *What is fiscal policy?*

Answer: Fiscal policy is how the government uses taxes and public spending to influence the economy — like cutting taxes to boost growth or increasing spending.

FAQ ID: 423

Section: General Finance

Question: *What is monetary policy?*

Answer: Monetary policy is how the central bank controls money supply and interest rates to manage inflation and support economic growth.

FAQ ID: 424

Section: General Finance

Question: *What is a budget deficit?*

Answer: A budget deficit happens when the government spends more than it earns through taxes and other revenues. It has to borrow to fill the gap.

FAQ ID: 425

Section: General Finance

Question: *What is a mutual fund?*

Answer: A mutual fund pools money from many investors and invests it in stocks, bonds, or other securities managed by a professional fund manager.

FAQ ID: 426

Section: General Finance

Question: What is a stock market?

Answer: A stock market is a marketplace where investors buy and sell shares of publicly listed companies. In India, the main exchanges are NSE and BSE.

FAQ ID: 427

Section: General Finance

Question: What is a bond?

Answer: A bond is a debt investment where you lend money to a company or government. In return, you receive regular interest and your principal back at maturity.

FAQ ID: 428

Section: General Finance

Question: What is diversification?

Answer: Diversification means spreading your investments across different assets — stocks, bonds, gold, real estate — to reduce the impact of any single loss.

FAQ ID: 429

Section: General Finance

Question: What is foreign exchange?

Answer: Foreign exchange (forex) is the system for converting one country's currency into another. Exchange rates change constantly based on demand and supply.

FAQ ID: 430

Section: General Finance

Question: What is the stock exchange?

Answer: A stock exchange is an organized platform where shares and securities are bought and sold. NSE and BSE are India's two main stock exchanges.

FAQ ID: 431

Section: General Finance

Question: What is a share?

Answer: A share represents a small ownership stake in a company. When you buy shares, you become a part-owner and can profit from the company's growth.

FAQ ID: 432

Section: General Finance

Question: What is a dividend?

Answer: A dividend is a portion of a company's profits paid out to its shareholders. It rewards investors for holding the company's stock.

FAQ ID: 433

Section: General Finance

Question: What is a bull market?

Answer: A bull market is when stock prices are rising and investor confidence is high. It usually comes during strong economic growth.

FAQ ID: 434

Section: General Finance

Question: What is a bear market?

Answer: A bear market is when stock prices fall 20% or more from recent highs. It usually happens during economic downturns or recessions.

FAQ ID: 435

Section: General Finance

Question: What is a portfolio?

Answer: A portfolio is your complete collection of investments — stocks, bonds, mutual funds, FDs, real estate — held to meet your financial goals.

FAQ ID: 436

Section: General Finance

Question: What is risk and return?

Answer: Risk and return are linked. Higher return investments (like stocks) come with higher risk. Lower risk assets (like FDs) offer lower but stable returns.

FAQ ID: 437

Section: General Finance

Question: What is a financial year?

Answer: In India, the financial year runs from April 1 to March 31. Taxes, bank interest, and company results are calculated for this period.

FAQ ID: 438

Section: General Finance

Question: *What is income tax?*

Answer: Income tax is a direct tax paid to the government based on your annual income. The rate depends on your income slab under the new or old tax regime.

FAQ ID: 439

Section: General Finance

Question: *What is GST?*

Answer: GST is Goods and Services Tax — a single indirect tax that replaced many older taxes. It is charged on the sale of goods and services across India.

FAQ ID: 440

Section: General Finance

Question: *What is TDS?*

Answer: TDS is Tax Deducted at Source. The payer deducts tax before making a payment — for interest, salary, rent — and deposits it with the government.

FAQ ID: 441

Section: General Finance

Question: *What is a direct tax?*

Answer: A direct tax is paid directly by the person or entity on whom it is levied. Examples include income tax and corporate tax.

FAQ ID: 442

Section: General Finance

Question: *What is an indirect tax?*

Answer: An indirect tax is collected by an intermediary (like a seller) from the consumer and paid to the government. GST is the main indirect tax in India.

FAQ ID: 443

Section: General Finance

Question: *What is capital gains tax?*

Answer: Capital gains tax is charged on profit made from selling an asset like shares or property. Short-term and long-term gains are taxed at different rates.

FAQ ID: 444

Section: General Finance

Question: *What is a demat account?*

Answer: A demat account stores your shares and securities electronically, the way a bank account stores money. It's mandatory for trading in the stock market.

FAQ ID: 445

Section: General Finance

Question: What is a trading account?

Answer: A trading account is used to place buy and sell orders in the stock market. It works alongside a demat account.

FAQ ID: 446

Section: General Finance

Question: What is NSE and BSE?

Answer: NSE (National Stock Exchange) and BSE (Bombay Stock Exchange) are India's two main stock exchanges where shares are bought and sold.

FAQ ID: 447

Section: General Finance

Question: What is SEBI?

Answer: SEBI is Securities and Exchange Board of India. It regulates the stock market, protects investors, and ensures fair trading practices.

FAQ ID: 448

Section: General Finance

Question: What is Sensex?

Answer: Sensex is BSE's benchmark index tracking 30 large and actively traded Indian companies. A rising Sensex generally indicates a growing economy.

FAQ ID: 449

Section: General Finance

Question: What is Nifty 50?

Answer: Nifty 50 is NSE's benchmark index tracking 50 large-cap Indian companies across sectors. It's widely used to gauge the health of the Indian stock market.

FAQ ID: 450

Section: General Finance

Question: What is a systematic investment plan (SIP)?

Answer: SIP lets you invest a fixed amount in a mutual fund every month. It averages out market fluctuations and builds wealth over time through compounding.

FAQ ID: 451

Section: General Finance

Question: What is NAV of a mutual fund?

Answer: NAV is Net Asset Value — the price per unit of a mutual fund. It's calculated daily based on the current market value of the fund's investments.

FAQ ID: 452

Section: General Finance

Question: What is ELSS?

Answer: ELSS is Equity Linked Savings Scheme — a tax-saving mutual fund with a 3-year lock-in. Investments up to ₹1.5 lakh qualify for Section 80C deduction.

FAQ ID: 453

Section: General Finance

Question: What is a debt fund?

Answer: A debt fund invests in bonds, government securities, and money market instruments. It's less risky than equity funds and offers more stable returns.

FAQ ID: 454

Section: General Finance

Question: What is an equity fund?

Answer: An equity fund invests mainly in stocks. It offers higher potential returns but comes with more volatility and risk.

FAQ ID: 455

Section: General Finance

Question: What is a hybrid fund?

Answer: A hybrid fund invests in both equity and debt. It balances growth and stability, making it suitable for moderate risk-takers.

FAQ ID: 456

Section: General Finance

Question: What is gold as an investment?

Answer: Gold is a traditional safe-haven asset in India. You can invest in physical gold, gold ETFs, or Sovereign Gold Bonds, which also pay annual interest.

FAQ ID: 457

Section: General Finance

Question: *What is real estate investment?*

Answer: Real estate investing means buying property — residential, commercial, or land — with the expectation of rental income or capital appreciation.

FAQ ID: 458

Section: General Finance

Question: *What is a Sovereign Gold Bond?*

Answer: Sovereign Gold Bonds are government-issued bonds where the value is tied to gold prices. You also earn 2.5% annual interest and capital gains are tax-free at maturity.

FAQ ID: 459

Section: General Finance

Question: *What is an IPO?*

Answer: An IPO (Initial Public Offering) is when a company sells shares to the public for the first time to raise capital. You can apply through your bank account via ASBA.

FAQ ID: 460

Section: General Finance

Question: *What is ASBA?*

Answer: ASBA (Application Supported by Blocked Amount) blocks the IPO application amount in your bank account and only deducts it if shares are allotted to you.

FAQ ID: 461

Section: General Finance

Question: *What is net worth?*

Answer: Net worth is the total value of everything you own (assets) minus everything you owe (liabilities). It's a measure of your overall financial health.

FAQ ID: 462

Section: General Finance

Question: *What is financial planning?*

Answer: Financial planning is the process of setting financial goals and creating a roadmap — through saving, investing, insuring, and budgeting — to achieve them.

FAQ ID: 463

Section: General Finance

Question: *What is insurance?*

Answer: Insurance is a contract where you pay a premium and the insurer pays a large sum to cover financial losses from events like illness, accident, or death.

FAQ ID: 464

Section: General Finance

Question: What is term insurance?

Answer: Term insurance is pure life insurance that pays a lump sum to your family if you die during the policy term. It has no maturity benefit and offers maximum cover at low cost.

FAQ ID: 465

Section: General Finance

Question: What is a health insurance plan?

Answer: Health insurance covers medical expenses for hospitalization, surgery, and illness. It protects you from huge medical bills that can drain your savings.

FAQ ID: 466

Section: General Finance

Question: What is asset allocation?

Answer: Asset allocation is dividing your investment money among different asset types (equity, debt, gold, real estate) based on your risk appetite and financial goals.

FAQ ID: 467

Section: General Finance

Question: What is compounding?

Answer: Compounding is earning returns on both your original investment and the returns already earned. Over time, it dramatically increases wealth — which is why starting early matters.

FAQ ID: 468

Section: General Finance

Question: What is inflation's impact on savings?

Answer: Inflation erodes the purchasing power of your savings. If inflation is 6% and your FD earns 6%, your real return is zero. You need returns that beat inflation.

FAQ ID: 469

Section: General Finance

Question: What is liquidity risk?

Answer: Liquidity risk is when you can't access your money quickly enough — like having all savings in a long-term FD when an emergency hits.

FAQ ID: 470

Section: General Finance

Question: What is an emergency fund?

Answer: An emergency fund is 3–6 months of expenses kept in a liquid savings account or liquid mutual fund to handle job loss, medical bills, or urgent repairs.

FAQ ID: 471

Section: General Finance

Question: What is a budget?

Answer: A budget is a plan showing how you'll earn and spend money over a period. The 50-30-20 rule suggests spending 50% on needs, 30% on wants, and saving 20%.

FAQ ID: 472

Section: General Finance

Question: What is net banking security?

Answer: Net banking uses 256-bit encryption, OTP verification, session timeouts, and fraud monitoring to keep your online banking secure.

FAQ ID: 473

Section: General Finance

Question: What is foreign direct investment?

Answer: FDI is when a company or individual from one country invests directly in a business in another country by setting up operations or buying a major stake.

FAQ ID: 474

Section: General Finance

Question: What is foreign portfolio investment?

Answer: FPI is investment in a country's financial markets (stocks, bonds) by foreign investors, without direct control over the companies.

FAQ ID: 475

Section: General Finance

Question: What is forex reserves?

Answer: Forex reserves are foreign currency assets held by RBI (mainly US dollars, gold, and SDRs). They protect the rupee and cover import payments.

FAQ ID: 476

Section: General Finance

Question: *What is balance of payments?*

Answer: Balance of payments is a record of all financial transactions between India and the rest of the world — trade, services, investments, and transfers.

FAQ ID: 477

Section: General Finance

Question: *What is a current account deficit?*

Answer: A current account deficit means India imports more goods and services than it exports, paying more to the world than it earns.

FAQ ID: 478

Section: General Finance

Question: *What is purchasing power parity?*

Answer: PPP is a theory that exchange rates should adjust so identical goods cost the same in every country when priced in a common currency.

FAQ ID: 479

Section: General Finance

Question: *What is a wealth manager?*

Answer: A wealth manager provides personalized investment, tax, estate planning, and financial advice to high-net-worth individuals.

FAQ ID: 480

Section: General Finance

Question: *What is estate planning?*

Answer: Estate planning involves deciding how your assets will be distributed after your death — through a will, trusts, nominations, and insurance.

FAQ ID: 481

Section: General Finance

Question: *What is a will?*

Answer: A will is a legal document stating how you want your assets distributed after death. Without a will, property is divided according to succession law.

FAQ ID: 482

Section: General Finance

Question: *What is the cost of living?*

Answer: Cost of living is the amount of money needed to cover basic expenses — food, housing, transport, healthcare — in a particular city or region.

FAQ ID: 483

Section: General Finance

Question: What is a credit rating agency?

Answer: Credit rating agencies like CRISIL, ICRA, and CARE evaluate the creditworthiness of companies and governments issuing bonds, rating them from AAA (best) to D (default).

FAQ ID: 484

Section: General Finance

Question: What is a AAA rated bond?

Answer: A AAA rated bond is considered the safest investment with the lowest risk of default. These are usually issued by the government or top-rated companies.

FAQ ID: 485

Section: General Finance

Question: What is an index fund?

Answer: An index fund tracks a market index like Nifty 50 or Sensex, investing in the same stocks in the same proportion. Low cost and good for long-term investors.

FAQ ID: 486

Section: General Finance

Question: What is an ETF?

Answer: An ETF (Exchange Traded Fund) is like a mutual fund but traded on the stock exchange like a share. It tracks an index, commodity, or sector.

FAQ ID: 487

Section: General Finance

Question: What is rupee depreciation?

Answer: Rupee depreciation means the rupee's value falls against foreign currencies like the US dollar. It makes imports costlier and can increase inflation.

FAQ ID: 488

Section: General Finance

Question: What is rupee appreciation?

Answer: Rupee appreciation means the rupee's value rises against other currencies. It makes imports cheaper and foreign travel more affordable.

FAQ ID: 489

Section: General Finance

Question: What is an economic recession?

Answer: A recession is when the economy contracts — GDP falls for two consecutive quarters. Unemployment rises, businesses slow down, and consumer spending drops.

FAQ ID: 490

Section: General Finance

Question: What is economic growth?

Answer: Economic growth is measured by the percentage rise in GDP. A growing economy means more jobs, higher incomes, and better living standards.

FAQ ID: 491

Section: General Finance

Question: What is stagflation?

Answer: Stagflation is a rare economic situation with high inflation, slow growth, and high unemployment happening at the same time — very difficult to manage.

FAQ ID: 492

Section: General Finance

Question: What is a credit default swap?

Answer: A CDS is a financial contract where the buyer pays a fee to the seller, who promises to compensate if a borrower defaults on a loan or bond.

FAQ ID: 493

Section: General Finance

Question: What is Basel III in banking?

Answer: Basel III introduced stricter capital requirements, leverage ratios, and liquidity standards for banks worldwide after the 2008 global financial crisis.

FAQ ID: 494

Section: General Finance

Question: What is the money multiplier?

Answer: The money multiplier shows how much money banks can create from a base amount through lending. If CRR is 4%, the multiplier is 25x.

FAQ ID: 495

Section: General Finance

Question: *What is a financial bubble?*

Answer: A financial bubble is when asset prices rise far above their real value due to speculation. When confidence collapses, prices crash rapidly — like the dot-com or housing bubble.

FAQ ID: 496

Section: General Finance

Question: *What is the repo rate effect on loans?*

Answer: When RBI raises the repo rate, banks borrow at higher cost, so they raise lending rates. This makes home loans and personal loans costlier for customers.

FAQ ID: 497

Section: General Finance

Question: *What is repo rate effect on FDs?*

Answer: When RBI raises the repo rate, banks also tend to raise FD rates to attract deposits and fund their costlier lending, giving savers better returns.

FAQ ID: 498

Section: General Finance

Question: *What is a foreign exchange rate?*

Answer: A foreign exchange rate is the price at which one currency can be exchanged for another — like ₹84 per US dollar. It changes constantly with market forces.

FAQ ID: 499

Section: General Finance

Question: *What is core inflation?*

Answer: Core inflation excludes food and fuel prices (which are volatile) to give a clearer picture of the underlying, persistent inflation trend in the economy.

FAQ ID: 500

Section: General Finance

Question: *What is the fiscal deficit?*

Answer: Fiscal deficit is the difference between what the government spends and what it earns (excluding borrowed money). It must borrow to finance this gap.

FAQ ID: 501

Section: General Finance

Question: *What is public debt?*

Answer: Public debt is the total amount the government has borrowed over the years from domestic and foreign sources, to be repaid with interest in the future.

FAQ ID: 502

Section: General Finance

Question: What is crowd-funding?

Answer: Crowdfunding raises small amounts of money from a large number of people, usually via online platforms, to fund a startup, project, or social cause.

FAQ ID: 503

Section: General Finance

Question: What is a fintech company?

Answer: A fintech (financial technology) company uses technology to provide financial services — like digital lending, insurance, investing, or payments — faster and cheaper than traditional banks.

FAQ ID: 504

Section: General Finance

Question: What is the Pradhan Mantri Awas Yojana?

Answer: PMAY is a government scheme giving interest subsidies on home loans for economically weaker sections (EWS), low-income groups (LIG), and middle-income groups (MIG) to promote affordable housing.

FAQ ID: 505

Section: General Finance

Question: What is the National Pension System?

Answer: NPS is a voluntary, long-term retirement savings scheme regulated by PFRDA. You contribute during your working life and receive a pension after retirement. Contributions are tax-deductible.

FAQ ID: 506

Section: General Finance

Question: What is the Employee Provident Fund?

Answer: EPF is a retirement savings scheme where both employee and employer contribute 12% of basic salary each month. The corpus earns 8.15% annual interest and is tax-free at maturity.

FAQ ID: 507

Section: General Finance

Question: What is a dividend yield?

Answer: Dividend yield is the annual dividend paid by a company as a percentage of its share price. A higher yield means better income for investors relative to price.

FAQ ID: 508

Section: General Finance

Question: What is a P/E ratio?

Answer: Price-to-Earnings ratio is the share price divided by earnings per share. A high P/E may mean the stock is expensive; a low P/E may signal undervaluation.

FAQ ID: 509

Section: General Finance

Question: What is a rights issue?

Answer: A rights issue is when a company offers existing shareholders the right to buy additional shares at a discounted price to raise more capital.

FAQ ID: 510

Section: General Finance

Question: What is a bonus share?

Answer: A bonus share is a free extra share issued by a company to existing shareholders from its reserves. The total value stays the same but the share price adjusts.

FAQ ID: 511

Section: General Finance

Question: What is a stock split?

Answer: A stock split divides existing shares into more shares of lower face value. It makes the stock more affordable for small investors without changing total market value.

FAQ ID: 512

Section: Customer Service

Question: How do I check my bank balance?

Answer: You can check your balance through your mobile banking app, net banking, ATM, SMS banking, or by calling your bank's helpline.

FAQ ID: 513

Section: Customer Service

Question: How do I transfer money to another bank?

Answer: Use NEFT, RTGS, or IMPS through your mobile banking app or net banking. Just enter the recipient's account number, IFSC code, and the amount.

FAQ ID: 514

Section: Customer Service

Question: How do I block my debit card?

Answer: Call your bank's 24x7 helpline, use the mobile banking app, or send an SMS as instructed by your bank. Your card will be blocked instantly.

FAQ ID: 515

Section: Customer Service

Question: How do I reset my net banking password?

Answer: Click 'Forgot Password' on the net banking login page. Verify using your OTP, account number, or debit card details to set a new password.

FAQ ID: 516

Section: Customer Service

Question: How do I update my mobile number in the bank?

Answer: Visit your branch with a valid ID proof and fill a mobile number update form. Some banks also allow this online through net banking.

FAQ ID: 517

Section: Customer Service

Question: How do I request a new cheque book?

Answer: Request online through mobile banking or net banking. Alternatively, submit a cheque book requisition slip at your bank branch.

FAQ ID: 518

Section: Customer Service

Question: How do I activate my debit card?

Answer: Use the card at an ATM with your PIN or do a transaction at a POS terminal. Some banks require you to call the helpline for the first activation.

FAQ ID: 519

Section: Customer Service

Question: How long does a NEFT transfer take?

Answer: NEFT runs 24x7 in 30-minute batch cycles. Your transfer will be credited in the next batch, usually within 30 minutes.

FAQ ID: 520

Section: Customer Service

Question: What should I do if an ATM transaction fails but money is deducted?

Answer: Your money should be auto-refunded within 5 business days. If not, raise a complaint with your bank's helpline or internet banking.

FAQ ID: 521

Section: Customer Service

Question: What is the process to close a bank account?

Answer: Visit the branch with your passbook, debit card, and ID proof. Submit a closure request, withdraw your balance, and return all issued instruments.

FAQ ID: 522

Section: Customer Service

Question: How do I get a duplicate passbook?

Answer: Visit your branch and submit a request along with an indemnity bond. A small fee may be charged for issuing a duplicate passbook.

FAQ ID: 523

Section: Customer Service

Question: How do I add a nominee to my account?

Answer: Fill a nomination form at the bank branch or use the online nomination update facility available in net banking or the mobile app.

FAQ ID: 524

Section: Customer Service

Question: How can I get my bank statement?

Answer: Download it instantly from your net banking or mobile banking app. You can also request a physical statement at the branch for a fee.

FAQ ID: 525

Section: Customer Service

Question: How do I report fraud in my account?

Answer: Call your bank's 24x7 helpline immediately, block your cards, and file a written complaint at the branch. Also report to cybercrime.gov.in.

FAQ ID: 526

Section: Customer Service

Question: How do I raise a complaint against my bank?

Answer: First contact your bank. If not resolved in 30 days, file a complaint with the RBI Integrated Ombudsman online at cms.rbi.org.in — it's free.

FAQ ID: 527

Section: Customer Service

Question: What is the turnaround time for resolving a banking complaint?

Answer: Banks must resolve complaints within 30 days. For RBI Ombudsman cases, the target resolution time is 30–45 days from receipt of complaint.

FAQ ID: 528

Section: Customer Service

Question: Can I open a bank account without Aadhaar?

Answer: Yes. You can use any other valid government-issued ID like passport, voter ID, driving licence, or NREGA job card along with an address proof.

FAQ ID: 529

Section: Customer Service

Question: How do I apply for a debit card?

Answer: A debit card is usually issued automatically when you open a savings account. If you haven't received one, request it at the branch or through net banking.

FAQ ID: 530

Section: Customer Service

Question: How do I set a PIN for my debit card?

Answer: Use the ATM's 'Set PIN' option, or if the bank supports green PIN, follow the SMS/app-based PIN generation process.

FAQ ID: 531

Section: Customer Service

Question: How do I change my ATM PIN?

Answer: Go to any ATM of your bank, select 'PIN Change', enter the old PIN, and then enter and confirm the new PIN.

FAQ ID: 532

Section: Customer Service

Question: What is the charge for ATM transactions beyond the free limit?

Answer: After the free limit (5 at own bank ATMs, 3 at other banks in metro), each transaction costs **■21** per financial transaction as per RBI mandate.

FAQ ID: 533

Section: Customer Service

Question: How do I register for mobile banking?

Answer: Download your bank's official app, enter your account details, verify with an OTP on your registered mobile, and set your MPIN.

FAQ ID: 534

Section: Customer Service

Question: What is MPIN?

Answer: MPIN is a 4–6 digit code you set to log in or authorize transactions in your bank's mobile app, similar to an ATM PIN.

FAQ ID: 535

Section: Customer Service

Question: How do I view my FD details online?

Answer: Log in to your net banking or mobile app and go to the 'Fixed Deposits' or 'Deposits' section to see all active FDs, interest rates, and maturity dates.

FAQ ID: 536

Section: Customer Service

Question: Can I pay income tax through net banking?

Answer: Yes. Log in to net banking, go to the tax payment section, fill in your details, and pay TDS or advance tax directly using your account.

FAQ ID: 537

Section: Customer Service

Question: How do I link Aadhaar to my bank account?

Answer: You can link Aadhaar online via net banking, at an ATM, by SMS, or by visiting the branch with your Aadhaar. It's now voluntary but may be needed for certain benefits.

FAQ ID: 538

Section: Customer Service

Question: How do I open an FD online?

Answer: Log in to mobile banking or net banking, go to 'Open FD', enter the amount, tenure, and preferred payout option, and confirm with an OTP.

FAQ ID: 539

Section: Customer Service

Question: What is the compensation if my money is not refunded after a failed transaction?

Answer: RBI mandates banks pay ₹100 per day as compensation if the failed transaction amount is not refunded within the specified timeline (usually 5 days).

FAQ ID: 540

Section: Customer Service

Question: How do I get a home loan pre-approval?

Answer: Submit income documents, Aadhaar, PAN, employment proof, and bank statements to the bank. They assess your eligibility and issue a pre-approval letter.

FAQ ID: 541

Section: Customer Service

Question: How do I check my credit score for free?

Answer: You can check your CIBIL score for free once a year at cibil.com. Many banks and apps like Paytm, BankBazaar, and CRED also offer free credit score checks.

FAQ ID: 542

Section: Customer Service

Question: How do I get a No Objection Certificate after loan repayment?

Answer: After clearing your loan, request an NOC from the bank. They'll issue it within a few days, confirming the loan is closed.

FAQ ID: 543

Section: Customer Service

Question: What is the process for removing hypothecation from a vehicle?

Answer: Collect the NOC from the bank, then visit the RTO with the NOC, RC, and required forms to update the Registration Certificate and remove the hypothecation entry.

FAQ ID: 544

Section: Customer Service

Question: How do I open a PPF account?

Answer: Visit your bank branch or post office with an Aadhaar, PAN, and passport photo, fill the PPF account opening form, and deposit a minimum of ₹500.

FAQ ID: 545

Section: Customer Service

Question: How do I pay an EMI early?

Answer: Transfer the outstanding amount to your loan account via net banking. The bank will close the loan and issue an NOC. For home loans on floating rates, no prepayment penalty applies.

FAQ ID: 546

Section: Customer Service

Question: How do I dispute a credit card charge?

Answer: Log in to net banking, find the disputed transaction, and raise a dispute. The bank will investigate and initiate a chargeback if the dispute is valid.

FAQ ID: 547

Section: Customer Service

Question: What documents are needed for a personal loan?

Answer: You need identity proof (Aadhaar, PAN), address proof, last 3 months' bank statements, latest salary slips, and employment proof.

FAQ ID: 548

Section: Customer Service

Question: How do I apply for an education loan?

Answer: Approach the bank with your admission letter, fee structure, co-applicant details, and KYC documents. Some banks process education loans within 15 days.

FAQ ID: 549

Section: Customer Service

Question: What is the process for PMJDY account opening?

Answer: Visit any bank branch with Aadhaar and a photo. If Aadhaar has your address, no other document is needed. The account is opened on the spot.

FAQ ID: 550

Section: Customer Service

Question: How do I report a lost or stolen credit card?

Answer: Call the bank's 24x7 helpline immediately to block the card. You can also block it instantly via the mobile app. A replacement card will be issued within 3–5 days.

FAQ ID: 551

Section: Customer Service

Question: How do I activate international usage on my debit card?

Answer: Log in to mobile banking and enable international usage under card settings. Some banks require calling the helpline to activate this.

FAQ ID: 552

Section: Customer Service

Question: How do I get my bank account number?

Answer: Find it on your passbook, cheque book, bank statement, or by logging in to mobile banking. You can also call the helpline with your registered mobile number.

FAQ ID: 553

Section: Customer Service

Question: What is the time limit to claim an unclaimed FD?

Answer: If FD proceeds are unclaimed for 10 years, the money is transferred to the RBI's Depositor Education and Awareness (DEA) Fund. You can still claim it from RBI.

FAQ ID: 554

Section: Customer Service

Question: How do I download my bank statement for ITR filing?

Answer: Log in to net banking, go to account statements, select the financial year (April to March), and download as PDF. Most banks offer this for the current and previous 2 years.

FAQ ID: 555

Section: Customer Service

Question: How do I register for NACH / standing instructions?

Answer: Fill a NACH mandate form with your account details, sign it, and submit to the bank or service provider (like your insurer or mutual fund).

FAQ ID: 556

Section: Customer Service

Question: What is the process to upgrade my savings account?

Answer: Visit the branch or use net banking to request an upgrade to a premium account tier. You may need to maintain a higher balance or pay a fee.

FAQ ID: 557

Section: Customer Service

Question: How do I activate e-statement instead of physical statement?

Answer: Log in to net banking and go to account preferences. Select 'e-statement' and provide your email address. Physical statements will stop and digital ones will be sent monthly.

FAQ ID: 558

Section: Customer Service

Question: How do I get a duplicate FD receipt?

Answer: Submit a request at your branch with an indemnity bond. The bank will issue a duplicate FD receipt after verification.

FAQ ID: 559

Section: Customer Service

Question: How do I set a UPI transaction limit?

Answer: UPI transaction limits are set by RBI and your bank. Individual transaction limits can be adjusted within the RBI maximum in your UPI app settings.

FAQ ID: 560

Section: Customer Service

Question: How do I enable net banking?

Answer: Visit your bank's website, register using your account number and debit card details, verify with an OTP, and create a login ID and password.

FAQ ID: 561

Section: Customer Service

Question: Can I reopen a closed bank account?

Answer: Generally, a closed account cannot be reopened. You would need to open a fresh account. Some banks may allow reinstatement within a short window after closure.

FAQ ID: 562

Section: Customer Service

Question: How do I transfer my home loan to another bank?

Answer: Apply to the new bank with existing loan statements, property papers, and KYC documents. On approval, the new bank repays the old bank and takes over the loan.

FAQ ID: 563

Section: Customer Service

Question: What should I do if I receive an unknown credit in my account?

Answer: Do not spend the money. Inform your bank immediately. It may be a wrong credit by another customer and the bank will reverse it.

FAQ ID: 564

Section: Customer Service

Question: How do I apply for a credit card?

Answer: Apply on the bank's website, through the mobile app, or at the branch. You'll need income proof, PAN, and Aadhaar. Approval depends on income and credit score.

FAQ ID: 565

Section: Customer Service

Question: What is the minimum age to get a credit card?

Answer: You must be at least 18 years old to get a primary credit card. Some banks require a minimum age of 21.

FAQ ID: 566

Section: Customer Service

Question: How do I increase my credit card limit?

Answer: Request a limit increase through net banking, mobile app, or by calling the helpline. The bank reviews your income and repayment history before approving.

FAQ ID: 567

Section: Customer Service

Question: How do I avoid credit card interest charges?

Answer: Pay the full outstanding bill amount by the due date every month. Paying only the minimum amount will attract interest on the remaining balance.

FAQ ID: 568

Section: Customer Service

Question: What is the process for a credit card dispute?

Answer: Log in to net banking, raise a transaction dispute, or call the helpline. The bank investigates and initiates a chargeback to the merchant if the dispute is valid.

FAQ ID: 569

Section: Customer Service

Question: How do I cancel a standing instruction?

Answer: Log in to net banking and go to 'Manage Mandates' or call the helpline to cancel the standing instruction before the next debit date.

FAQ ID: 570

Section: Customer Service

Question: How do I check my loan outstanding balance?

Answer: Log in to mobile banking or net banking and go to the loans section. You'll see outstanding principal, upcoming EMI, and the full repayment schedule.

FAQ ID: 571

Section: Customer Service

Question: What is the process to get a home loan top-up?

Answer: Apply to your bank with latest salary slips, property documents, and existing loan statements. Approval depends on your repayment history and current LTV ratio.

FAQ ID: 572

Section: Customer Service

Question: How do I get CIBIL report with details?

Answer: Visit cibil.com, register, and pay a fee for a full report. Your bank may also provide it through their app. It shows all loans, repayment history, and hard enquiries.

FAQ ID: 573

Section: Customer Service

Question: How do I add a joint holder to my bank account?

Answer: Visit the branch with the new joint holder and their KYC documents. Fill a joint account addition form and specify the mode of operation.

FAQ ID: 574

Section: Customer Service

Question: How do I change nominee in a bank account?

Answer: Fill a nomination change form at the branch or through the online banking portal, providing the new nominee's name, relationship, and date of birth.

FAQ ID: 575

Section: Customer Service

Question: What documents are needed for KYC update?

Answer: Aadhaar card, PAN card, and proof of current address (utility bill, rental agreement). For businesses, a company registration certificate is also needed.

FAQ ID: 576

Section: Customer Service

Question: How do I request for duplicate PAN card?

Answer: Apply on the NSDL or UTIITSL website with your Aadhaar details and a small fee. The duplicate card is delivered by post within 15 business days.

FAQ ID: 577

Section: Customer Service

Question: How do I link PAN to my bank account?

Answer: Visit your branch or use net banking. Submit a PAN linking request. PAN linking with bank accounts is needed for TDS computation and financial reporting.

FAQ ID: 578

Section: Customer Service

Question: What is the process for PMJJBY insurance renewal?

Answer: Your PMJJBY premium (■436/year) is auto-debited from your savings account on the renewal date. Ensure sufficient balance before May 31 each year.

FAQ ID: 579

Section: Customer Service

Question: What is the process to get credit card physical form delivered?

Answer: After credit card approval, the card is sent to your registered mailing address within 5–7 business days. Track dispatch status through the bank's app.

FAQ ID: 580

Section: Customer Service

Question: How do I convert a debit card purchase to EMI?

Answer: Call the bank helpline within the specified days of purchase or use the mobile app. Select the transaction, choose EMI tenure, and confirm. A small processing fee applies.

FAQ ID: 581

Section: Customer Service

Question: How do I set up auto pay for credit card?

Answer: Register for NACH mandate with your bank, linking your savings account to auto-debit the minimum due or full outstanding amount on the credit card due date.

FAQ ID: 582

Section: Customer Service

Question: How do I get a loan repayment certificate for IT purposes?

Answer: Request a provisional or final interest certificate from the bank's branch or net banking portal. It shows total interest paid in the financial year for tax filing.

FAQ ID: 583

Section: Customer Service

Question: What is the process for an e-mandate cancellation?

Answer: Log in to net banking, go to 'Mandates / AutoPay', select the active mandate, and click cancel. Some mandates may also be cancelled through the company's portal.

FAQ ID: 584

Section: Customer Service

Question: How do I set up alerts for low balance?

Answer: Log in to net banking or the mobile app, go to alert settings, and enable low balance alerts. Enter the threshold amount below which you want to be notified.

FAQ ID: 585

Section: Customer Service

Question: How do I update my email ID in the bank?

Answer: Visit the branch or use net banking account settings to update your email. An OTP will be sent to your registered mobile for verification.

FAQ ID: 586

Section: Customer Service

Question: How do I get a no-dues certificate from the bank?

Answer: Once you repay a loan fully, request a no-dues or loan closure certificate from the bank. It's usually issued within 3–5 working days after all dues are cleared.

FAQ ID: 587

Section: Customer Service

Question: How do I check if my FD is auto-renewed?

Answer: Log in to mobile or net banking and check the FD details page. The renewal date and status will show if it has been auto-renewed and at what rate.

FAQ ID: 588

Section: Customer Service

Question: How do I get a copy of my sanction letter for a loan?

Answer: Log in to net banking or visit the branch to request a copy of your loan sanction letter. It's useful for tax filing and verifying loan terms.

FAQ ID: 589

Section: Customer Service

Question: How do I avoid SIM swap fraud?

Answer: Never share your mobile number or Aadhaar with strangers. If your SIM stops working suddenly, immediately call your telecom provider and bank to block access.

FAQ ID: 590

Section: Customer Service

Question: How do I opt out of telemarketing calls from my bank?

Answer: Register your number on the DND (Do Not Disturb) registry by calling 1909 or through TRAI's website. You can also ask your bank to remove you from marketing lists.

FAQ ID: 591

Section: Insurance & Govt Schemes

Question: What is life insurance?

Answer: Life insurance pays a lump sum to your family if you pass away during the policy term. It financially protects your dependents.

FAQ ID: 592

Section: Insurance & Govt Schemes

Question: What is endowment insurance?

Answer: Endowment insurance combines life cover with savings. It pays out on death or on maturity of the policy, whichever comes first.

FAQ ID: 593

Section: Insurance & Govt Schemes

Question: What is whole life insurance?

Answer: Whole life insurance covers you for your entire life (or up to age 99–100). It builds cash value over time that you can borrow against.

FAQ ID: 594

Section: Insurance & Govt Schemes

Question: What is ULIP?

Answer: Unit Linked Insurance Plan (ULIP) combines insurance with market-linked investment. Part of your premium goes into funds (equity, debt, hybrid).

FAQ ID: 595

Section: Insurance & Govt Schemes

Question: What is a health insurance deductible?

Answer: A deductible is the amount you must pay out of pocket before your health insurance starts covering the medical bill.

FAQ ID: 596

Section: Insurance & Govt Schemes

Question: What is a cashless hospitalization?

Answer: With cashless hospitalization, your insurer directly settles the bill with the hospital (from a network list), so you don't need to pay and claim later.

FAQ ID: 597

Section: Insurance & Govt Schemes

Question: What is a health insurance co-payment?

Answer: Co-payment is a fixed percentage of the medical bill you pay yourself, while the insurer pays the rest. For example, 10% co-pay on a ₹1 lakh bill means you pay ₹10,000.

FAQ ID: 598

Section: Insurance & Govt Schemes

Question: What is a waiting period in health insurance?

Answer: A waiting period is a time after purchasing the policy during which certain conditions (pre-existing diseases, maternity) are not covered.

FAQ ID: 599

Section: Insurance & Govt Schemes

Question: What is a pre-existing disease clause?

Answer: Pre-existing diseases (conditions you had before buying the policy) are usually not covered for 2–4 years after purchasing health insurance.

FAQ ID: 600

Section: Insurance & Govt Schemes

Question: What is a sum insured in insurance?

Answer: Sum insured is the maximum amount your insurer will pay in a year for your health or the lump sum paid in life insurance on death/maturity.

FAQ ID: 601

Section: Insurance & Govt Schemes

Question: What is a premium in insurance?

Answer: A premium is the regular amount you pay (monthly, quarterly, or annually) to keep your insurance policy active.

FAQ ID: 602

Section: Insurance & Govt Schemes

Question: What is a claim in insurance?

Answer: A claim is when you formally ask the insurance company to pay you for a loss covered under your policy — like a medical bill or life insurance payout.

FAQ ID: 603

Section: Insurance & Govt Schemes

Question: What is a maturity benefit in insurance?

Answer: Maturity benefit is the amount paid to you at the end of the insurance policy term if you're still alive. Applicable in endowment and ULIP plans.

FAQ ID: 604

Section: Insurance & Govt Schemes

Question: What is a death benefit in insurance?

Answer: Death benefit is the amount paid to your nominee when you die during the active policy period.

FAQ ID: 605

Section: Insurance & Govt Schemes

Question: What is an annuity plan?

Answer: An annuity plan is an insurance product that provides a regular income — monthly, quarterly, or annually — typically used for retirement planning.

FAQ ID: 606

Section: Insurance & Govt Schemes

Question: What is the PMSBY scheme?

Answer: Pradhan Mantri Suraksha Bima Yojana offers ₹2 lakh accidental death and disability cover for just ₹20 per year, auto-debited from your savings account.

FAQ ID: 607

Section: Insurance & Govt Schemes

Question: What is Ayushman Bharat Yojana?

Answer: Ayushman Bharat provides health cover of ₹5 lakh per family per year to economically vulnerable households for secondary and tertiary hospitalization, completely free.

FAQ ID: 608

Section: Insurance & Govt Schemes

Question: What is ESIC?

Answer: ESIC (Employees' State Insurance Corporation) provides health, maternity, and accident insurance to employees earning up to ₹21,000/month. Premium is shared by employer and employee.

FAQ ID: 609

Section: Insurance & Govt Schemes

Question: What is EPF?

Answer: Employee Provident Fund is a retirement savings scheme where both employee and employer contribute 12% of basic salary. Interest is 8.15% p.a., tax-free on maturity.

FAQ ID: 610

Section: Insurance & Govt Schemes

Question: What is EPS?

Answer: Employee Pension Scheme is part of the EPF. 8.33% of the employer's share goes into EPS, providing a monthly pension after retirement.

FAQ ID: 611

Section: Insurance & Govt Schemes

Question: What is NPS?

Answer: National Pension System is a voluntary retirement savings scheme regulated by PFRDA. Contributions earn market-linked returns, and part of the corpus buys an annuity at retirement.

FAQ ID: 612

Section: Insurance & Govt Schemes

Question: What is the APY scheme?

Answer: Atal Pension Yojana guarantees a monthly pension of ₹1,000–₹5,000 after age 60 for workers in the unorganized sector, with contributions starting from as low as ₹42/month.

FAQ ID: 613

Section: Insurance & Govt Schemes

Question: What is the Sukanya Samriddhi Yojana?

Answer: SSY is a savings scheme for the girl child offering ~8.2% interest. It matures when the girl turns 21 and contributions qualify for 80C deduction.

FAQ ID: 614

Section: Insurance & Govt Schemes

Question: What is the Senior Citizen Savings Scheme?

Answer: SCSS offers a 5-year savings option for those above 60 with the highest interest rate among post office/bank schemes (currently 8.2%). Qualifies for 80C deduction.

FAQ ID: 615

Section: Insurance & Govt Schemes

Question: What is the post office savings scheme?

Answer: Post offices offer savings products like savings accounts, RD, TD (fixed deposit), MIS, NSC, KVP, SCSS, PPF, and Sukanya Samriddhi under Government Small Savings Schemes.

FAQ ID: 616

Section: Insurance & Govt Schemes

Question: What is the National Savings Certificate?

Answer: NSC is a 5-year government savings bond issued by post offices offering ~7.7% annual interest. It qualifies for Section 80C deduction and interest is reinvested.

FAQ ID: 617

Section: Insurance & Govt Schemes

Question: What is Kisan Vikas Patra?

Answer: KVP is a post office savings certificate where your money doubles in a fixed period (currently ~115 months). No income tax benefit but a safe government-backed option.

FAQ ID: 618

Section: Insurance & Govt Schemes

Question: What is the Post Office Monthly Income Scheme?

Answer: POMIS is a 5-year scheme where you deposit a lump sum and receive fixed monthly interest. Safe for retirees needing regular income — currently offering 7.4% p.a.

FAQ ID: 619

Section: Insurance & Govt Schemes

Question: What is Rashtriya Vayoshri Yojana?

Answer: RVY is a government scheme providing senior citizens from the BPL category with free assistive devices like hearing aids, wheelchairs, and spectacles.

FAQ ID: 620

Section: Insurance & Govt Schemes

Question: What is PM Vaya Vandana Yojana?

Answer: PMVVY is a pension scheme from LIC of India for senior citizens above 60, offering assured returns of 7.4% p.a. for 10 years, paid as monthly, quarterly, or annual pension.

FAQ ID: 621

Section: Insurance & Govt Schemes

Question: What is the Stand-Up India scheme?

Answer: Stand-Up India provides loans from ₹10 lakh to ₹1 crore to SC/ST and women entrepreneurs to set up greenfield enterprises, with bank branches covering at least one such borrower each.

FAQ ID: 622

Section: Insurance & Govt Schemes

Question: What is PM SVANidhi?

Answer: PM SVANidhi is a micro-credit scheme for street vendors offering ₹10,000 initial loans, growing to ₹20,000 and ₹50,000 on timely repayment, with a 7% interest subsidy.

FAQ ID: 623

Section: Insurance & Govt Schemes

Question: What is the Credit Guarantee Fund Trust for Micro & Small Enterprises?

Answer: CGTMSE provides collateral-free credit guarantee coverage to banks lending to MSMEs, encouraging banks to lend without security to small businesses.

FAQ ID: 624

Section: Insurance & Govt Schemes

Question: What is the MUDRA Bank?

Answer: MUDRA (Micro Units Development and Refinance Agency) refinances banks and MFIs to provide loans to micro-enterprises. It doesn't lend directly but sets policy for MUDRA loans.

FAQ ID: 625

Section: Insurance & Govt Schemes

Question: What is the Jan Suraksha Scheme?

Answer: Jan Suraksha comprises PMJJBY (life cover), PMSBY (accident cover), and APY (pension), providing low-cost social security to millions of unorganized sector workers.

FAQ ID: 626

Section: Insurance & Govt Schemes

Question: What is Pradhan Mantri Awas Yojana?

Answer: PMAY provides interest subsidies on home loans to make housing affordable. EWS (income below ₹3L) gets 6.5% subsidy; LIG (₹3–6L) 6.5%; MIG I/II get lower subsidies.

FAQ ID: 627

Section: Insurance & Govt Schemes

Question: What is a general insurance policy?

Answer: General insurance covers non-life assets and health — like car insurance, home insurance, health insurance, and travel insurance. It typically renews every year.

FAQ ID: 628

Section: Insurance & Govt Schemes

Question: What is a third-party motor insurance?

Answer: Third-party insurance is mandatory for all vehicles in India. It covers damage or injury caused to another person or vehicle in an accident involving your vehicle.

FAQ ID: 629

Section: Insurance & Govt Schemes

Question: What is comprehensive vehicle insurance?

Answer: Comprehensive insurance covers damage to your own vehicle in addition to third-party liability — from accidents, theft, fire, flood, and natural disasters.

FAQ ID: 630

Section: Insurance & Govt Schemes

Question: What is IDV in vehicle insurance?

Answer: IDV is Insured Declared Value — the maximum amount the insurer will pay if your vehicle is stolen or totally damaged. It reduces each year as the vehicle ages.

FAQ ID: 631

Section: Insurance & Govt Schemes

Question: What is a no-claim bonus in vehicle insurance?

Answer: If you don't make any claim in a year, you get a no-claim bonus — a discount of 20–50% on the premium for the next year.

FAQ ID: 632

Section: Insurance & Govt Schemes

Question: What is travel insurance?

Answer: Travel insurance covers you during a trip for medical emergencies, trip cancellation, lost luggage, flight delays, and passport loss.

FAQ ID: 633

Section: Insurance & Govt Schemes

Question: What is fire insurance?

Answer: Fire insurance covers damage to property and assets from fire, lightning, explosion, and related perils. Required for commercial properties and often recommended for homes.

FAQ ID: 634

Section: Insurance & Govt Schemes

Question: What is marine insurance?

Answer: Marine insurance covers goods in transit — by sea, air, or land. It protects merchants and exporters from losses due to cargo damage or delay.

FAQ ID: 635

Section: Insurance & Govt Schemes

Question: What is crop insurance?

Answer: Pradhan Mantri Fasal Bima Yojana (PMFBY) provides insurance coverage to farmers against crop losses due to natural calamities, pests, and diseases at low premiums.

FAQ ID: 636

Section: Insurance & Govt Schemes

Question: What is a microinsurance plan?

Answer: Microinsurance provides small, low-cost coverage to low-income individuals for health, life, or assets. It's designed to be simple and affordable for rural and informal workers.

FAQ ID: 637

Section: Insurance & Govt Schemes

Question: What is the IRDAI?

Answer: IRDAI is the Insurance Regulatory and Development Authority of India. It licenses and regulates all insurance companies and protects policyholders in India.

FAQ ID: 638

Section: Insurance & Govt Schemes

Question: What is a policy surrender value?

Answer: Surrender value is the amount you receive if you cancel your life insurance policy before maturity. It's less than the premiums paid, especially if surrendered early.

FAQ ID: 639

Section: Insurance & Govt Schemes

Question: What is a paid-up policy?

Answer: A paid-up policy is one where you stop paying premiums but retain a reduced sum assured. The policy continues with a lower benefit.

FAQ ID: 640

Section: Insurance & Govt Schemes

Question: What is a lapsed insurance policy?

Answer: A policy lapses when you miss premium payments beyond the grace period. Coverage stops. You may revive it within 2–5 years by paying arrears with interest.

FAQ ID: 641

Section: Insurance & Govt Schemes

Question: *What is policy revival?*

Answer: A lapsed policy can be revived by paying all overdue premiums plus interest and sometimes passing a medical examination, within the revival period of 2–5 years.

FAQ ID: 642

Section: Insurance & Govt Schemes

Question: *What is a free-look period in insurance?*

Answer: Free-look period is a 15–30 day window after receiving your policy document. If you're unhappy, you can return it and get a full premium refund.

FAQ ID: 643

Section: Insurance & Govt Schemes

Question: *What is a rider in insurance?*

Answer: A rider is an add-on benefit attached to your base insurance policy — like critical illness rider, accidental disability rider, or waiver of premium rider.

FAQ ID: 644

Section: Insurance & Govt Schemes

Question: *What is critical illness insurance?*

Answer: Critical illness insurance pays a lump sum on diagnosis of specified illnesses like cancer, heart attack, stroke, or kidney failure, regardless of actual medical expenses.

FAQ ID: 645

Section: Insurance & Govt Schemes

Question: *What is a hospital daily cash policy?*

Answer: A hospital daily cash plan pays a fixed daily allowance (■500–■2,000) for each day you're hospitalized, to cover incidental costs not covered by regular health insurance.

FAQ ID: 646

Section: Insurance & Govt Schemes

Question: *What is group insurance?*

Answer: Group insurance is a single policy covering a group of people — like company employees or bank account holders under PMJJBY. It's cheaper than individual policies.

FAQ ID: 647

Section: Insurance & Govt Schemes

Question: *What is an insurance agent?*

Answer: An insurance agent is licensed by IRDAI to sell insurance products on behalf of one insurer. A broker can sell products of multiple insurers and offers comparison services.

FAQ ID: 648

Section: Insurance & Govt Schemes

Question: *What is the claims settlement ratio of an insurer?*

Answer: Claims settlement ratio is the percentage of total claims settled by an insurer in a year. A higher ratio (above 95%) indicates a reliable insurer.

FAQ ID: 649

Section: Insurance & Govt Schemes

Question: *What is the National Health Mission?*

Answer: NHM is a government program providing affordable healthcare services, especially maternal and child health, to underserved populations in urban and rural India.

FAQ ID: 650

Section: Insurance & Govt Schemes

Question: *What is the Central Government Health Scheme?*

Answer: CGHS provides comprehensive health facilities to Central Government employees, pensioners, and their families through dispensaries and empanelled hospitals.

FAQ ID: 651

Section: Insurance & Govt Schemes

Question: *What is a gratuity?*

Answer: Gratuity is a one-time payment given by an employer to an employee on retirement or resignation after 5 or more years of service. Calculated as 15 days' salary per year of service.

FAQ ID: 652

Section: Insurance & Govt Schemes

Question: *What is a provident fund?*

Answer: A provident fund is a retirement savings account where both employee and employer contribute a percentage of salary each month. It earns guaranteed interest and is tax-free at maturity.

FAQ ID: 653

Section: Insurance & Govt Schemes

Question: *What is VPF?*

Answer: Voluntary Provident Fund allows employees to contribute more than the mandatory 12% of salary to their EPF account, earning the same 8.15% interest rate.

FAQ ID: 654

Section: Insurance & Govt Schemes

Question: What is the Gratuity Act?

Answer: The Payment of Gratuity Act mandates that employers pay gratuity to employees who have completed at least 5 years of service on retirement or resignation.

FAQ ID: 655

Section: Insurance & Govt Schemes

Question: What is ESOP?

Answer: Employee Stock Option Plan gives employees the right to buy company shares at a set price after a vesting period, allowing them to benefit from company growth.

FAQ ID: 656

Section: Insurance & Govt Schemes

Question: What is the Employees Deposit Linked Insurance Scheme?

Answer: EDLI provides life insurance to EPF members. If an EPF member dies during service, the family receives up to ₹7 lakh as insurance benefit, funded by the employer's contribution.

FAQ ID: 657

Section: Insurance & Govt Schemes

Question: What is a home loan insurance?

Answer: Home loan insurance (mortgage reducing term assurance) is a decreasing term life insurance plan that covers your outstanding home loan. If you die, the insurer repays the bank.

FAQ ID: 658

Section: Insurance & Govt Schemes

Question: What is a credit card insurance?

Answer: Credit card insurance covers outstanding credit card dues in case of death, permanent disability, or job loss, protecting your family from the burden of repayment.

FAQ ID: 659

Section: Insurance & Govt Schemes

Question: What is personal accident insurance?

Answer: Personal accident insurance provides compensation for accidental death, permanent disability, or hospitalization due to an accident. Separate from regular health insurance.

FAQ ID: 660

Section: Insurance & Govt Schemes

Question: *What is an annuity in insurance?*

Answer: An annuity is a stream of regular payments from an insurer, typically for life or a set term, used to provide post-retirement income. You deposit a lump sum upfront.

FAQ ID: 661

Section: Insurance & Govt Schemes

Question: *What is the Jeevan Jyoti scheme premium?*

Answer: PMJJBY's current annual premium is ₹436, auto-debited from your savings account between June 1 and May 31 each year for ₹2 lakh life cover.

FAQ ID: 662

Section: Insurance & Govt Schemes

Question: *What is the role of insurance in banking?*

Answer: Banks sell insurance products (bancassurance) as a distribution channel. Insurance also protects bank assets — loans are covered by collateral insurance and life insurance.

FAQ ID: 663

Section: Insurance & Govt Schemes

Question: *What is bancassurance?*

Answer: Bancassurance is the partnership between a bank and an insurance company where the bank sells insurance products (life, health, general) to its customers through its branches and digital channels.

FAQ ID: 664

Section: Insurance & Govt Schemes

Question: *What is a pension plan in insurance?*

Answer: A pension plan helps you accumulate a retirement corpus by paying regular premiums. On retirement, the corpus is converted to a monthly annuity income for the rest of your life.

FAQ ID: 665

Section: Insurance & Govt Schemes

Question: *What is PM Kisan?*

Answer: PM-KISAN provides ₹6,000 per year in three instalments of ₹2,000 directly to small and marginal farmers (below 2 hectares of land). The amount goes directly to their bank account.

FAQ ID: 666

Section: Insurance & Govt Schemes

Question: *What is the Direct Benefit Transfer scheme?*

Answer: DBT directly transfers government subsidies — LPG, scholarships, MNREGA wages, PM-KISAN — to the beneficiary's bank account, eliminating middlemen and reducing leakage.

FAQ ID: 667

Section: Insurance & Govt Schemes

Question: What is the Jan Aushadhi scheme?

Answer: Pradhan Mantri Bharatiya Janaushadhi Pariyojana provides quality generic medicines at up to 50–90% lower prices through Jan Aushadhi Kendras across India.

FAQ ID: 668

Section: International Banking

Question: What is international banking?

Answer: International banking provides financial services across borders — foreign currency accounts, international money transfers, trade finance, and forex services.

FAQ ID: 669

Section: International Banking

Question: What is a SWIFT transfer?

Answer: SWIFT transfer is the standard way to send money internationally. It uses SWIFT codes to route the payment through correspondent banks to the destination.

FAQ ID: 670

Section: International Banking

Question: What is forex?

Answer: Forex is the foreign exchange market where currencies are bought and sold. Exchange rates fluctuate based on demand and supply, economic data, and geopolitical events.

FAQ ID: 671

Section: International Banking

Question: What is an exchange rate?

Answer: An exchange rate is the price of one currency in terms of another — like ₹84 for 1 USD. It changes throughout the day based on market forces.

FAQ ID: 672

Section: International Banking

Question: What is currency conversion?

Answer: Currency conversion is the process of exchanging one currency for another at the current exchange rate, done at banks, forex agencies, or ATMs abroad.

FAQ ID: 673

Section: International Banking

Question: What is a forex card?

Answer: A forex card (travel card) is a prepaid card loaded with foreign currency at a locked-in exchange rate. It's cheaper than using a regular debit card abroad.

FAQ ID: 674

Section: International Banking

Question: What is the TCS on forex transactions?

Answer: From July 2023, a 20% Tax Collected at Source (TCS) applies on remittances abroad above ₹7 lakh per year under the Liberalised Remittance Scheme, excluding education and medical.

FAQ ID: 675

Section: International Banking

Question: What is the Liberalised Remittance Scheme?

Answer: LRS allows resident Indians to remit up to USD 2,50,000 per financial year abroad for permitted purposes like education, travel, investment, and maintenance of relatives.

FAQ ID: 676

Section: International Banking

Question: What is FEMA in banking?

Answer: FEMA (Foreign Exchange Management Act) governs all cross-border transactions, NRI accounts, imports, exports, and foreign investments in India.

FAQ ID: 677

Section: International Banking

Question: What is IBAN?

Answer: IBAN (International Bank Account Number) is a standard account number format used in Europe and many countries for cross-border transfers, containing country code, check digits, and account details.

FAQ ID: 678

Section: International Banking

Question: What is the difference between NRE and NRO accounts?

Answer: NRE holds foreign earnings in INR, interest is tax-free, and funds are fully repatriable. NRO holds India-earned income, interest is taxable, and repatriation has limits.

FAQ ID: 679

Section: International Banking

Question: *What is FCNR deposit?*

Answer: FCNR lets NRIs keep deposits in foreign currency (USD, GBP, EUR, CAD, etc.) in Indian banks, earning interest in the same foreign currency without any exchange rate risk.

FAQ ID: 680

Section: International Banking

Question: *What is wire transfer?*

Answer: A wire transfer is an electronic funds transfer between banks in different countries using the SWIFT network. It's secure but takes 1–5 working days and charges fees.

FAQ ID: 681

Section: International Banking

Question: *What is cross-currency transaction fee?*

Answer: When you use a card abroad or make an international payment in a foreign currency, the bank charges a cross-currency markup — usually 2–4% above the exchange rate.

FAQ ID: 682

Section: International Banking

Question: *What is a foreign currency account?*

Answer: A foreign currency account holds money in currencies other than the home currency — like a USD account in an Indian bank — used for international trade or travel.

FAQ ID: 683

Section: International Banking

Question: *What is a nostro account?*

Answer: A nostro account is a bank account held by an Indian bank in a foreign country in a foreign currency — used to facilitate international payments.

FAQ ID: 684

Section: International Banking

Question: *What is a vostro account?*

Answer: A vostro account is a foreign bank's account held in an Indian bank in Indian rupees, used for trade settlements and international payments.

FAQ ID: 685

Section: International Banking

Question: *What is a loro account?*

Answer: A loro account is a third-party perspective — when Bank A refers to the account that Bank B holds at Bank C, it calls it a loro account.

FAQ ID: 686

Section: International Banking

Question: What is a trade finance letter of credit?

Answer: A letter of credit in trade finance is a bank guarantee to the exporter that payment will be made when shipment documents confirming delivery are presented.

FAQ ID: 687

Section: International Banking

Question: What is a bank draft for international transfer?

Answer: An international bank draft is a bank-issued cheque in foreign currency payable at a specified foreign bank. Used for large one-time payments abroad.

FAQ ID: 688

Section: International Banking

Question: What is a forex trading account?

Answer: A forex trading account with a broker allows you to buy and sell currency pairs to profit from exchange rate movements. High risk; not for average savers.

FAQ ID: 689

Section: International Banking

Question: What is currency hedging?

Answer: Currency hedging means locking in an exchange rate using forward contracts or options to protect against unfavourable currency movements in international trade.

FAQ ID: 690

Section: International Banking

Question: What is a forward contract in forex?

Answer: A forward contract is an agreement to exchange currency at a fixed rate on a future date, protecting businesses from exchange rate risk on future transactions.

FAQ ID: 691

Section: International Banking

Question: What is the RBI's role in forex?

Answer: RBI manages India's forex reserves, intervenes in the market to prevent extreme rupee volatility, and sets rules for all cross-border transactions under FEMA.

FAQ ID: 692

Section: International Banking

Question: What is the India-Russia Rupee Trade settlement?

Answer: India and Russia (and some other countries) have bilateral agreements to settle trade in Indian rupees or their own currencies, reducing dependence on the US dollar.

FAQ ID: 693

Section: International Banking

Question: What is a packing credit loan?

Answer: Packing credit is a pre-shipment loan given to exporters by banks to buy raw material and produce goods before shipping. Repaid when payment from foreign buyer is received.

FAQ ID: 694

Section: International Banking

Question: What is an export credit guarantee?

Answer: Export Credit Guarantee Corporation (ECGC) provides insurance to Indian exporters against the risk of non-payment by foreign buyers.

FAQ ID: 695

Section: International Banking

Question: What is a documentary collection?

Answer: Documentary collection is a trade payment method where the exporter's bank forwards shipping documents to the importer's bank, releasing them only when the buyer pays or commits to pay.

FAQ ID: 696

Section: International Banking

Question: What is an LC at sight?

Answer: A sight LC requires the importer's bank to pay immediately when the exporter presents the correct shipping documents, with no credit period.

FAQ ID: 697

Section: International Banking

Question: What is a usance LC?

Answer: A usance (deferred payment) LC allows the importer to pay after a set period (30, 60, or 90 days) after shipment documents are presented.

FAQ ID: 698

Section: International Banking

Question: *What is a bank guarantee in international trade?*

Answer: A bank guarantee assures the overseas buyer or seller that if the Indian party fails to meet its contractual commitment, the bank will pay the guaranteed amount.

FAQ ID: 699

Section: International Banking

Question: *What is foreign currency non-repatriable (FCNR) vs NRE?*

Answer: FCNR deposits are in foreign currency, protecting against exchange risk. NRE deposits are in rupees, so exchange rate applies on deposit and withdrawal.

FAQ ID: 700

Section: International Banking

Question: *What is the impact of RBI intervention in forex market?*

Answer: RBI buys or sells dollars to manage extreme rupee volatility. Buying dollars weakens the rupee; selling dollars strengthens it.

FAQ ID: 701

Section: International Banking

Question: *What is hawala?*

Answer: Hawala is an informal, illegal money transfer system operating outside the formal banking system. It's banned in India as it facilitates money laundering and tax evasion.

FAQ ID: 702

Section: International Banking

Question: *What is money laundering?*

Answer: Money laundering is the process of disguising illegally obtained funds as legitimate income, often involving multiple bank transactions across countries.

FAQ ID: 703

Section: International Banking

Question: *What is a sanctions screening in banking?*

Answer: Banks screen transactions and customers against government and global sanction lists (OFAC, UN) to prevent financial dealings with sanctioned individuals or countries.

FAQ ID: 704

Section: International Banking

Question: *What is de-dollarization?*

Answer: De-dollarization is the effort by countries to reduce dependence on the US dollar for trade, reserves, and financial transactions, using local or alternative currencies instead.

FAQ ID: 705

Section: International Banking

Question: *What is a digital currency for international payments?*

Answer: Central banks are exploring CBDCs for cross-border transactions that could be faster and cheaper than SWIFT, reducing reliance on correspondent banking.

FAQ ID: 706

Section: International Banking

Question: *What is a currency peg?*

Answer: A currency peg is when a country fixes its exchange rate to a major currency like the US dollar. It provides stability but limits monetary policy flexibility.

FAQ ID: 707

Section: International Banking

Question: *What is the special drawing right (SDR)?*

Answer: SDR is an international reserve asset created by the IMF. Its value is based on a basket of major currencies (USD, EUR, CNY, JPY, GBP). India holds SDRs as part of forex reserves.

FAQ ID: 708

Section: International Banking

Question: *What is the International Monetary Fund?*

Answer: The IMF is an international organization that provides financial assistance and policy advice to countries facing balance of payments crises, promoting global economic stability.

FAQ ID: 709

Section: International Banking

Question: *What is the World Bank?*

Answer: The World Bank provides loans and grants to developing countries for development projects — infrastructure, education, health — to reduce poverty.

FAQ ID: 710

Section: International Banking

Question: *What is ADB?*

Answer: Asian Development Bank (ADB) provides loans, grants, and technical assistance to Asian countries, focusing on infrastructure, energy, and sustainable development.

FAQ ID: 711

Section: International Banking

Question: What is the BIS?

Answer: Bank for International Settlements (BIS) is a global institution owned by central banks that promotes international monetary cooperation and acts as a bank for central banks.

FAQ ID: 712

Section: International Banking

Question: What is G20 and its banking relevance?

Answer: G20 is a forum of the world's 20 largest economies. It discusses financial regulation, tax policy, global banking rules (Basel), and economic coordination between nations.

FAQ ID: 713

Section: International Banking

Question: What is a bilateral currency swap?

Answer: A bilateral currency swap is an agreement between two central banks to exchange currencies up to a set limit to support each other during liquidity crises without needing US dollars.

FAQ ID: 714

Section: International Banking

Question: What is a euro bond?

Answer: A eurobond is a bond issued by a company or government in a currency different from the country where it's issued — like an Indian company issuing USD bonds in London.

FAQ ID: 715

Section: International Banking

Question: What is a masala bond?

Answer: A masala bond is a rupee-denominated bond issued by an Indian entity in overseas markets. Foreign investors take the currency risk, and India gets foreign funds in rupees.

FAQ ID: 716

Section: International Banking

Question: What is an offshore banking unit?

Answer: OBU is a special bank branch in India's special economic zones (SEZs) that can conduct banking transactions in foreign currencies with non-resident entities.

FAQ ID: 717

Section: International Banking

Question: *What is a free trade zone banking?*

Answer: Banks in free trade zones or SEZs operate under relaxed regulations to attract foreign business and facilitate international trade finance.

FAQ ID: 718

Section: International Banking

Question: *What is the rupee trade settlement mechanism?*

Answer: India allows bilateral trade settlement in rupees with several countries. The exporter/importer gets paid in rupees instead of converting to dollars, simplifying trade.

FAQ ID: 719

Section: International Banking

Question: *What is a country risk in banking?*

Answer: Country risk is the risk that a foreign country may default, impose capital controls, or face instability, making it difficult for borrowers to repay international loans.

FAQ ID: 720

Section: International Banking

Question: *What is a sovereign risk?*

Answer: Sovereign risk is the risk that a government will default on its own debt or be unable to honour guarantees given to foreign lenders.

FAQ ID: 721

Section: International Banking

Question: *What is foreign debt?*

Answer: Foreign debt is money borrowed by a government or company from international lenders in foreign currencies. Repayment becomes more expensive if the local currency weakens.

FAQ ID: 722

Section: International Banking

Question: *What is external commercial borrowing?*

Answer: ECB is money borrowed by Indian companies from foreign lenders in foreign currency. It's cheaper than domestic borrowing but carries forex risk. Regulated by RBI.

FAQ ID: 723

Section: International Banking

Question: *What is a foreign exchange derivative?*

Answer: Forex derivatives (options, futures, swaps) are contracts used to hedge against or speculate on future currency movements.

FAQ ID: 724

Section: International Banking

Question: What is arbitrage in forex?

Answer: Forex arbitrage is simultaneously buying and selling currency pairs across markets to profit from tiny price differences. High-frequency computers mostly do this today.

FAQ ID: 725

Section: International Banking

Question: What is carry trade?

Answer: Carry trade is borrowing in a low-interest-rate currency and investing in a higher-interest-rate currency. Profitable in stable conditions, but risky if exchange rates move.

FAQ ID: 726

Section: International Banking

Question: What is the purchasing power of the rupee abroad?

Answer: The purchasing power of the rupee abroad depends on the exchange rate. A weaker rupee means your money buys less in foreign currency terms.

FAQ ID: 727

Section: International Banking

Question: What is a currency war?

Answer: A currency war is when countries deliberately devalue their currencies to make exports cheaper, boosting trade at the expense of trading partners.

FAQ ID: 728

Section: International Banking

Question: What is dollarization?

Answer: Dollarization is when a country officially or unofficially uses the US dollar as its currency instead of its own, often when local currency is too unstable.

FAQ ID: 729

Section: International Banking

Question: What is cross-border capital flow?

Answer: Cross-border capital flows are investments and loans moving between countries — FDI, FPI, ECBs, and remittances. RBI monitors these under FEMA.

FAQ ID: 730

Section: International Banking

Question: *What is the impact of a strong dollar on India?*

Answer: A strong dollar makes the rupee weaker, increasing the cost of imports (especially oil), raising inflation, but also benefiting IT and export companies that earn in dollars.

FAQ ID: 731

Section: International Banking

Question: *What is an import letter of credit?*

Answer: An import LC is issued by an Indian buyer's bank to assure the foreign seller of payment upon shipment. It gives the seller confidence to export goods.

FAQ ID: 732

Section: International Banking

Question: *What is a bank's forex dealing room?*

Answer: The forex dealing room is where a bank's treasury traders buy and sell currencies for the bank and clients, managing the bank's forex exposure in real time.

FAQ ID: 733

Section: International Banking

Question: *What is FATF?*

Answer: FATF (Financial Action Task Force) is an intergovernmental body setting global standards for combating money laundering and terrorist financing. Countries failing FATF assessments face restrictions.

FAQ ID: 734

Section: International Banking

Question: *What is the FEMA compliance for sending money abroad?*

Answer: Under LRS, residents can remit up to USD 2,50,000 per year abroad. They must complete a Form A2 declaration stating the purpose of the remittance.

FAQ ID: 735

Section: International Banking

Question: *What is a grey list in FATF?*

Answer: Being on FATF's grey list means increased monitoring due to strategic deficiencies in anti-money-laundering and counter-terrorism financing measures.

FAQ ID: 736

Section: International Banking

Question: *What is a correspondent banking relationship?*

Answer: When Bank A (in India) and Bank B (in the US) maintain accounts with each other to process international transactions on behalf of their customers, they have a correspondent relationship.

FAQ ID: 737

Section: Financial Markets

Question: *What is the capital market?*

Answer: The capital market is where long-term financial instruments like shares, debentures, and bonds are bought and sold. NSE and BSE are India's main capital markets.

FAQ ID: 738

Section: Financial Markets

Question: *What is the money market?*

Answer: The money market deals with short-term borrowing and lending — usually under 1 year. Instruments include Treasury Bills, Commercial Paper, and Certificates of Deposit.

FAQ ID: 739

Section: Financial Markets

Question: *What is a Treasury Bill (T-Bill)?*

Answer: T-Bills are short-term government securities (91-day, 182-day, 364-day) issued by RBI on behalf of the Government of India at a discount to face value.

FAQ ID: 740

Section: Financial Markets

Question: *What is a government security (G-Sec)?*

Answer: G-Secs are debt instruments issued by the central government to borrow money. They pay regular interest and are considered the safest investment in India.

FAQ ID: 741

Section: Financial Markets

Question: *What is a corporate bond?*

Answer: A corporate bond is a debt security issued by a company to raise funds. It pays fixed interest and the principal at maturity. Higher yield than G-Secs but more risk.

FAQ ID: 742

Section: Financial Markets

Question: *What is a debenture?*

Answer: A debenture is a form of long-term debt issued by companies. It pays fixed interest and is backed by the company's creditworthiness, not specific assets.

FAQ ID: 743

Section: Financial Markets

Question: What is a commercial paper?

Answer: Commercial paper is a short-term unsecured promissory note issued by large corporations to raise funds for working capital needs, typically for 7–365 days.

FAQ ID: 744

Section: Financial Markets

Question: What is a certificate of deposit?

Answer: A CD is a short-term fixed-income instrument issued by banks to raise funds, similar to an FD but in standardized denominations and tradeable in the secondary market.

FAQ ID: 745

Section: Financial Markets

Question: What is the repo market?

Answer: The repo (repurchase agreement) market is where banks borrow short-term funds from RBI or other banks by selling securities with an agreement to buy them back at a higher price.

FAQ ID: 746

Section: Financial Markets

Question: What is call money market?

Answer: The call money market is where banks lend and borrow funds overnight to manage their daily cash requirements, at the call money rate.

FAQ ID: 747

Section: Financial Markets

Question: What is the primary market?

Answer: The primary market is where new securities — IPOs, FPOs, and new bond issues — are sold for the first time directly by the issuer to investors.

FAQ ID: 748

Section: Financial Markets

Question: What is the secondary market?

Answer: The secondary market is where already-issued securities are traded among investors on stock exchanges. The issuing company doesn't receive money here.

FAQ ID: 749

Section: Financial Markets

Question: What is an FPO?

Answer: A Follow-on Public Offer is when an already-listed company issues additional shares to raise more capital from the public.

FAQ ID: 750

Section: Financial Markets

Question: What is a private placement?

Answer: Private placement is when a company raises funds by selling securities directly to select institutional investors or HNIs, not through a public stock exchange.

FAQ ID: 751

Section: Financial Markets

Question: What is a Qualified Institutional Buyer (QIB)?

Answer: QIBs are large institutional investors like mutual funds, FIIs, and insurance companies that are permitted to invest in certain securities due to their financial expertise.

FAQ ID: 752

Section: Financial Markets

Question: What is book building in IPO?

Answer: Book building is the process where the IPO price is determined by collecting bids from investors within a price band. The final price is set where demand meets supply.

FAQ ID: 753

Section: Financial Markets

Question: What is a price band in IPO?

Answer: A price band is the minimum (floor) and maximum (cap) price within which investors can bid for shares in a book-built IPO.

FAQ ID: 754

Section: Financial Markets

Question: What is grey market premium in IPO?

Answer: Grey market premium (GMP) is the informal price at which IPO shares are traded before official listing. It indicates expected listing gains but is unofficial and risky.

FAQ ID: 755

Section: Financial Markets

Question: What is ASBA in IPO application?

Answer: ASBA (Application Supported by Blocked Amount) blocks the application money in your bank account. If shares aren't allotted, the block is released automatically.

FAQ ID: 756

Section: Financial Markets

Question: What is market capitalisation?

Answer: Market cap is the total value of a company's shares — calculated by multiplying share price by total number of shares. Large-cap: above ₹20,000 crore.

FAQ ID: 757

Section: Financial Markets

Question: What is a large-cap stock?

Answer: Large-cap stocks are the top 100 companies by market cap on Indian exchanges. They are more stable, well-established, and have more liquidity.

FAQ ID: 758

Section: Financial Markets

Question: What is a mid-cap stock?

Answer: Mid-cap stocks are companies ranked 101st to 250th by market cap. They offer higher growth potential than large-caps but with more volatility.

FAQ ID: 759

Section: Financial Markets

Question: What is a small-cap stock?

Answer: Small-cap stocks are companies below 250th rank by market cap. They can multiply in value rapidly but are high-risk and less liquid.

FAQ ID: 760

Section: Financial Markets

Question: What is a blue-chip stock?

Answer: A blue-chip stock is a share of a well-known, financially stable company with a long record of reliable performance. Examples: TCS, HDFC Bank, Infosys.

FAQ ID: 761

Section: Financial Markets

Question: What is a sector fund?

Answer: A sector fund invests in companies from a specific industry — IT, pharma, banking, FMCG. High reward but concentration risk.

FAQ ID: 762

Section: Financial Markets

Question: What is a thematic fund?

Answer: A thematic fund invests across sectors around a theme — like infrastructure, consumption, ESG, or digital economy. More diversified than sector funds.

FAQ ID: 763

Section: Financial Markets

Question: What is SEBI's role?

Answer: SEBI regulates and develops India's securities market — it makes rules for stock exchanges, protects investor interests, and prevents fraud and insider trading.

FAQ ID: 764

Section: Financial Markets

Question: What is insider trading?

Answer: Insider trading is when someone with access to non-public, price-sensitive information trades shares to gain an unfair advantage. It's illegal and penalized by SEBI.

FAQ ID: 765

Section: Financial Markets

Question: What is a circuit breaker in stock market?

Answer: A circuit breaker halts trading temporarily when the index moves up or down by 10%, 15%, or 20% in a day, preventing panic-driven extreme movements.

FAQ ID: 766

Section: Financial Markets

Question: What is an upper circuit?

Answer: An upper circuit is a maximum price rise limit (like 5% or 20%) for a stock in a single trading session to prevent excessive speculation.

FAQ ID: 767

Section: Financial Markets

Question: What is a lower circuit?

Answer: A lower circuit is a maximum price fall limit for a stock in a session, preventing panic selling beyond a set percentage.

FAQ ID: 768

Section: Financial Markets

Question: What is intraday trading?

Answer: Intraday trading means buying and selling shares within the same trading day. Profit depends on short-term price movements. High risk; not for beginners.

FAQ ID: 769

Section: Financial Markets

Question: What is delivery trading?

Answer: Delivery trading means buying shares and holding them in your demat account for more than one day. Suitable for long-term investors.

FAQ ID: 770

Section: Financial Markets

Question: What is BTST trade?

Answer: BTST (Buy Today Sell Tomorrow) is when you sell shares the next day after buying, before they are officially credited to your demat account.

FAQ ID: 771

Section: Financial Markets

Question: What is margin trading?

Answer: Margin trading lets you buy more stocks than you can afford by borrowing funds from your broker, using your existing portfolio as collateral. High risk.

FAQ ID: 772

Section: Financial Markets

Question: What is short selling?

Answer: Short selling means selling a stock you don't own (borrowed from a broker), expecting its price to fall, so you can buy it back cheaper and profit.

FAQ ID: 773

Section: Financial Markets

Question: What is futures trading?

Answer: A futures contract is an agreement to buy or sell an asset at a predetermined price on a future date. Used for hedging or speculation.

FAQ ID: 774

Section: Financial Markets

Question: *What is options trading?*

Answer: Options give you the right (not obligation) to buy (call) or sell (put) an asset at a set price before a specific date. Used for hedging and speculation.

FAQ ID: 775

Section: Financial Markets

Question: *What is a derivative?*

Answer: A derivative is a financial contract whose value is derived from an underlying asset — like stocks, bonds, currencies, or commodities. Includes futures and options.

FAQ ID: 776

Section: Financial Markets

Question: *What is NSDL?*

Answer: NSDL (National Securities Depository Limited) holds your shares and securities in electronic form. It's one of India's two main depositories alongside CDSL.

FAQ ID: 777

Section: Financial Markets

Question: *What is CDSL?*

Answer: CDSL (Central Depository Services Limited) is the other depository in India, holding shares, bonds, and mutual fund units in electronic (demat) form.

FAQ ID: 778

Section: Financial Markets

Question: *What is a depository participant?*

Answer: A DP is an agent of NSDL or CDSL — like a bank or broker — through whom you open your demat account. They link you to the depository.

FAQ ID: 779

Section: Financial Markets

Question: *What is a portfolio management service?*

Answer: PMS is a customised investment service for HNIs (minimum ₹50 lakh) where a professional fund manager actively manages a portfolio of stocks on your behalf.

FAQ ID: 780

Section: Financial Markets

Question: *What is an alternative investment fund?*

Answer: AIF is a privately pooled fund investing in assets like real estate, private equity, hedge funds, and venture capital. Minimum investment is ₹1 crore.

FAQ ID: 781

Section: Financial Markets

Question: What is a real estate investment trust?

Answer: REITs allow you to invest in income-generating real estate (like malls and offices) listed on stock exchanges, earning rental income without directly owning property.

FAQ ID: 782

Section: Financial Markets

Question: What is an Infrastructure Investment Trust?

Answer: InvITs are listed trusts that pool money from investors to invest in infrastructure assets (roads, power, pipelines), paying out regular income from project revenues.

FAQ ID: 783

Section: Financial Markets

Question: What is commodity trading?

Answer: Commodity trading involves buying and selling physical goods like gold, silver, crude oil, and agricultural products through exchanges like MCX or NCDEX.

FAQ ID: 784

Section: Financial Markets

Question: What is MCX?

Answer: MCX (Multi Commodity Exchange) is India's largest commodity derivatives exchange, where contracts for gold, silver, copper, crude oil, and other commodities are traded.

FAQ ID: 785

Section: Financial Markets

Question: What is gold ETF?

Answer: A gold ETF is an exchange-traded fund where each unit represents physical gold. You can buy and sell gold ETF units like shares on the stock exchange.

FAQ ID: 786

Section: Financial Markets

Question: What is a liquid fund?

Answer: A liquid mutual fund invests in short-term money market instruments. It's safer than equity, offers slightly better returns than savings accounts, and is highly liquid — redemption in 24 hours.

FAQ ID: 787

Section: Financial Markets

Question: What is an overnight fund?

Answer: An overnight fund invests in securities maturing the next day. It's the safest mutual fund category and ideal for parking surplus cash for 1–3 days.

FAQ ID: 788

Section: Financial Markets

Question: What is an arbitrage fund?

Answer: An arbitrage fund exploits price differences between cash and futures markets. It's taxed like equity but is low risk, making it efficient for short-term parking.

FAQ ID: 789

Section: Financial Markets

Question: What is dividend reinvestment plan (DRIP)?

Answer: DRIP automatically reinvests dividends received from a stock or mutual fund back into more units or shares, compounding wealth without any effort.

FAQ ID: 790

Section: Financial Markets

Question: What is a capital gain distribution?

Answer: When a mutual fund sells securities at a profit, it distributes the gains to unit holders as capital gain distributions, which may attract tax.

FAQ ID: 791

Section: Financial Markets

Question: What is a stop-loss order?

Answer: A stop-loss is an automatic order to sell a stock when its price falls to a set level, limiting your maximum loss on a trade.

FAQ ID: 792

Section: Financial Markets

Question: What is limit order?

Answer: A limit order is an instruction to buy or sell a stock only at a specific price or better. Unlike a market order, execution is not guaranteed.

FAQ ID: 793

Section: Financial Markets

Question: *What is a market order?*

Answer: A market order is to buy or sell a stock immediately at the best available price in the market. Execution is guaranteed but the exact price isn't.

FAQ ID: 794

Section: Financial Markets

Question: *What is the settlement cycle in India?*

Answer: NSE and BSE follow T+1 settlement — shares bought today are credited to your demat account by the next trading day.

FAQ ID: 795

Section: Financial Markets

Question: *What is STT?*

Answer: Securities Transaction Tax is a tax levied on buying or selling of shares, mutual fund units, and derivatives on Indian stock exchanges. It's collected at source.

FAQ ID: 796

Section: Financial Markets

Question: *What is LTCG tax on equity?*

Answer: Long-term capital gains above ₹1 lakh from equity shares held over 1 year are taxed at 10% without indexation.

FAQ ID: 797

Section: Financial Markets

Question: *What is STCG tax on equity?*

Answer: Short-term capital gains from equity shares sold within 1 year are taxed at 15% (now 20% from FY2025).

FAQ ID: 798

Section: Financial Markets

Question: *What is indexation benefit?*

Answer: Indexation adjusts your purchase price for inflation, reducing taxable capital gains on debt mutual funds and property held for long term.

FAQ ID: 799

Section: Financial Markets

Question: *What is a stock broker?*

Answer: A stockbroker is a SEBI-registered intermediary who executes buy and sell orders on the stock exchange on your behalf. They earn a brokerage commission per trade.

FAQ ID: 800

Section: Financial Markets

Question: What is a discount broker?

Answer: A discount broker offers low-cost trading without investment advisory services. Examples: Zerodha, Upstox, Groww. They charge flat fees per trade.

FAQ ID: 801

Section: Financial Markets

Question: What is a full-service broker?

Answer: A full-service broker provides research, advisory, portfolio management, and trading. Higher commissions than discount brokers. Examples: ICICI Direct, Motilal Oswal.

FAQ ID: 802

Section: Financial Markets

Question: What is a trading terminal?

Answer: A trading terminal is software provided by a broker through which traders place orders, monitor prices, and analyse charts in real time.

FAQ ID: 803

Section: Financial Markets

Question: What is an algo trading?

Answer: Algorithmic (algo) trading uses computer programs to execute trades automatically based on pre-defined rules — price, time, volume — at high speed and frequency.

FAQ ID: 804

Section: Financial Markets

Question: What is an ETF expense ratio?

Answer: The expense ratio is the annual fee charged by an ETF or mutual fund to cover management and operational costs, expressed as a percentage of assets under management.

FAQ ID: 805

Section: Financial Markets

Question: What is an index ETF?

Answer: An index ETF tracks a benchmark index like Nifty 50 or Sensex, replicating its composition. Very low cost and passive strategy.

FAQ ID: 806

Section: Financial Markets

Question: What is a sector rotation strategy?

Answer: Sector rotation is shifting investments from one sector to another based on the economic cycle — for example, moving from defensive sectors (FMCG) to cyclical ones (metals) during recovery.

FAQ ID: 807

Section: Financial Markets

Question: What is market timing?

Answer: Market timing is trying to buy at the market bottom and sell at the top. It's extremely difficult to do consistently — most experts recommend staying invested instead.

FAQ ID: 808

Section: Financial Markets

Question: What is a financial benchmark?

Answer: A financial benchmark is a standard index or rate used to measure performance — like Nifty 50 for equity funds or G-Sec yield for debt funds.

FAQ ID: 809

Section: Financial Markets

Question: What is the yield curve?

Answer: The yield curve plots interest rates of bonds of the same quality but different maturities. A normal upward-sloping curve means the economy is healthy; an inverted curve can signal recession.

FAQ ID: 810

Section: Financial Markets

Question: What is quantitative easing?

Answer: Quantitative easing (QE) is when a central bank buys government securities or other financial assets to inject money into the economy and stimulate growth.

FAQ ID: 811

Section: Financial Markets

Question: What is the exchange traded market vs OTC market?

Answer: An exchange-traded market (like NSE) is regulated with standardized contracts. OTC (Over-the-Counter) markets involve direct, customised deals between two parties without an exchange.

FAQ ID: 812

Section: Banking Terminology

Question: *What is a bank's annual report?*

Answer: An annual report is a yearly document published by a bank showing its financial performance, profit and loss, NPA levels, capital strength, and future plans.

FAQ ID: 813

Section: Banking Terminology

Question: *What is gross NPA ratio?*

Answer: Gross NPA ratio is the total NPAs as a percentage of a bank's total loans. A lower ratio means better loan quality and health of the bank.

FAQ ID: 814

Section: Banking Terminology

Question: *What is net NPA?*

Answer: Net NPA is gross NPA minus the provisions already set aside for those bad loans. It shows the actual uncovered risk the bank faces.

FAQ ID: 815

Section: Banking Terminology

Question: *What is provisioning coverage ratio?*

Answer: PCR is the percentage of bad loans a bank has already set aside provisions for. A higher PCR (like 70%+) shows the bank is well-protected against future losses.

FAQ ID: 816

Section: Banking Terminology

Question: *What is a bank's net worth?*

Answer: A bank's net worth is its total assets minus total liabilities — essentially the shareholders' equity. It's a measure of financial strength.

FAQ ID: 817

Section: Banking Terminology

Question: *What is tier 1 capital?*

Answer: Tier 1 capital is a bank's core equity capital — paid-up capital, reserves, and retained earnings — that absorbs losses without closing the bank.

FAQ ID: 818

Section: Banking Terminology

Question: *What is tier 2 capital?*

Answer: Tier 2 capital is supplementary capital like subordinated debt and loan loss provisions, providing additional buffer but less reliable than Tier 1.

FAQ ID: 819

Section: Banking Terminology

Question: What is a bank's leverage ratio?

Answer: The leverage ratio measures a bank's capital against its total exposure. RBI requires banks to maintain a minimum leverage ratio to prevent over-borrowing.

FAQ ID: 820

Section: Banking Terminology

Question: What is a performing asset?

Answer: A performing asset is a loan where the borrower is making regular interest and principal payments on time, as agreed in the loan contract.

FAQ ID: 821

Section: Banking Terminology

Question: What is interest income for a bank?

Answer: Interest income is the money a bank earns from the interest it charges on loans and advances. It's the primary source of revenue for most banks.

FAQ ID: 822

Section: Banking Terminology

Question: What is non-interest income for a bank?

Answer: Non-interest income includes fees and commissions from services like account maintenance, fund transfers, insurance, and wealth management.

FAQ ID: 823

Section: Banking Terminology

Question: What is CASA ratio?

Answer: CASA ratio is the proportion of Current Account and Savings Account deposits to total deposits. A higher CASA (above 40%) means cheaper funds for the bank.

FAQ ID: 824

Section: Banking Terminology

Question: What is a bank's spread?

Answer: Spread is the difference between the interest rate a bank charges on loans and the rate it pays on deposits. A wider spread means more profit.

FAQ ID: 825

Section: Banking Terminology

Question: What is a banking ombudsman?

Answer: RBI's Integrated Ombudsman resolves complaints against banks and NBFCs. You can file for free online at cms.rbi.org.in if your bank doesn't resolve the issue in 30 days.

FAQ ID: 826

Section: Banking Terminology

Question: What is a credit appraisal?

Answer: Credit appraisal is the process of evaluating a loan applicant's ability and willingness to repay — checking income, credit history, employment, and the purpose of the loan.

FAQ ID: 827

Section: Banking Terminology

Question: What is a guarantor vs co-applicant?

Answer: A co-applicant shares ownership and repayment of the loan equally. A guarantor only pays if the borrower defaults and doesn't get the loan benefit.

FAQ ID: 828

Section: Banking Terminology

Question: What is a bullet repayment loan?

Answer: A bullet loan requires you to pay only interest during the loan period and repay the entire principal in one lump sum at the end of the tenure.

FAQ ID: 829

Section: Banking Terminology

Question: What is an evergreening of loans?

Answer: Evergreening is an illegal practice where banks extend new loans to borrowers just to repay old ones, hiding NPAs. RBI strictly monitors and penalises this.

FAQ ID: 830

Section: Banking Terminology

Question: What is the interbank rate?

Answer: The interbank rate is the interest rate at which banks lend to each other for short-term needs. In India, MIBOR (Mumbai Interbank Offered Rate) is the key benchmark.

FAQ ID: 831

Section: Banking Terminology

Question: *What is MIBOR?*

Answer: Mumbai Interbank Offered Rate (MIBOR) is the rate at which Indian banks lend overnight to each other. It reflects short-term market liquidity and closely tracks RBI's repo rate.

FAQ ID: 832

Section: Banking Terminology

Question: *What is a structured product in banking?*

Answer: A structured product combines a traditional instrument (bond or FD) with a derivative to offer customised risk-return profiles, usually for HNIs and institutions.

FAQ ID: 833

Section: Banking Terminology

Question: *What is a bank's credit rating?*

Answer: A bank's credit rating (AA+, AA, A) is issued by agencies like CRISIL or ICRA based on capital strength, asset quality, management, and earnings stability.

FAQ ID: 834

Section: Banking Terminology

Question: *What is window dressing in banking?*

Answer: Window dressing is when banks temporarily improve their balance sheet numbers at quarter-end by calling in loans or shifting funds to look financially healthier than they are.

FAQ ID: 835

Section: Banking Terminology

Question: *What is the difference between bank and NBFC?*

Answer: A bank holds a banking licence, accepts public deposits, provides all banking services, and is regulated by RBI. An NBFC doesn't have a banking licence, can't accept demand deposits, but can give loans.

FAQ ID: 836

Section: Banking Terminology

Question: *What is a credit card balance transfer?*

Answer: Balance transfer moves your outstanding credit card debt to a new card offering lower or zero interest for a promotional period, reducing your interest burden.

FAQ ID: 837

Section: Banking Terminology

Question: *What is micro ATM?*

Answer: A micro ATM is a handheld device used by banking correspondents in rural areas to allow customers to withdraw cash or check balance using Aadhaar biometrics or card.

FAQ ID: 838

Section: Banking Terminology

Question: What is digital onboarding?

Answer: Digital onboarding is the process of becoming a customer of a bank or financial service entirely through online channels — without physical documents or branch visits.

FAQ ID: 839

Section: Banking Terminology

Question: What is a soft loan?

Answer: A soft loan is offered at below-market interest rates, often by governments or development banks to support sectors like agriculture, exports, or social housing.

FAQ ID: 840

Section: Banking Terminology

Question: What is the Basel Accord?

Answer: The Basel Accords (I, II, III) are international banking regulations developed by the Basel Committee on Banking Supervision to ensure banks hold enough capital to absorb losses.

FAQ ID: 841

Section: Banking Terminology

Question: What is a debt-to-income ratio?

Answer: Debt-to-Income (DTI) ratio compares your total monthly debt payments to gross monthly income. Banks prefer it below 40–50% when evaluating loan eligibility.

FAQ ID: 842

Section: Banking Terminology

Question: What is a fixed-rate home loan?

Answer: A fixed-rate home loan has the same interest rate throughout the tenure, making EMIs predictable. Useful when rates are expected to rise.

FAQ ID: 843

Section: Banking Terminology

Question: What is a floating-rate home loan?

Answer: A floating-rate home loan's interest rate changes with market benchmarks like the repo rate. EMIs can go up or down when rates change.

FAQ ID: 844

Section: Banking Terminology

Question: What is a bank's cost of funds?

Answer: Cost of funds is the average interest rate a bank pays to acquire its funds — from deposits and borrowings. Keeping it low improves profitability.

FAQ ID: 845

Section: Banking Terminology

Question: What is a delinquency rate?

Answer: The delinquency rate is the percentage of loans where borrowers have missed at least one payment. A rising rate signals worsening loan quality.

FAQ ID: 846

Section: Banking Terminology

Question: What is a Wilful defaulter?

Answer: A wilful defaulter is a borrower who can repay but deliberately chooses not to. Banks cannot give new loans to wilful defaulters, and their names are published by RBI.

FAQ ID: 847

Section: Banking Terminology

Question: What is a stress test in banking?

Answer: A stress test simulates extreme economic scenarios to check if a bank has enough capital to stay solvent during a crisis — like a sharp rise in NPAs or liquidity crunch.

FAQ ID: 848

Section: Banking Terminology

Question: What is a contingent liability?

Answer: A contingent liability is a potential obligation that may arise depending on an uncertain future event — like a lawsuit or a bank guarantee that may be invoked.

FAQ ID: 849

Section: Banking Terminology

Question: What is a bank's efficiency ratio?

Answer: Efficiency ratio measures operating expenses as a percentage of revenue. A lower ratio (below 50%) means the bank manages costs well relative to income generated.

FAQ ID: 850

Section: Banking Terminology

Question: *What is a subordinated debt?*

Answer: Subordinated debt is a loan or bond that ranks below senior debt in priority during liquidation. Banks issue it to boost Tier 2 capital at lower cost than equity.

FAQ ID: 851

Section: Banking Terminology

Question: *What is securitisation in banking?*

Answer: Securitisation is when a bank bundles similar loans (home loans, auto loans) into securities and sells them to investors, getting upfront cash while transferring credit risk.

FAQ ID: 852

Section: Banking Terminology

Question: *What is priority sector lending target?*

Answer: RBI mandates banks to lend at least 40% of their net bank credit to priority sectors: agriculture (18%), MSME, housing, education, and weaker sections.

FAQ ID: 853

Section: Banking Terminology

Question: *What is a green loan?*

Answer: A green loan is specifically used to fund environmentally sustainable projects — renewable energy, energy efficiency, green buildings, and clean transport.

FAQ ID: 854

Section: Banking Terminology

Question: *What is ESG in banking?*

Answer: ESG stands for Environmental, Social, and Governance. Banks increasingly incorporate ESG criteria into lending decisions and investment policies.

FAQ ID: 855

Section: Banking Terminology

Question: *What is financial literacy?*

Answer: Financial literacy is the knowledge and skills to make informed financial decisions — budgeting, saving, investing, understanding loans, and protecting against fraud.

FAQ ID: 856

Section: Banking Terminology

Question: *What is a banking ombudsman complaint?*

Answer: If your bank doesn't resolve your complaint within 30 days, you can file a free complaint with the RBI Integrated Banking Ombudsman at cms.rbi.org.in.

FAQ ID: 857

Section: Banking Terminology

Question: What is a moratorium in loan?

Answer: A moratorium is a temporary pause on EMI payments, granted by the bank or RBI during emergencies. Interest continues to accrue on the outstanding amount.

FAQ ID: 858

Section: Banking Terminology

Question: What is a bank's ALCO?

Answer: ALCO (Asset Liability Committee) is a risk management committee of senior bankers that monitors and manages the bank's balance sheet, interest rate risk, and liquidity.

FAQ ID: 859

Section: Banking Terminology

Question: What is a bank's treasury?

Answer: The treasury department manages a bank's own investments, liquidity, forex exposure, and compliance with CRR and SLR requirements.

FAQ ID: 860

Section: Banking Terminology

Question: What is a correspondent account?

Answer: A correspondent account is held by one bank at another bank to facilitate payment processing and clearing between them, especially for cross-border transactions.

FAQ ID: 861

Section: Banking Terminology

Question: What is core capital in banking?

Answer: Core capital is the highest quality capital — equity and retained earnings — that a bank uses to absorb losses. It's the foundation of a bank's financial safety.

FAQ ID: 862

Section: Banking Terminology

Question: What is a bank consortium?

Answer: A bank consortium is a group of banks jointly funding a large loan to a single borrower, sharing the risk. The lead bank coordinates the consortium.

FAQ ID: 863

Section: Banking Terminology

Question: What is a lender's liability?

Answer: Lender's liability refers to legal obligations banks have towards borrowers — to act in good faith, disclose terms fairly, and not arbitrarily change loan conditions.

FAQ ID: 864

Section: Banking Terminology

Question: What is sub-debt issuance?

Answer: Sub-debt (subordinated debt) is issued by banks as bonds that pay higher interest but are repaid last in case of winding up. Used to boost Tier 2 regulatory capital.

FAQ ID: 865

Section: Banking Terminology

Question: What is a bank's dividend payout?

Answer: A bank's dividend payout is the portion of profits distributed to shareholders as dividends. RBI has guidelines on minimum capital adequacy before a bank can pay dividends.

FAQ ID: 866

Section: Banking Terminology

Question: What is a bond yield?

Answer: Bond yield is the return on investment on a bond. When bond prices fall, yields rise. RBI's repo rate changes directly influence government bond yields.

FAQ ID: 867

Section: Banking Terminology

Question: What is a yield inversion?

Answer: Yield inversion occurs when short-term bond yields exceed long-term yields. It often signals that investors expect economic slowdown or recession ahead.

FAQ ID: 868

Section: Banking Terminology

Question: What is a floating rate bond?

Answer: A floating rate bond's interest adjusts periodically with a market benchmark. It protects investors when interest rates are rising.

FAQ ID: 869

Section: Banking Terminology

Question: *What is an AT1 bond?*

Answer: Additional Tier 1 (AT1) bonds are high-risk, high-yield bonds issued by banks to raise regulatory capital. In a crisis, they can be written down (value reduced to zero) to save the bank.

FAQ ID: 870

Section: Banking Terminology

Question: *What is a bank's return on equity?*

Answer: Return on Equity (ROE) measures how much profit a bank earns per rupee of shareholders' equity. Higher ROE is better for investors.

FAQ ID: 871

Section: Banking Terminology

Question: *What is a financial conglomerate?*

Answer: A financial conglomerate is a group offering banking, insurance, and investment services under one umbrella — like SBI Group or HDFC Group.

FAQ ID: 872

Section: Banking Terminology

Question: *What is resolution of a failed bank?*

Answer: When a bank fails, RBI and the government arrange a resolution — through merger, sale, or bailout — to protect depositors and maintain financial stability.

FAQ ID: 873

Section: Banking Terminology

Question: *What is the Financial Stability Report?*

Answer: RBI publishes the Financial Stability Report twice a year, assessing risks to India's banking sector, economy, and financial system.

FAQ ID: 874

Section: Banking Terminology

Question: *What is an asset reconstruction company?*

Answer: An ARC buys bad loans (NPAs) from banks at a discount and then works to recover the money from the defaulting borrowers, cleaning up the bank's books.

FAQ ID: 875

Section: Banking Terminology

Question: *What is the RBI's prompt corrective action?*

Answer: PCA framework restricts weak banks from paying dividends, opening branches, or growing their loan books until they meet capital, NPA, and profitability benchmarks.

FAQ ID: 876

Section: Banking Terminology

Question: What is bank nationalisation?

Answer: Bank nationalisation is when the government takes ownership of private banks. India nationalised 14 major banks in 1969 and 6 more in 1980 to expand banking access.

FAQ ID: 877

Section: Banking Terminology

Question: What is a banking sector reform?

Answer: Banking sector reforms include liberalisation (new bank licences), privatisation discussions, NPA resolution, digital push, financial inclusion, and technology upgrades.

FAQ ID: 878

Section: Banking Terminology

Question: What is the significance of the 1991 reforms in Indian banking?

Answer: The 1991 liberalisation allowed private banks to enter the sector, introduced CRAR norms, deregulated interest rates, and modernised the Indian banking system.

FAQ ID: 879

Section: Banking Terminology

Question: What is a virtual banking licence?

Answer: Some jurisdictions issue virtual banking licences to operate entirely digitally without physical branches. RBI is considering norms for digital-only banks in India.

FAQ ID: 880

Section: Banking Terminology

Question: What is a bank's net interest income (NII)?

Answer: NII is the difference between interest income from loans and interest paid on deposits. It's the most important revenue line for a bank.

FAQ ID: 881

Section: Banking Terminology

Question: What is an accretion model in banking?

Answer: Accretion is the gradual increase in value of a security bought at a discount over its life to reach face value at maturity, booked as income.

FAQ ID: 882

Section: Banking Terminology

Question: *What is the IBC resolution process for banks?*

Answer: Under the Insolvency and Bankruptcy Code, banks refer large defaulters to NCLT for resolution within 180–270 days. If not resolved, the company goes into liquidation.

FAQ ID: 883

Section: Banking Terminology

Question: *What is a consortium lending?*

Answer: Consortium lending is when multiple banks jointly fund a large project loan, sharing risk proportionally, with one bank acting as the lead arranger.

FAQ ID: 884

Section: Basic Accounts

Question: *What is a bank's minimum deposit to open FD?*

Answer: Most banks allow FDs from ₹1,000. Some banks start at ₹5,000. There's no upper limit on FD amount.

FAQ ID: 885

Section: Basic Accounts

Question: *What is auto-debit in banking?*

Answer: Auto-debit is a standing instruction where the bank automatically deducts a fixed amount from your account on a set date — for EMIs, insurance, or utility bills.

FAQ ID: 886

Section: Basic Accounts

Question: *What is account transfer from one branch to another?*

Answer: You can transfer your account to a different branch of the same bank by submitting a request form. Your account number usually stays the same.

FAQ ID: 887

Section: Basic Accounts

Question: *Can I have two savings accounts in the same bank?*

Answer: Generally, banks allow only one savings account per person. However, joint accounts, salary accounts, and special accounts like NRE are exceptions.

FAQ ID: 888

Section: Basic Accounts

Question: *What is a salary account conversion?*

Answer: When you change jobs, your old salary account can be converted to a regular savings account. You may then need to maintain a minimum balance.

FAQ ID: 889

Section: Basic Accounts

Question: *What is a bank's role in money creation?*

Answer: Banks create money through the lending process — every rupee deposited allows banks to lend multiple times that amount, expanding the money supply.

FAQ ID: 890

Section: Basic Accounts

Question: *What is the penalty for not maintaining minimum balance?*

Answer: Banks charge ₹50 to ₹600 per month if your average balance falls below the required minimum, depending on the bank and type of account.

FAQ ID: 891

Section: Digital Banking

Question: *What is session timeout in net banking?*

Answer: Net banking automatically logs you out after 5–15 minutes of inactivity to prevent unauthorised access if you forget to log out.

FAQ ID: 892

Section: Digital Banking

Question: *What is a payment link?*

Answer: A payment link is a shareable URL or QR generated by merchants or individuals that directs the payer to a pre-filled payment page on UPI or card platforms.

FAQ ID: 893

Section: Digital Banking

Question: *What is DigiPay?*

Answer: DigiPay is NPCI's device-based payment application for banking correspondents that enables Aadhaar-based banking services in areas without internet connectivity.

FAQ ID: 894

Section: Digital Banking

Question: *What is a virtual payment address?*

Answer: A VPA (like yourname@bankname) is your UPI identity for receiving money without sharing account number or IFSC. You can have multiple VPAs.

FAQ ID: 895

Section: Digital Banking

Question: What is UPI transaction pending?

Answer: A UPI transaction shows as pending when the transfer has been initiated but not yet confirmed by the receiver's bank. It usually resolves in a few minutes.

FAQ ID: 896

Section: Digital Banking

Question: What is a failed UPI transaction refund time?

Answer: If a UPI transaction fails, the money is auto-refunded within 2–3 business days. If not, raise a complaint through the UPI app or your bank.

FAQ ID: 897

Section: Digital Banking

Question: What is IMPS vs UPI?

Answer: Both are instant 24x7 transfers. UPI uses a VPA/QR and works on mobile apps. IMPS requires account number and IFSC. UPI is more widely used today.

FAQ ID: 898

Section: Digital Banking

Question: What is a linked bank account in UPI?

Answer: When you register on a UPI app, you link your bank account to it. Multiple accounts from different banks can be linked to one UPI app.

FAQ ID: 899

Section: Digital Banking

Question: What is a collect request in UPI?

Answer: In UPI, a collect request is sent by a merchant or individual asking you to approve a payment. You receive a notification and must confirm to complete the transfer.

FAQ ID: 900

Section: Loans & Interest

Question: What is a CIBIL dispute?

Answer: If your CIBIL report has an error — like a loan you never took — you can raise a dispute on the CIBIL website. CIBIL verifies with the bank and corrects it.

FAQ ID: 901

Section: Loans & Interest

Question: What is a loan against property interest rate?

Answer: Loan against property (LAP) interest rates are typically 8–12% p.a. — lower than personal loans because the property provides security to the bank.

FAQ ID: 902

Section: Loans & Interest

Question: What is a home loan pre-payment?

Answer: Pre-payment is paying a lump sum amount towards your home loan principal before the EMI date. It reduces the outstanding balance and saves on total interest.

FAQ ID: 903

Section: Loans & Interest

Question: What is an EMI moratorium?

Answer: During financial stress (like COVID-19), RBI may allow banks to offer an EMI moratorium — a temporary pause on repayments for 3–6 months.

FAQ ID: 904

Section: Loans & Interest

Question: What is the difference between interest rate and APR?

Answer: Interest rate is the base cost of borrowing. APR (Annual Percentage Rate) includes all fees and charges, giving the true total cost of the loan.

FAQ ID: 905

Section: Loans & Interest

Question: What is a co-borrower vs co-applicant?

Answer: Co-borrower and co-applicant usually mean the same thing. They jointly apply, share ownership of the loan, and are equally responsible for repayment.

FAQ ID: 906

Section: Loans & Interest

Question: What is loan amortisation?

Answer: Amortisation is the process of gradually paying off a loan in regular instalments. In early EMIs, a larger portion covers interest; later, more goes to principal.

FAQ ID: 907

Section: Loans & Interest

Question: *What is a loan write-off?*

Answer: A loan write-off means the bank removes a bad loan from its books as a loss but can still legally pursue recovery from the borrower.

FAQ ID: 908

Section: Loans & Interest

Question: *What is a farm loan waiver?*

Answer: A farm loan waiver is when the state or central government cancels outstanding agricultural loans for farmers, usually for small and marginal farmers facing distress.

FAQ ID: 909

Section: Loans & Interest

Question: *What is priority sector classification for loans?*

Answer: Priority sector loans include credit to agriculture, MSMEs, education, housing for low-income groups, and social infrastructure. Banks must allocate 40% of advances here.

FAQ ID: 910

Section: Operations & Security

Question: *What is an anti-phishing tip?*

Answer: Banks will never ask for your OTP, password, or CVV by phone, SMS, or email. Always verify before sharing any information, even if the caller claims to be from your bank.

FAQ ID: 911

Section: Operations & Security

Question: *What is a cyber fraud recovery?*

Answer: If you're a victim of cyber fraud, report immediately to your bank and the national cybercrime portal (cybercrime.gov.in). Act within 24 hours to improve chances of recovery.

FAQ ID: 912

Section: Operations & Security

Question: *What is a bank's complaint resolution timeline?*

Answer: As per RBI guidelines, banks must acknowledge complaints within 3 days and resolve them within 30 days. Delays entitle you to compensation.

FAQ ID: 913

Section: Operations & Security

Question: *What is the role of FIU-IND?*

Answer: Financial Intelligence Unit India (FIU-IND) collects, analyses, and shares financial intelligence reports (STRs and CTRs) from banks to detect money laundering and terror financing.

FAQ ID: 914

Section: Operations & Security

Question: What is a bank inspection by RBI?

Answer: RBI inspects banks annually under the Financial Inspection process to check asset quality, capital adequacy, governance, compliance, and management quality.

FAQ ID: 915

Section: Operations & Security

Question: What is a bank's grievance redressal mechanism?

Answer: Banks have multi-level grievance redressal: branch manager, regional office, nodal officer, and finally RBI Ombudsman. Each level has a set resolution timeline.

FAQ ID: 916

Section: Operations & Security

Question: What is account takeover fraud?

Answer: Account takeover is when a fraudster gains full control of your bank account by stealing credentials through phishing, vishing, or SIM swap.

FAQ ID: 917

Section: Operations & Security

Question: What is a debit card cloning?

Answer: Card cloning copies your debit card's magnetic stripe data using a skimming device. The cloned card is then used for unauthorized withdrawals.

FAQ ID: 918

Section: General Finance

Question: What is a cash flow statement?

Answer: A cash flow statement shows how cash moves in and out of a business — from operations, investments, and financing. It's one of the three main financial statements.

FAQ ID: 919

Section: General Finance

Question: What is a profit and loss statement?

Answer: A P&L; statement shows a company's revenue, expenses, and net profit or loss over a period. Also called an income statement.

FAQ ID: 920

Section: General Finance

Question: What is working capital?

Answer: Working capital is current assets minus current liabilities. Positive working capital means the business can meet short-term obligations without borrowing.

FAQ ID: 921

Section: General Finance

Question: What is free cash flow?

Answer: Free cash flow is the cash left after a company meets its operating costs and capital expenditure. It can be used for debt repayment, dividends, or growth.

FAQ ID: 922

Section: General Finance

Question: What is leverage in finance?

Answer: Leverage is using borrowed money to amplify investment returns. It increases both potential gains and potential losses.

FAQ ID: 923

Section: General Finance

Question: What is a financial statement analysis?

Answer: Financial statement analysis examines a company's balance sheet, income statement, and cash flows using ratios and trends to assess its health and performance.

FAQ ID: 924

Section: General Finance

Question: What is equity financing?

Answer: Equity financing is raising money by issuing shares of ownership in a company. Unlike debt, it doesn't need to be repaid, but ownership is diluted.

FAQ ID: 925

Section: General Finance

Question: What is debt financing?

Answer: Debt financing is borrowing money — through loans or bonds — that must be repaid with interest. It doesn't dilute ownership but creates a repayment obligation.

FAQ ID: 926

Section: General Finance

Question: *What is a line of credit?*

Answer: A line of credit is a flexible borrowing facility from a bank where you can withdraw up to a set limit as needed and pay interest only on the amount used.

FAQ ID: 927

Section: General Finance

Question: *What is solvency?*

Answer: Solvency is the ability of a person or company to meet long-term financial obligations. Insolvent means liabilities exceed assets.

FAQ ID: 928

Section: Customer Service

Question: *How do I dispute a failed ATM withdrawal?*

Answer: Call your bank's helpline immediately or raise a complaint through net banking. The bank must refund within 5 days or pay ₹100/day compensation.

FAQ ID: 929

Section: Customer Service

Question: *How do I get a no-objection certificate from a bank?*

Answer: After fully repaying a loan, request an NOC at the branch. It's usually issued within 3–7 working days confirming the loan is closed.

FAQ ID: 930

Section: Customer Service

Question: *How do I change my bank account's email ID?*

Answer: Log in to net banking and update email under account settings, or visit the branch. An OTP to your mobile will confirm the change.

FAQ ID: 931

Section: Customer Service

Question: *How do I request a bank reference letter?*

Answer: Visit your branch and request a bank reference or confirmation letter. It confirms your account existence and is usually issued within 2–3 working days.

FAQ ID: 932

Section: Customer Service

Question: *How do I close my PPF account prematurely?*

Answer: PPF allows premature closure only after 5 years for medical treatment or higher education. You receive the corpus minus a 1% interest penalty.

FAQ ID: 933

Section: Customer Service

Question: How do I update my address in Aadhaar through the bank?

Answer: You cannot update Aadhaar through a bank. Visit an Aadhaar Seva Kendra or do it online at myaadhaar.uidai.gov.in with valid address proof.

FAQ ID: 934

Section: Customer Service

Question: How do I activate push notifications for my bank account?

Answer: Log in to your mobile banking app, go to notification settings, and enable push alerts for credits, debits, logins, and low balance warnings.

FAQ ID: 935

Section: Customer Service

Question: How do I set a transaction limit for my UPI?

Answer: UPI limits are set by RBI and your bank. Within the allowed ceiling, you can adjust daily transfer limits in the UPI app's settings section.

FAQ ID: 936

Section: Customer Service

Question: How do I apply for a loan balance transfer?

Answer: Apply to the new bank with your existing loan statements, property papers (for home loan), and income documents. On approval, the new bank pays off the old lender.

FAQ ID: 937

Section: Customer Service

Question: How do I check the status of my credit card application?

Answer: Use the bank's application tracking portal, mobile app, or call the helpline with your reference number to check approval, pending, or rejected status.

FAQ ID: 938

Section: Customer Service

Question: How do I split FD into multiple accounts?

Answer: While opening an FD, you can choose to split the amount into multiple FDs of different tenures or amounts, giving you staggered maturity dates for liquidity.

FAQ ID: 939

Section: Insurance & Govt Schemes

Question: What is the claim process for PMJJBY?

Answer: In case of the insured's death, the nominee submits the claim form with death certificate, bank passbook copy, and identity proof to the insured's bank branch.

FAQ ID: 940

Section: Insurance & Govt Schemes

Question: What is the claim process for PMSBY?

Answer: The nominee submits a claim form with accident report (FIR or panchnama), death/disability certificate, and bank details to the bank branch within 30 days.

FAQ ID: 941

Section: Insurance & Govt Schemes

Question: What is the DBT payment mode?

Answer: Direct Benefit Transfer (DBT) directly credits government benefits — subsidies, scholarships, MNREGA wages — to the beneficiary's Aadhaar-linked bank account.

FAQ ID: 942

Section: Insurance & Govt Schemes

Question: What is a PMFBY claim?

Answer: Under PM Fasal Bima Yojana, farmers must inform the bank or insurance company within 72 hours of crop loss. Compensation is assessed by a survey and credited to the account.

FAQ ID: 943

Section: Insurance & Govt Schemes

Question: What is a group health insurance by bank?

Answer: Some banks offer group health insurance to account holders at discounted rates. It's an optional product sold through bancassurance tie-ups.

FAQ ID: 944

Section: Insurance & Govt Schemes

Question: What is ESIC maternity benefit?

Answer: ESIC provides full wages for 26 weeks during maternity leave to female employees earning under ₹21,000/month, covered under the ESI Act.

FAQ ID: 945

Section: Insurance & Govt Schemes

Question: What is the PM Kisan Samman Nidhi registration?

Answer: Farmers can register for PM-KISAN at their bank branch or online via the PM-KISAN portal with land records, Aadhaar, and bank account details.

FAQ ID: 946

Section: Insurance & Govt Schemes

Question: What is a health insurance TPA?

Answer: TPA (Third Party Administrator) is a IRDAI-licensed company that processes health insurance claims between the insured and the insurer, facilitating cashless hospitalization.

FAQ ID: 947

Section: International Banking

Question: What is the TCS rate on foreign remittance for education?

Answer: For education loans from financial institutions, TCS is 0.5% on remittances above ₹7 lakh per year. For self-funded education, TCS is 5% above ₹7 lakh.

FAQ ID: 948

Section: International Banking

Question: What is a foreign currency demand draft?

Answer: A foreign currency DD is a prepaid bank draft in a foreign currency (like USD) used for university fee payments abroad. The bank charges a conversion fee.

FAQ ID: 949

Section: International Banking

Question: What is the FATCA declaration in banking?

Answer: FATCA (Foreign Account Tax Compliance Act) requires Indian banks to report accounts of US persons to the US tax authority. All customers must submit a FATCA declaration at account opening.

FAQ ID: 950

Section: International Banking

Question: What is the CRS declaration?

Answer: Common Reporting Standard (CRS) is a global tax information exchange framework. Banks collect residency and tax information from customers to share with tax authorities.

FAQ ID: 951

Section: International Banking

Question: What is a cross-border NACH mandate?

Answer: A cross-border NACH-like arrangement is being developed for recurring international payments. Currently, international recurring payments use card-based mandates.

FAQ ID: 952

Section: International Banking

Question: What is a BIC code?

Answer: BIC (Bank Identifier Code) is another term for the SWIFT code used to identify a bank's specific branch in international wire transfers.

FAQ ID: 953

Section: International Banking

Question: What is a money transfer operator?

Answer: MTOs like Western Union, MoneyGram, and Wise (TransferWise) facilitate international money transfers quickly, often faster and cheaper than traditional bank wires.

FAQ ID: 954

Section: Financial Markets

Question: What is an open-ended mutual fund?

Answer: An open-ended fund continuously accepts new investments and redemptions at the current NAV. You can invest and withdraw anytime — unlike closed-ended funds.

FAQ ID: 955

Section: Financial Markets

Question: What is a closed-ended mutual fund?

Answer: A closed-ended fund raises money once during an NFO (New Fund Offer) and is listed on the stock exchange. Units can only be bought/sold on the exchange after the NFO.

FAQ ID: 956

Section: Financial Markets

Question: What is an NFO?

Answer: NFO (New Fund Offer) is the launch of a new mutual fund scheme. It's the mutual fund equivalent of an IPO. Units are offered at ₹10 face value during the NFO.

FAQ ID: 957

Section: Financial Markets

Question: What is an interval fund?

Answer: An interval fund allows redemption only during specific intervals (monthly, quarterly). It invests in less liquid assets and offers slightly higher returns.

FAQ ID: 958

Section: Financial Markets

Question: What is a debt mutual fund taxation?

Answer: From April 2023, debt mutual funds are taxed at your income tax slab rate regardless of holding period. The earlier LTCG with indexation benefit was removed.

FAQ ID: 959

Section: Financial Markets

Question: What is a hybrid fund taxation?

Answer: Hybrid funds with over 65% equity are taxed like equity (LTCG 10% after ₹1 lakh, STCG 15%). Below 65% equity, they're taxed like debt funds.

FAQ ID: 960

Section: Financial Markets

Question: What is an exit load in mutual fund?

Answer: Exit load is a charge (usually 1%) if you redeem mutual fund units before a specified holding period (typically 1 year for equity funds). It discourages premature withdrawal.

FAQ ID: 961

Section: Financial Markets

Question: What is total expense ratio?

Answer: TER is the annual cost of managing a mutual fund, expressed as a percentage of assets. A lower TER means more of your returns stay with you.

FAQ ID: 962

Section: Financial Markets

Question: What is a direct plan mutual fund?

Answer: A direct plan is purchased directly from the fund house without a broker. It has a lower expense ratio than a regular plan and gives better long-term returns.

FAQ ID: 963

Section: Financial Markets

Question: What is a regular plan mutual fund?

Answer: A regular plan is bought through a broker or distributor. The distributor earns a commission built into the expense ratio, making the TER slightly higher than direct plans.

FAQ ID: 964

Section: Financial Markets

Question: *What is the Nifty Bank index?*

Answer: Nifty Bank tracks the 12 most liquid and large banking sector stocks on NSE. It's a benchmark for banking sector performance and related ETFs.

FAQ ID: 965

Section: Financial Markets

Question: *What is a gold mutual fund?*

Answer: A gold fund invests in gold ETFs or shares of gold mining companies. It provides gold exposure without holding physical metal.

FAQ ID: 966

Section: Banking Terminology

Question: *What is a bank's interest rate risk?*

Answer: Interest rate risk is the impact on a bank's earnings and capital when interest rates change unexpectedly. Rising rates reduce the value of fixed-rate bonds held by the bank.

FAQ ID: 967

Section: Banking Terminology

Question: *What is a bank's operational risk?*

Answer: Operational risk is the risk of loss from failed internal processes, people, systems, or external events — like a system outage, fraud, or natural disaster.

FAQ ID: 968

Section: Banking Terminology

Question: *What is market risk for banks?*

Answer: Market risk is the risk that changes in interest rates, forex rates, equity prices, or commodity prices will reduce the value of a bank's trading or investment portfolio.

FAQ ID: 969

Section: Banking Terminology

Question: *What is a bank's reputation risk?*

Answer: Reputation risk is the potential for negative public perception — from fraud, poor service, or regulatory penalties — to damage the bank's customer base and business.

FAQ ID: 970

Section: Banking Terminology

Question: *What is a bank's compliance department?*

Answer: The compliance team ensures the bank follows all laws, RBI guidelines, AML rules, KYC norms, and internal policies. Non-compliance can result in heavy penalties.

FAQ ID: 971

Section: Banking Terminology

Question: *What is a bank's technology risk?*

Answer: Technology risk includes cyber threats, system failures, data breaches, and outdated IT infrastructure that can disrupt banking operations or expose customer data.

FAQ ID: 972

Section: Banking Terminology

Question: *What is an enterprise risk management framework?*

Answer: ERM is a bank-wide approach to identify, assess, manage, and monitor all risks — credit, market, liquidity, operational — to protect the bank's stability.

FAQ ID: 973

Section: Banking Terminology

Question: *What is a bank's non-interest expense?*

Answer: Non-interest expenses are operating costs — salaries, rent, IT, marketing, and depreciation — that are not directly related to interest on deposits or borrowings.

FAQ ID: 974

Section: Banking Terminology

Question: *What is the difference between bank credit and bank debit?*

Answer: In banking, a credit is money added to your account (deposit, transfer received). A debit is money taken from your account (withdrawal, EMI, fee).

FAQ ID: 975

Section: Banking Terminology

Question: *What is a banker's acceptance?*

Answer: A banker's acceptance is a short-term debt instrument issued by a company and guaranteed by its bank. Commonly used in international trade to finance imports.

FAQ ID: 976

Section: Banking Terminology

Question: *What is the difference between gross and net NPA?*

Answer: Gross NPA is total bad loans before deducting provisions. Net NPA deducts the provisions already set aside, showing the actual uncovered risk.

FAQ ID: 977

Section: Banking Terminology

Question: What is a bank's capital buffer?

Answer: A capital conservation buffer is an extra 2.5% of capital that banks must hold above the minimum CAR to absorb losses in stressful periods, as per Basel III norms.

FAQ ID: 978

Section: Banking Terminology

Question: What is liquidity risk in banking?

Answer: Liquidity risk is the risk that a bank can't meet its short-term obligations — like sudden deposit withdrawals — because it can't convert assets to cash quickly enough.

FAQ ID: 979

Section: Basic Accounts

Question: What is bank reconciliation for personal accounts?

Answer: It's comparing your own transaction records with your bank statement to spot errors, missed entries, or fraud. A good habit to do monthly.

FAQ ID: 980

Section: Digital Banking

Question: What is a UPI mandate?

Answer: A UPI mandate is a standing instruction that allows a merchant or lender to automatically debit your account on specific dates for recurring payments like EMI's or subscriptions.

FAQ ID: 981

Section: Loans & Interest

Question: What is a balance transfer EMI?

Answer: A balance transfer EMI moves your credit card outstanding balance to a personal loan with lower interest, converting it into fixed monthly instalments.

FAQ ID: 982

Section: Operations & Security

Question: What is a bank's cybersecurity policy?

Answer: A bank's cybersecurity policy outlines rules for data protection, access control, incident response, and employee training to guard against digital threats.

FAQ ID: 983

Section: General Finance

Question: *What is the time value of money?*

Answer: The time value of money means ■1,000 today is worth more than ■1,000 a year from now, because today's money can be invested to earn returns.

FAQ ID: 984

Section: Customer Service

Question: *How do I check my PMJJBY insurance status?*

Answer: Log in to your bank's mobile app or visit the branch to check if your PMJJBY premium has been deducted and your cover is active for the current year.

FAQ ID: 985

Section: Insurance & Govt Schemes

Question: *What is the PM Garib Kalyan Anna Yojana?*

Answer: PMGKAY provides free food grain (5 kg per person per month) to about 80 crore beneficiaries under the National Food Security Act, funded by the central government.

FAQ ID: 986

Section: International Banking

Question: *What is the RBI's LRS limit?*

Answer: Under the Liberalised Remittance Scheme, resident Indians can remit up to USD 2,50,000 per financial year for approved purposes like travel, education, and investment abroad.

FAQ ID: 987

Section: Financial Markets

Question: *What is a balanced advantage fund?*

Answer: A balanced advantage fund (BAF) dynamically shifts allocation between equity and debt based on market valuations. It reduces equity when markets are expensive and increases it when they're cheap.

FAQ ID: 988

Section: Banking Terminology

Question: *What is a bank's interest coverage ratio?*

Answer: Interest coverage ratio measures how easily a company can pay interest on its debt from operating earnings. Banks use it to assess a borrower's repayment capacity.

FAQ ID: 989

Section: Basic Accounts

Question: *What is e-statement in banking?*

Answer: An e-statement is a digital version of your monthly bank account statement, delivered to your registered email instead of a physical printout.